

Cello World (CELLO)

Conference call transcripts, oldest-first. 11 call(s). Generated 2026-06-08.

Call: Dec 2023

Cello World Limited

(formerly known as 'Cello World Private Limited')

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December 05, 2023

BSE Limited

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Mumbai - 400 001

Scrip Code: 544012 National Stock Exchange of India Limited

Exchange Plaza, C-1, Block - G, Bandra Kurla

Complex, Bandra (East), Mumbai - 400 051

Symbol: CELLO

Sub: Transcript of Investor Call

Dear Sir(s)/ Madam(s),

Pursuant to Regulation 30 of the Listing Regulations, copy of transcript of the Investor call held on November 28, 2023 at 09:00 a.m. (Indian Standard Time) on the unaudited financial results for the quarter and half year ended September 30, 2023, is enclosed.

The said transcript is also available on the Company's website.

This is for your information and records.

Thanking you.

Yours faithfully,

For Cello World Limited

Hemangi Trivedi

Company Secretary and Compliance Officer ACS-27603

Encl: a/a

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"Cello World Limited's Q2 FY'24 Earnings Conference Call"

November 28, 2023

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 28th November 2023 will prevail

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MANAGEMENT : M R. PRADEEP RATHOD – CHAIRMAN & MANAGING
DIRECTOR , CELLO WORLD LIMITED

MR. PANKAJ RATHOD – JOINT MANAGING DIRECTOR ,
CELLO WORLD LIMITED
MR. GAURAV RATHOD – JOINT MANAGING DIRECTOR ,
CELLO WORLD LIMITED
MR. ATUL PAROLIA – CHIEF FINANCIAL OFFICER ,
CELLO WORLD LIMITED
MODERATOR : M R. ANIRUDDHA JOSHI – ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day and welcome to the Cello World Q2 FY24 Results Conference Call hosted by ICICI Securities.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Aniruddha Joshi from ICICI Securities. Thank you and over to you, sir.

Aniruddha Joshi: Yes. Thanks, Sagar. On behalf of ICICI Securities, we welcome you all to Q2 FY24 Results Conference Call of Cello World Limited.

We have with us today senior management represented by Mr. Pradeep Rathod -- Chairman and Managing Director; Mr. Pankaj Rathod -- Joint Managing Director; Mr. Gaurav Rathod -- Joint Managing Director; and Mr. Atul Parolia -- CFO.

Now, I hand over the call to the management for the "Initial Comments on the Quarterly Performance" and then we will open the floor for "Question and Answer Session." Thanks, and over to you, Pradeep ji.

Pradeep Rathod: Thank you. Good morning, everybody. A very warm welcome and thanks all for joining our first earnings call post listing. On this call, we are joined by our Joint M.Ds, Pankaj Rathod, and Gaurav Rathod, along with us CFO, Mr. Atul Parolia.

The "Results and Presentation" are uploaded on the stock exchange and the company's website. I hope everybody had a chance to look at it.

We are happy to witness a healthy response to our IPO. We want to express our gratitude to all our shareholders for entrusting the confidence in us. We would like to congratulate everyone associated with our company, including employees, customers, business partners and bankers. During the H1 FY24, our company has achieved a revenue of 961 crores, EBITDA of 244 crores and PAT of 169 crores. EBITDA margin stood at a healthy 25.4%. This performance is backed by volume growth and improvement in product mix.

With this brief, I would like to hand over to Pankaj Rathod to take this forward.

Pankaj Rathod: Thank you and good morning. I will give a quick synopsis of our journey so far. Cello World was incorporated in 2018; however the roots of the promoter family in this line of business go back to 1960s. Over the first six decades horizon, the promoter family diversified product range and brand portfolio. All the consumer-facing products owned by the promoter group have been Cello World Limited
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consolidated under the Cello World Limited prior to the IPO. The wealth of the experience has given us a very deep understanding on the Indian consumer preference and needs.

We have curated an extensive product portfolio that caters to a diverse range of consumer requirements and offer a broad range of contemporary products across different ranges, type, material, and price points. Our key brands including Cello, Uno max and the respective logos are registered in the name of Cello Plastic Industrial Works, a Member of the Promoter Group, (CPIW), has granted a company an exclusive worldwide sub-licensee to use these brand names. This license is valid for 20-years and auto renewal after this term. Further, this is no royalty of brand payment is done by Cello World for users of the brand name.

With this, I will hand over to Gaurav Rathod to talk about Business and Growth Strategy.

Gaurav Rathod:

Thank you, and good morning, everyone. I'll give you a synopsis of the business and the strategies for the growth. Our product portfolio can broadly be categorized in three verticals. All our businesses are consumer-facing, but we operate our businesses as three key verticals, namely Consumerware, Writing Instruments and Molded Furniture. Within these ver

ticals, we

manufacture varied products such as insulated bottles, dinnerware, pens and stationary storage containers, glassware and other products. We manufacture our products at our 13 state-of-the-art manufacturing facilities, which are located in Daman, Baddi, Haridwar, Kolkata and Chennai.

Further, we are adding another location in Rajasthan which will take care of our future expansion across product lines for the next five to six years. 80% of our revenues come from these manufacturing units.

In terms of channel wise revenue distribution, general trade is the backbone of our distribution network and it is well complemented by modern trade, online and exports.

Leveraging our strong brand recall manufacturing capabilities, vast distribution network over the years, we have grown our revenues and PAT at a healthy CAGR. The resilience of our business model is evident in the growth that we saw even during the pandemic.

Going forward, we are committed to scale this brand to new heights. We continue to churn out new and innovative products every year. We have launched various products in the first half of '24. We have given a snapshot of these in our presentation.

The company is also setting up a Greenfield soda lime glass unit in Rajasthan, which will be operational by March of 2024. This will be one of its kind facility manufacturing various products like tumblers and storage containers to name a few, further enhancing the diverse range of products that the company offers. For this plant, we have earmarked a CAPEX of Rs.200 crores.

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On the writing instruments side of the business, our base is currently small and as we cover only 55% of India geography, so there is ample room for growth. Also, currently our portfolio consists mainly of ball and gel pens. Going forward, we will be adding other related stationary items.

In the molded furniture vertical there is a lot of unorganized competition. So, our strategy has been to add more value-added products to our product mix. We have already started this process and today 13% of our business comes from these products. Going forward, we aim to enhance this number even further.

Thank you. And I would like to hand it over again to our CMD, Mr. Pradeep Rathod.

Pradeep Rathod : Before I give you the synopsis of our financial performance, I would like to highlight this entity is a culmination of all our consumerware business of the promoter group. A group restructuring was undertaken through a series of business combinations under control to consolidate the business under our company. However, all the financials for his torical years have been restated and are fully comparable. Due to paucity of time, we have taken an exemption for present quarter two FY23 number. So, we have already started work in this front and will be able to give all the comparable figures in the future.

Talking about our Q2 performance, we recorded a top line of Rs. 489 crores. Gross profit stood at Rs.261 crores with a 53.4% gross profit margin on a consolidated basis. EBITDA came in at Rs.120 crores with a 24.6% EBITDA margin. During the quarter PAT was at Rs.87 crores with a 17.7% PAT margin.

Coming to our H1 FY24 performance, we have registered a top line of Rs.961 crores, of which 66% came from our consumerware, 17% from our writing instruments and the remaining 17% from molded furniture and allied products. Gross profit stood at Rs.509 crores with a 53% margin. Consumerware garnered GP 53%, writing instruments GP margin was at 58.5%, molded furniture and allied products has the GP of 45%. EBITDA came in at Rs.244 crores with a 25.4% margin. EBITDA margin profile across vertical is also very healthy. PAT margin of Rs.169 crores with a margin of 17.6%.

On the consolidated basis, the company grew at 9% for H1. Though volume growth stands at 13%, the v

alue growth was lower due to the softening of raw material and energy prices, which are the key raw materials for two of our major verticals. Because of the raw material plastic raw material going down substantially, there was correction in prices in some of our verticals. Also, number seems lower as the diwali festival season shifted from October to November and the key sales month became October. The Q 3 would be much more healthier than we see in the coming quarters.

Though in the first half of '24 the consumer demand was not at the robust level and it was a little muted, but we are seeing a strong demand coming up, post October, we saw a very good month

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and I think the second half of the year would be much more robust. The profit margin stood at around 20% growth in the first half. In terms of balance sheet and key metric I would like Mr.

Atul Parolia, CFO to highlights on this.

Atul Parolia : With regard to key balance sheet and cash flow related metrics, working capital days as on 30th September 2023 stood at 159 days as compared to 154 days as on 31st March 2023. Cash flow

from operations of H1 FY24 stood at healthy Rs.105 crores. OCF- to-EBITDA stood at 43%. Cash and cash equivalent stood at Rs.53 crores as on 30th September 2023. CAPEX during H1 FY24 was Rs.107 crores. This year we expect to do a total CAPEX of Rs.225 crores. We have a track record of very healthy OCF/EBITDA conversion of past three financial years and this H1 was no different. In fact, we saw that affects more, but the returns ratios will continue to be healthy. The growth opportunity ahead of us is vast and with such strong cash flow and healthy balance sheet, we are very well placed to capture upcoming opportunities. Please note that in our presentation slide 20, Sales figure of consumer glass wear should be read as rupees in million instead of rupees in crores.

With these, we conclude our presentation and open the floor for questions and answers.

Moderator: We will now begin the question and answer session. The first question is from the line of Percy from IIFL. Please go ahead.

Percy: My first question is on the coolers business that you have recently launched. Do you plan to enter any other type of appliances also and why do you think that you can win in this market, I mean, because there are so many other players in the household appliances market apart from the plastic being used what is the commonality with the rest of your business?

Pankaj Rathod: We are only into the niche areas and we are only into kitchen appliances. So, we are trying to take mixers, induction cooker, kettle, cookware which are restricted to the kitchen. And why? Though it is a crowded space, definitely Cello is a brand and the consumers reach is the same. Even our target audience who purchases these are mostly women and they have been buying Cello products for various years on other casseroles to lunch carriers and everything because she's the decision maker. So, we are getting good response and we will only restrict and we will be in the niche area of this, we do not want to enter completely in the crowded area. So, we are just creating a niche market of a small portfolio, not a very large portfolio, it will be a medium portfolio what we want to create.

Percy: So, Sir, regarding this air coolers that you have recently entered, any comments on that?

Pankaj Rathod: Air coolers, we have launched much earlier. It was in fact 5 years before COVID, five to six years back. In the air cooler we did not get a very good response. This year we are scaling it up

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again in Wim Plast because that vertical which is in Wim Plast Limited, one of our subsidiaries now, and we did not have much deep pockets over there to put in full strength. So, this year we are launching it in a full way and

that's a very elite product because wherever our furniture sells, the cooler applies because mostly in rural areas and there are only six states of operating; Rajasthan, Delhi, Punjab, Haryana, some part of Odisha, Andhra and Telangana.

Percy: So, there is no plan to get into any other household appliances like –

Pradeep Rathod: At present, we are not looking because we have quite a big basket for the next two years for all the verticals and all the product lines where we are thinking we have a good scope of growth. Post two years we would definitely think on some lines which are adjacent to our product which can add in our company's portfolio.

Percy: My second question is on household appliances. So, can you give some idea on what will be your growth driver here because my understanding is that the market growth of course decent, but it will be like a low double-digit kind of growth here, so is it market share gain from unorganized or do you see any other organized players which are weak from which you want to gain market share or is it a distribution expansion story? What is the driver of the growth here?

Gaurav Rathod: I think on the appliances front, we have a very small base till now. So, comparing and taking market share is still a little far away. As mentioned that we are in niche category and we want to operate in that category. So, we look at the appliances and cookware as one complete vertical and we wish to grow this in the niches that we have spoken about. So, we play on our strength, which is our plastic capabilities as well. So, we have inhouse molds that we are able to work with. So, that differentiates us from the market a little bit. So, I think here again niche is our mantra, not the mass market.

Percy: So, just for my understanding, Gaurav, in the household products you have the bottles and the casseroles and all that. You already have a pretty sort of well diversified product portfolio and these products have been there in your portfolio since many, many years. Do you think that product portfolio sort of expansion is the sort of route to grow with because that doesn't seem to be the case looking at your product portfolio? Most of the segments that you would want to be there are already there since many, many years.

Gaurav Rathod: No, I think we have always grown our segment or vertical because if you look, we entered into glassware as well. So, again these are all consumer-facing businesses. So, Glassware was a recent venture which was only about five years ago. So, I think that is how we have been –

Percy: Glassware, I understand it's a new venture and there is definitely a ramp up there which is happening. Ex-glassware, the homeware division, I was asking about that.

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Gaurav Rathod: Glassware is also a part of homeware only. So, it is basically one vertical put together because they go to the same household and the buyers are the same, also, the retail outlets are very similar. So, I think when we compare as a market the whole consumerware needs to be looked at one vertical rather than looking at it separately. There will be of course product lines which will have saturation at point of time, but then we have always expanded horizontally into different verticals or different product lines. So, I think within the consumerware is a very vast product array that we offer and that is why we keep on continuously growing horizontally.

Moderator: The next question is from the line of Ankur Sharma from HDFC Life. Please go ahead.

Ankur Sharma: So, while you said there was a 9% growth overall in the first half, possible to also share numbers for Q2, glassware, houseware, pens and the molded furniture, how would each of those have done for Q2? And I understand obviously there would have been a sales shift because of festive.

Pradeep Rathod: Consumerware in Q2 was 67% of the re

venue. Writing instruments 17% and furniture and allied around 16%.

Ankur Sharma: On a YoY?

Pradeep Rathod: This year because we did not have the Q2 figures consolidated because the writing instruments and Wim Plast got consolidated post October in the third quarter. So, the numbers are not similar on that line and because of the time constraints which I've spoken, my first message itself, will not go back in doing IND AS because all the new figures which I'm giving are written and we do not follow IND AS at that time. So, that's why it is not 100% comparable and that's why I said it is on the level of 9% growth. Going forward, definitely, we will give quarter-on-quarter because it got listed on 6th and when we go IND AS, we have to go with the auditors and it takes a long time. So, that's why we took an exemption and from next quarter we will definitely do that.

Ankur Sharma: If I remember your remarks, Q3 seems to be doing reasonably well given sales shifted to October?

Pradeep Rathod: So, if you see our profit growth, what we have compared within ourselves on a segment is around 20% growth. Going forward October because it was the main month for our festive season of sales, it shifted September last year to October this year. So, this quarter sales and the last quarter because of the summer season is very, very robust always mostly, historically also. We think it will be much better than what it is, I think so it should be more than 20% growth over in the second half.

Ankur Sharma: On this new soda glass factory which is coming up from Q4 in Rajasthan, if you could help us understand how much sales can we generate from here? What kind of products that will come

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from here? Will margins be similar to the existing glassware business, just some more color there on the new plant?

Gaurav Rathod: This facility that is coming up about is 25,000 tons capacity and up to Rs.230 crores, that would be the revenue that can be expected from this plant. Overall, yes, margins will be in similar lines to our current glassware unit.

Ankur Sharma: This would be mostly import substitution of existing imports of such glassware, is that right?

Gaurav Rathod: Yes, majority of it will be import substitution because this is like one of its kind facility in India, so mostly import substitution.

Ankur Sharma: On the pens business, I obviously understand we've had a very long history of running pens and doing it very well. If you could just help us understand how do you see this business growing, I know we scaled it up very well in the last 2-3 years, but how's the growth trajectory, what are the new products you're looking to introduce, geographic expansion, just a few pointers on how you see this segment going?

Pankaj Rathod: I will just give you a brief. In fact, we started this writing instruments with the new brand Unomax in 2019-20 and there was COVID just after two months after our launch. Last year we had done about Rs.285 crores from zero in three years. This year the first six months have been good months comparatively. And now we are extending our range as we have already said that we are mainly concentrating on the gel pens and ball pens...and of course, there are other products with it. But we are now getting into more stationery product also and also increasing our range within the gel pen and the ball pen. Even our reach in the market today is much lower because we wanted first to grow. We were growing at a very fast pace, so the capacity and everything would have been constrained. So, now we have already put up a second plant which has already started last year which has a lot of capacity which will be consumed in this couple of years. We are increasing our distribution network. So, we are getting now more into two and

three tier cities also where we were not before.

Our retail network is still very small compared to the size of the market which we are growing this month. So, I think growing the distribution network and the new product, we are very confident that this business for us from this to grow at a healthy pace for the next two to three years seems very good.

Moderator: The next question is from the line of Pallavi Deshpande from Samiksha Capital. Please go ahead.

Pallavi Deshpande: Earlier you mentioned about the 20% growth, so that would be for the second-half year-on-year or you're looking at half-on-half?

Pradeep Rathod : This second half.

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Pallavi Deshpande: Second half and so first half was approximately 9% and second half 20%, right.

Pradeep Rathod : Yes .

Pallavi Deshpande: Would we be missing the guidance of 20% to 25% for the year?

Pradeep Rathod : No. As I mentioned, because of softening of the price, our price correction was in the range of around 5% to 6%. So, major raw material which is plastic has gone down by 22% from February of '23 till April, May and now further it is softening. So, the price reduction definitely will have to be passed on to an extent. That's why if you see our gross profit margins have increased in all the segments. That's why it looks muted. But volume growth if you see we will be achieving around 22% to 24% though in the first half even the consumer sentiments were not that very high.

Pallavi Deshpande: Going ahead do you maintain that FY25 onwards the same -?

Pradeep Rathod : We are very sure on our profitability figures and everything what we have given. I think so we will definitely achieve that.

Moderator: The next question is from the line of Mr. Achal Lohade from JM Financial. Please go ahead.

Achal Lohade: Just a clarification. You said 9% growth YoY for the first half. Is that for the company as a whole or just for the consumerware business, sir?

Pradeep Rathod : For the company as a whole.

Achal Lohade: Would you be able to give a sense with respect to how much would be for consumerware and how much would be for the writing instruments and the molded furniture?

Pradeep Rathod : Molded furniture did not grow in value because when raw material goes down by 22% I think so they have to pass at least 16% to 17%. In fact it is a little minus on the value side though the volume growth is very good over there.

Achal Lohade: And what about the consumerware?

Pradeep Rathod : The consumerware grew at around 7% to 8%. Again here, there is a correction of around 5% to 6% and one month shift of our diwali month being major in October, so last year September was the peak month, this year in October writing instruments grow at a healthy 24%, 25% top line.

Achal Lohade: Consumerware 7%, 8% is the value growth for the first half?

Pradeep Rathod : Volume growth would be around 13% to 14%, and that too because changed to October, otherwise it would have been in the range of 17% to 18%.

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Achal Lohade: Like you said 20% growth YoY for the second half, have I understood right?

Pradeep Rathod : Yes .

Achal Lohade: This second half to second half right, not compared to first half?

Pradeep Rathod : Second half to second half, YoY.

Achal Lohade: In terms of the margins and obviously we have been top notch in terms of across segments margin performance, do you see we expanding margin or we'll keep margin probably stable and push harder on the growth, how do we look at margins for each of these three verticals?

Pradeep Rathod : So, margins would be stable. Definitely, we are at a very good level of margins. I do not really want to comment here we will grow from here. If we compromise a little in future a percent or two, definitely the growth will be much higher.

Achal Lohade: In terms of the new categories, so you mentioned about the kitchen

appliances if I heard you

right, would it come at a substantially lower margin given it is far more competitive, lot of existing players being there for the decades, is that what you're hinting at when you say 100 to 200 basis points margin compression only for these new categories, have I understood right?

Pradeep Rathod : See, this is a very small vertical at present. If we do have a tiny margin, it would not affect too much at a consolidated level. It is a very small market. We want to grow that. It is at a healthy margin only we want to grow. That's why we said we would want to go into niche area. Because

the expenditures, sales and all are much higher in this segment for the time being, we are seeing a little muted percentage of profit. But going forward, I think so we will take to a very healthy level and we would like to operate on that healthy level margin only.

Achal Lohade: With respect to the glassware business, can you help us understand what is the total industry capacity at the moment? I presume the utilization has to be 90% , 100% it has to be run continuously for a couple of years or three years. So, do you see a risk of price reduction given if there is a risk of over capacity in the short term?

Gaurav Rathod: So, basically I think in the glassware side we operate in two verticals; one is the opalware and the new vertical that is the soda lime glasses, which is coming up in Rajasthan. So, on the opalware side, I think the number of players are a few in the market and there is a very huge deterrent to entry, and all the three players that are in the market are good size, more experienced and mature players. So, I don't see any problem on that side. When it comes to the soda lime glass, basically it's more of import substitution. So, we would be the first ones in India to put a facility of this kind. It is still at a very small revenue. Today, the market is quite substantial when it comes to imports. So, we just want a small pie what we are eyeing for in that particular market. So, I don't see any problems reaching those revenues in a very short period of time. And when

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it comes to the profitability also we don't see any compromises . There has been expansion of capacities everywhere even when it comes to opalware. But even after that the margins seem to be healthy.

Achal Lohade: You mentioned about 13% mix from the value-added products. So, a) how do you define this value added products; and b) this 13%, what is the outlook over next three to five years, could it be 25%, 30% or could it be 18%, 20%?

Pradeep Rathod : So, this is on the molded furniture side what we said 13%. From a lifestyle product what we have started last two years back where the product is more value-added, there is a difference you will definitely see which can go into households, then for outlets like small eateries and this place where we get a good price when the product is good. And it's a little difficult to manufacture even out of raw material which is recycled and all, because the strength has to be much better, the looks are different, the colors are different. So, this value addition is giving us a better margin. So, if you see in Wim Plast also in the last two years, we have scaled our profitability up in percentage terms compared to any of the peers in this. We aim to take it to 25% to 30% over the next 2-3 years with the mix of the products where our lifestyle and better products would be a mix of sale of around 25% to 30%.

Achal Lohade: In terms of the capital expenditure for FY24, I think, Atul, you mentioned about 225 crores. But how do you see FY25-26, what kind of annual CAPEX would we look at for next 2-3 years?

Pradeep Rathod : Except our glassware, which is a high CAPEX vertical, writing instruments, consumerware, long glass doesn't have a very high CAPEX. So, that we have been

expanding over the years. The

ratio from CAPEX to turnover is around 7x. So, whatever we want to scale over the next three years, for the company of this size it will be a negligible CAPEX, around 40 to 60 crores a year.

Achal Lohade: So, the question that was in my mind next was, how do you deploy the cash flows, given the kind of significant cash flows we're looking at annually, how do you see it in terms of dividend or the payout?

Pradeep Rathod : For next one or two years, we want to use all our money to grow. So, the glass plant when we start, it even needs a lot of working capital. Even we are aiming to go at 20% plus CAGR over the next three years. One is the CAPEX side, the other is the working capital side. If you see historically also one of our listed companies, Wim Plast, we have been regularly giving dividend at a good level and we have maintained that for last 20 years. So, with scaling up too early we just got out of the issue and definitely we'll have really a good dividend policy.

Achal Lohade: Just one small clarification since you raised a topic about working capital. Obviously, our receivables are probably one of the highest in the peers. So, how do you look at this, a), do you see utilizing the likes of channel financing bill discounting to reduce this or also curtailing the credit to the trade partners?

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Pradeep Rathod : Little bit we will cut in. There are some places where we are really giving it high because they are old associated with us and we were little comfortable. Channel financing, yes, we started a little bit but we do not want to go fully aggressive on that. Because I think with this kind of business and what we see the profitability is because my good products which do not move very fast, always, we maintain that stock. So, the turnaround for that product in the distributors warehouse is a little slow. And that's why the payment is late. Otherwise it is not. So, if I do not

want to sell that kind of a product and I want to sell only the me-too products like everybody sells, the margins get disturbed. From last 25 years we have been giving a better credit period into the distribution and that will help the company. So, we would not like to really disturb it to a larger extent. Yes, definitely, we'll discipline it to a better level.

Moderator: The next question is from the line of Keyur from ICICI Prudential Life Insurance Company. Please go ahead.

Keyur: The question is on the growth that you mentioned for the second half, 20% revenue growth, that is what you're guiding for the revenue growth, if I'm not wrong?

Pradeep Rathod : Right, right.

Keyur: So, the way in H1, we have seen that margins are higher because of the lower RM prices, so should we assume that the operating profit and PAT growth would be higher than the revenue growth in the second half, would it be fair understanding?

Pradeep Rathod : For at least this six months I'm very sure. Because of the raw material pricing softening up and a little demand being opened up in the market much better than what it was in H1 and now we have the raw material which is fully down, almost we are at a stage where we are now saturated and going down further and we have raw material which is already booked. So, for the next six months, definitely we see whatever we grow the margins will be above that in percentage of sales.

Keyur: Whatever you can share as to how the diwali festive was, if you can share the qualitative, quantitative data, that could be helpful?

Pradeep Rathod : Sorry, I couldn't get your question.

Keyur: So, post the Q2, in Q3 that is October and November, how was the festive season if you can give idea about how good or bad the festive season was?

Pradeep Rathod : Yes, October was a very good month definitely and November seems good.

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Keyur: As you start your glassware facility in Q4, now that being a higher margin product and since we are doing import substitution, on manufacturing also we will save some cost, so should we assume higher gross or operating margins in FY25 versus FY24?

Pradeep Rathod : Once it starts operating in the first year, the entire furnace which can give us a turnover of around Rs.275 crores plus will not be achieved because there are a lot of SKUs and by the time we launch the locally produced material into the market, it would be around a quarter later. At EBITDA levels, yes, definitely will be much healthier from this year to next year. But the EBIT level would get over the next one or two years because of that particular thing. We will be operating on other fields that is definitely there. But because of the glassware for the time being, I think that we can get a little muted also next year. EBITDA definitely would be very high next year once we start the furnace.

Moderator: The next question is from the line of Praveen Sahay from Prabhudas Lilladher. Please go ahead.

Praveen Sahay: First question is related to your CAPEX that is related glassware capacity expansion. Just a clarification. Total CAPEX is of Rs.250-odd crores and capacity would be around 25,000 tons?

Pradeep Rathod : No. So, the total CAPEX would be around Rs.200 crores. Rs.250 crores is the total layout what we have made over there in Rajasthan. So, there would be another plus line of the company also been started later on over there. So, the CAPEX for glassware particularly is Rs.200 crores.

Praveen Sahay: And the potential revenue is Rs.230-odd crores?

Pradeep Rathod : Rs.250-275 crores depends upon the product mix.

Praveen Sahay: The second question is related to the capacities only. You have a 79% of your revenue in the first half in, in-house manufacturing. And if I look at the capacity utilizations for each of your verticals, like consumer is more than 80%, writing 68% and molding is 70%. So, how to read this like every year you are going for a capacity expansion in each and every vertical and what level of utilization is the maximum you can go in each vertical?

Pradeep Rathod : See, first of all, in writing instruments, the capacity utilization was 68% to 70%, whereby we are going very fast, so that gets adjusted. We just have to add some machines because the mold capacities are already there. In some of the molds we do add new products into that. Even in the consumerware, it is just by adding machines, we do not have to create a facility. Unlike the glass the way it is, you have to put a furnace which is 25,000 tons or 20,000 tons. You cannot just get by expansion of 10% more. You have to grow. Either it is 50 and then 100 and 150. So, this is the way the expansion goes in. The utilization also changes a lot because of the raw material pricing. So, with this utilization level, it was always based on volume. So, volume is not the parameters we look normally into our business sense, we look at the value. My unit should make approximately this value of material it should make in a month. Because we do not give value,

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the right specification is the value what we can produce. So, in every plant we have a value-based plant and in glassware we do on a tonnage basis, how much ton of material we have made in this month and what is that capacity. Except that actually the capacity utilization is only on a base historical thought. Because the value might change a lot. If I change the raw material from one to another if we're making from a pack to a title, the raw material size is double. And if I make the similar bottle into that, the machine is same. My value will go double, then 2.5 times of what I was selling the bottle which was made out of another material. With very low CAPEX on this, this was never

a constraint for the company, and it would not be in future also except the glassware where we have a higher CAPEX at the time; at one go, we have to do a higher CAPEX to put the plant. In our writing instruments, in our consumerware other than glass or in molded furniture the CAPEX is not very high. So, the ratios really do not matter a lot. Praveen Sahay: And also similar to your molded furniture business in which a 13% is value added contribution, can you give for the other segments as well?

Pradeep Rathod : No, molded furniture per se was at a lower side, others we operate at a very decent margin only if you have seen historically. Even in writing instruments if you compare last year EBIT was around 23% which was best in the industry and still we are not at the top peak. Molded furniture per se where we really want to go into value added products, because we have a competition, which is unethical because of raw material which is used from recycled material and that competition we cannot chase because it's not apple-to-apple, right? And that's why we want to shift our portfolio to a category where it cannot be produced from any recycled raw material or where the brand definitely comes into picture when the price point is very high for a buyer.

Praveen Sahay: How much is the plastic product contribution in your top line ex of glass or appliances?

Pradeep Rathod : We have already given, but we have not kept in that way because we have thought in the three verticals, on the consumerware facing at this and we have given the gross margins definitely on the consumerware business.

Gaurav Rathod: When we compare plastic, we are actually across materials. We have a plastic bottle, but we have a steel inside it also. We are no longer a plastic company. It is very difficult to define the amount of plastic that goes into. Because there are glass products with plastic lids. So, plastic per se is very difficult to define anymore.

Praveen Sahay: If you can give how much the appliances contribute to your business?

Gaurav Rathod: Appliances today is a very small vertical for us; it's about only about Rs.75 crores of the turnover this year will come from that, so it's a very small niche line for us at this point of time.

Praveen Sahay: Rs.75 crores in FY23?

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Gaurav Rathod: '24.

Praveen Sahay: So, that's the expectation you are saying to -?

Gaurav Rathod: Overall exactly what we have achieved almost in the first quarter based on that.

Praveen Sahay: And also if you can give some color on the seasonality of each of the products like as you mentioned overall second half is expected to deliver a very high growth compared to the Q1 and also you had highlighted that October is a heavy month which shifted because of festival, each vertical if you can give some like how is the seasonality throughout the year?

Pradeep Rathod : So, I'll start with the writing instruments which is the easiest. Back to school time is a little higher scaling up and exam time, so January, February, March quarter will be a little higher. April is low, May, June are very high months, so that quarter is good. Going into our consumerware business, definitely festive season gives a spike of around 4% to 6%. So, in the 12 months if I divide 8.33, I think for Diwali two months period would give us 21% to 22% sales. Other than that, it is not very strong seasonality. In summer, we have a spike because of bottles and water jars because it's a longer season; it's almost two and a half, three months and back to school also falls into the same. We don't have a very high seasonality where the sales come to 5% and then go to 15% in the second month.

Praveen Sahay: The question is on the distribution like as you also mentioned and in your presentation, general trade contributes on the higher side 75%, 76%, way forward we are going to

maintain such kind

of numbers or we are expecting modern trade, etc., to contribute more?

Pradeep Rathod : So, modern trade is again now getting established. If you see there were very few retail companies in India. One of the biggest which we could not sustain and got closed and so now again it is getting up. Earlier modern trade has the problem of pricing always and now they have understood the game also, okay, even we need some brands, with only pricing we will not be able to be a good store. So, the metrics will definitely change. Our general trade over the next two to three years would be around 70%. Our online sales will go from 9% to 10% of what it is

today to around 12%, 13% and similar from 5% of our modern trade will go to 7%, 8%. Our export will be from 8%, 9% to around 10%, 11%. That's what is the market what we are looking at over the next three years.

Praveen Sahay: Sir, one clarification on the license for our 20-years. Can you elaborate further like how much the amount is and like how this structure is actually?

Pradeep Rathod : The brand is registered in one of our partner companies where the promoters are 100% partners over there. We have licensed this from Cello Plastic Industrial Works to our company for 20 years was the first thing and perpetually it can be automatic renewal. It is an exclusive license with Cello World Limited and none of the consumer items can be even manufactured by Cello World Limited
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the promoters who own the brand as a separate outside the company. There is no royalty and it is an auto renewal. So, you can assume that it is a perpetual license which we have worked for consumer-spaces across.

Praveen Sahay: How much amount paid for this?

Pradeep Rathod : No, we have not paid anything.

Praveen Sahay: So, there is no outgo of money, but we are having for 20 years and that will be auto renewal?

Pradeep Rathod : Yes.

Moderator: The next question is from the line of Jagvir Singh from Share Capital. Please go ahead.

Jagvir Singh: My first question is related to the writing instruments. So, we have done amazing work from zero to around Rs.300 crores in four, five years when we launch the Unomax. So, how much we are doing from exports and how much is the domestic and how big is the export opportunity for Indian players?

Pankaj Rathod : We are now almost four years into after launching the new brand Unomax in 2020. Last year, we had a turnover of Rs.285 crores. 40% was export and 60% was domestic. And I feel even in this year, I think it will be 35% would be export and 65% would be domestic. We feel that maybe we will have a 30:70 ratio going forward.

Jagvir Singh: But how big is the export opportunity, is there anything like for writing instrument?

Pankaj Rathod : What? I didn't get it.

Jagvir Singh: How big is this export opportunity? Is there anything like kind of writing instruments?

Pankaj Rathod : You mean to say the numbers what we did last year or this year ? What is the size of the market?

Jagvir Singh: Yes. How big is the opportunity for Indian players for the exports?

Pankaj Rathod : Size of the market is huge because if you see the world market , it can be like 40,000, 50,000 crores market all over the world is for writing instruments. We are just a very small part of it. About 150 crores export, maybe this year 40, 50 crores is very negligible. So, there is a lot of potential of growing in this market here.

Jagvir Singh: The clearance by a big company in the writing instruments being around Rs.1,000 crores of revenues?

Moderator: Your voice is not clear.

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Jagvir Singh: Sir, in the writing instruments, one player is a big company doing around Rs.1,000 crores of revenue, but then our margins are higher than the player. So, what is the main reason because we have

more exports or lower advertising cost or what is the reason for this?

Pankaj Rathod : We operate in a category which is above 10, we don't do below 10. So, this is one of the reasons and also our product mix and our pricing are better than the competitors. Because we add more value products instead of getting into those lower end volume products.

Jagvir Singh: And the in the opalware side largest and the oldest player have a very high EBITDA margin around more than 40%. So, our opalware business also can do at some point these kind of margins or we sustain these kind of margins in the opalware business?

Gaurav Rathod: I think we already do similar margins with our competitors. So , I think we're not far away from that anyways.

Jagvir Singh: Is there any thought on the merger of this Wim Plast because now we have two listed companies?

Pradeep Rathod : Over the time we will definitely think and consider that.

Jagvir Singh: We did two things in the last four, five years, one is the writing instruments, so we have done a zero to around 300 crores and second is the opalware, we did very good. So, any other product lines where we can do these kind of new categories where we can do this kind of a scale?

Pradeep Rathod : See , first of all , a new plant for glassware is coming up. Though it is an opal glass but it's

completely different at end use. So, that has a huge potential. For the next two years the glass plant and opal expansion we would like to concentrate much more on that to become a top level

plant. Porcelain is one project which is almost due to be launched in January where we will have more of hot drinks wares and this dinnerware. I think the company has a lot of verticals which we have already started in the last three to five years and which needs to be scaled up. So, we have a lot of these in our basket already to perform and to consolidate that on a higher level and maintain our profitability or grow from here.

Moderator: The next question is from the line of Karan Bhatelia from Asian Market Securities. Please go ahead.

Karan Bhatelia: How is the capacity ramp up going with respect to our expanded capacities on the opalware as of now?

Gaurav Rathod: So, opalware we have already expanded our capacities recently in August of 2023, so it's now in full capacity mode.

Karan Bhatelia: So, we are seeing the benefits already on volumes and on profitability side or we need to see the full benefits?

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Gaurav Rathod: So, we have seen already, but I think it will be better in the next coming H2.

Karan Bhatelia: Also, with respect to our Rajasthan facility, we'll be having 20,000 MT. So, do we have sufficient land parcel if we have to further expand that if the demand for glassware increases all of a sudden, so do we have enough land parcel at Rajasthan for glassware and for opalware at Daman?

Gaurav Rathod: Yes, we have a pretty big land parcel. So, all our expansion, whether it be glassware, plasticware, anything, for the next five to six years we have enough land parcel to grow all our verticals.

Karan Bhatelia: You did mention of a 20% kind of value growth on second half to second half, but any color on how with respect to first half and second-half growth what's the outlook over there because we don't have second-half numbers of last year?

Pradeep Rathod: If you see the first half of this year, we have done around 950 crores, full year last year was 1,796 crores. So, I think it would be clear from the historical and what we have achieved over here how would the second half look if we are assuming to grow at 20%.

Moderator: The next question is from the line of Deepesh Sancheti from Mania Finance. Please go ahead.

Deepesh Sancheti: Just one question about going ahead what will be the growth drivers -- will the

expansion coming

from glassware in Rajasthan will be the only growth driver or there will be an enhanced capacity utilization as well as CAPEX in other consumerware, writing instruments and molded furniture?

Pradeep Rathod: Definitely, we want to scale up in all. As we already mentioned, writing instruments is a small vertical which has started 3.5-years back and that has a lot of expansion and we have already created new capacities within writing instruments. Our consumer ware, glassware and opalware plus the other products which are the main line of the company insulated wares and all. We would definitely grow at a healthy pace in that also. Glassware could be a major driver. Writing instruments also can be a major driver to that, but our other consumer products also could grow at a very healthy pace. When we are assuming 20%, it won't be much different on this side.

Deepesh Sancheti: So, going ahead in FY25, we will be growing at a faster rate because of the glassware also coming into the sales?

Pradeep Rathod: Yes, definitely it will help further grow out the numbers.

Deepesh Sancheti: Now, Cello World, we are getting a price to earnings at around 60 whereas our subsidiary Wim Plast is getting a price to earnings at 15. Now, the merger will actually enhance the value for the company as well as the shareholders. Has the management thought about the prospect because this will also help reduce your shareholding to below 75%.

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Pradeep Rathod: We will at the right time definitely would like to do that. It would be unfair to comment or I don't think so I exactly I can give you the details on this call particularly. Once we have the approval of the shareholders and all that, we will definitely look into that.

Moderator: The next question is from the line of Manav Vijay from Deep Financial Consultants Private Limited. Please go ahead.

Manav Vijay: My first question is regarding the writing instruments division that you have. Could you please mention what is the capacity that you have and what is the utilization that you are doing right now over there?

Pankaj Rathod: Last year, we did around Rs.285 crores in writing instruments. We have a capacity which we put in the last year with the second plant is almost like 550 crore s volume we can do. So, that will be good enough for the next couple of years, yes. Capacity is not a problem, even as we grow at a healthy pace.

Manav Vijay: On the current plant capacity that you have, you can do around 550 crores of sales and there is

no further CAPEX?

Pankaj Rathod : We have to just add some more machines, that's all. The land, building and all the other products all are in line, just some more new machines will be added as and when the growth is like every year.

Manav Vijay: Second question is regarding this segment only. So, in response to one of the earlier questions where the difference between the gross margin and the EBITDA margin was asked by one of the earlier participants, it was mentioned that we do not operate under actually Rs.10 price front and the reason why we have the margin is actually slightly better. So, for us, what is the average selling price that we realize at the company level?

Pankaj Rathod : MRP of the product is Rs.10 and it goes to say metal pens which are almost Rs.200. Also, the difference is that we always choose the product even in a category to be commanding a better price because of our quality and because of our product demand. It's not just the MRP but also our net realization to the competitor is higher. We operate in a more innovative way in terms of the distribution, which gives a better margin. Second is also like we don't operate into a lot of categories like there can be a sketch pen which can be sold at Rs.12 for 12 pens but we are selling a coloring pen at about Rs.150 for the same product. So, it's

all depend on the product what we

sell. So, we are going with a more profitable business than just putting number. After that also we have a strong market to grow in this category. So, like in the last three years you can understand that we have scaled up this business from zero to say 285 and we this six months also we have grown very healthy. We want to grow at a more value added product rather than being on a mass market, where we don't feel any value.

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Manav Vijay: Is it possible to share the average selling price that you realized at the company level?

Pankaj Rathod : Yes, it's almost like Rs.6.5 to Rs.7 per piece net realization, because maximum is Rs.10 and then above, so it will be like somewhere at about Rs.6 or something.

Manav Vijay: My second question is regarding the opalware expansion that you have done. After the expansion, what is the total capacity, and on that capacity, what is the sales maximum possible that you can do?

Gaurav Rathod: I think we expanded our capacity by about 10,000 tons and the total sale that is possible now is in the range of 400 to 425 crores is what we expect from this plant.

Manav Vijay: With this kind of sales, what are the gross margins and the EBITDA margins that are possible?

Pradeep Rathod : We've already given the segment. The EBITDA margin would be in the range of around 27% to 28%.

Manav Vijay: And the gross margins of around 53%, 54%?

Pradeep Rathod : The gross margin particularly in opalware is different. So, we have given at a consolidated level of 53%.

Manav Vijay: Maybe just one concern that I have regarding your consumerware division. So, over there you have opalware, you have appliances and you have other kitchen instruments –

Pradeep Rathod : Steel vacuum glass, normal vacuum glass, lunch carriers, buckets, storage containers, there are many verticals. End use I think more than anything you can have. So, there are lot of products in that. I hope you wanted this. Was it on the same line what you asked?

Manav Vijay: In your current consumerware segment you have opalware and you have appliances. What you do not have is the glass.

Pradeep Rathod : Glass to an extent of import is already built in the opalware business. Because we started importing a little bit glass to have the feel of the market because we were putting the plant. What are the products and that's what we started importing just to have the feel what are the products we should manufacture when we start this plant because plant is one and then what types of products, every product has to have a different mold and the design and all. So, we have to make the molds. So, we wanted to have the feel, so we started importing to a small market what we did over the last two years and then we'll convert that into our production locally.

Manav Vijay: My last question is regarding sir, in glassware, you mentioned that you're putting up this capacity and this capacity can do around 250 to 275 crores of sales. What do you think is possible in how much timeline you can reach to this desired sales number?

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Gaurav Rathod: It's a continuous plant and I think we have sorted in that aspect. So, at maximum 2 to 2.5 years, we should achieve that number.

Manav Vijay: Gaurav, I think since this will be a continuous process, so you will run the plant actually at full capacity and you will continue to build the inventory till the time you will have the desired market, would that be right assumption to make?

Gaurav Rathod: Yes, that's correct.

Manav Vijay: At full capacity what kind of margins are possible?

Gaurav Rathod: We're looking at similar margins as we have in opalware.

Moderator: The next question is from the line of Pallavi Deshpande from S ameeksha Capital. Please go ahead.

Pallavi Deshpande: Just wanted to und

erstand two things. What would be the glass revenues in first half for us within consumerware 633 crores there? Second would be what would be Mi lton's capacity on the glass side?

Pradeep Rathod : Milton is not manufacturing any soda lime glass. 100% is on im port base. So, I don't know what are the figures accordingly.

Pallavi Deshpande: And these lunch boxes, they use the soda lime glass, right?

Pradeep Rathod : No soda lime is a vertical. Normally this drinkware, container s and everything what comes out of it at the end product. So da lime is a material name.

Pallavi Deshpande: What would be our revenues in the first half?

Pradeep Rathod : It is there in the consumerware completely because from a litt le competitive edge we are only giving at the gross margin levels, because we see all our busin esses are consumer based business as we have earlier strategized in that way. Some of the figures definitely I can discuss with you on this but we do not want to report into segment reporting. It gives a lot of insight of the company to the competitors.

Moderator: The next question is from the line of CA Arun Maroti from Subh Labh Research. Please go ahead.

CA A Maroti: My question is with regard to the borrowing which we show in t he balance sheet that we have good amount from the related par ty. So, some color on that goin g forward will be very helpful?

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Pradeep Rathod : When we consolidated all our companies into Cello World, the p romoters sold their partnership companies into Cello World. The money required by the company, which I've explained again it is a loan which is created by the transfer of asset which wi ll be paid back to the promoters in the next three to five years as t he cash flow of the company ha ppens.

CA A Maroti: On the opalware capacity side, i f you can share the current ca pacity utilization on that?

Gaurav Rathod: We've just expanded our capacity in August of 2023, and we cur rently are at 60% capacity utilization.

CA A Maroti: What is the expected timeline for the utilization of the 100%?

Gaurav Rathod: About 1, 1.5-years we should be completely utilizing the entir e capacity.

CA A Maroti: On the marketing spend side, as we have the brand ambassador M r. Amitabh ji, so what is the duration of that contract and what are our standard marketing s pend percentage of revenue and going ahead?

Pankaj Rathod : So, Amitabh Bachchan contract is like we renew every couple of years because he has this thing that he renews the agreement e very year. All the production and all the all the advertising, PVC is all being made and whenever we require, we will use him agai n , b ut o u r c o n t r a c t i s l i k e automatic renewal every year.

CA A Maroti: What is the percentage of marketing spend of the revenue?

Pankaj Rathod : With this kind of volume 2%, 2.5% would be a good size.

CA A Maroti: On the online sale, if you can share what percent of sale we a re getting from the e-commerce?

Gaurav Rathod: So, currently we are doing 8% of our revenue from our online b usiness, which we are trying to scale it up to about 10% to 12%.

Moderator: The last question is from the line of Karan Bhatelia from Asia n Market Securities. Please go ahead.

Karan Bhatelia: You did mention of getting more aggressive on the stationerywa re side of the business. So, if our realization on pens is 6, 6.5, what could be the average re alization for stationeryware and how it can change the blended margin profile?

Pankaj Rathod : It depends on what kind of stationery. So, during the season t he margins are a little higher.

Compared to our business we still feel that our writing instrum ents will be 70% of our business in future and 30% would be stationery. So, even if the statione ry pr o d u c t p r i c e s a r e h i g h e r , maybe in terms of the changes in terms of per product realizati on will improve every ye

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because we are also adding more value products, we are adding a bove Rs.10 like Rs.20, 30, 50.

With all these ranges maybe the price point will move up in fut ure. That's the whole idea of

getting into higher end product. Major volume will come from the mass product, but around Rs.10 product, but definitely we are moving towards higher price point.

Karan Bhatelia: With respect to margins, are they substantially better compared to the writing division or is almost at par?

Pankaj Rathod : So, we are almost at par, yes.

Karan Bhatelia: No, sir, going ahead, I'm saying –

Pankaj Rathod : So, we are already at a very healthy margin, maybe we'll continue this thing.

Karan Bhatelia: With respect to domestic export, it will be again 70:30 or the stationery will be more on the domestic side?

Pankaj Rathod : 30% will be export and 70% will be domestic for the next 2-3 years, this is what we are looking at, yes.

Moderator: As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Pankaj Rathod: Thank you, everyone for joining today's call. I hope that we were able to answer your questions satisfactorily. If you have any further queries, please contact SGA, our investor relations advisor.

Thank you and thank you to all.

Moderator: On behalf of ICICI Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2024

Cello World Limited

(formerly known as 'Cello World Private Limited')

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February 16, 2024

BSE Limited

Phiroze Jeejeebhoy Towers, Dalal Street,

Mumbai - 400 001

Scrip Code: 544012 National Stock Exchange of India Limited

Exchange Plaza, C-1, Block - G, Bandra Kurla

Complex, Bandra (East), Mumbai - 400 051

Symbol: CELLO

Sub: Transcript of Investor Call

Dear Sir(s)/ Madam(s),

Pursuant to Regulation 30 of the Listing Regulations, copy of transcript of the Investor call held on February 12, 2024 at 09:00 a.m. (Indian Standard Time) on the unaudited financial results for the third quarter and nine month ended December 31, 2023, is enclosed.

The said transcript is also available on the Company's website.

This is for your information and records.

Thanking you.

Yours faithfully,

For Cello World Limited

Hemangi Trivedi

Company Secretary and Compliance Officer Encl: a/a

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"Cello World Q3 FY-24 Earnings Conference Call"

February 12, 2024

Disclaimer: E&OE - This transcript is edited for factual errors . In case of discrepancy, the audio recordings uploaded on the stock exchange on February 12, 2024 will prevail

MANAGEMENT : M R. PRADEEP RATHOD – CHAIRMAN & MANAGING
DIRECTOR , CELLO WORLD

MR. PANKAJ RATHOD – JOINT MANAGING DIRECTOR ,
CELLO WORLD

MR. ATUL PAROLIA – CHIEF FINANCE OFFICER ,
CELLO WORLD

MODERATORS : M R. ANIRUDDHA JOSHI – ICICI SECURITIES

Cello World

February 12, 2024

Moderator: Ladies and gentlemen good day and welcome to Cello World Q3 FY24 Earnings Conference Call hosted by ICICI Securities.

As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Aniruddha Joshi from ICICI Securities. Thank you and over to you sir.

Aniruddha Joshi: Thanks Aditya. On behalf of ICICI Securities, we welcome you all to Q3 FY24 Results Conference Call of Cello World.

We have with us Senior Management represented by Mr. Pradeep Rathod – Chairman and Managing Director, Mr. Pankaj Rathod – Joint Managing Director and Mr. Atul Parolia – Chief Finance Officer.

Now I handover the call to the management for initial comments on the "Quarterly Performance" and then we will open the floor for question-and-answer session. Thanks, and over to you sir.

Pradeep Rathod: Good morning, everybody and a very warm welcome to everybody present on the Call. Along with me was joined by Pankaj Rathod, who is the Joint Managing Director and our CFO – Mr. Atul Parolia and our Investor Relations Advisor SGA.

The "Results and the Presentation" are already uploaded on the stock exchange and the company website. I hope everybody has a chance to look at it.

Cello World had a decent quarter in terms of revenue and profitability. During Quarter 3 FY24 we achieved revenue of 527 crores, EBITDA of around 137 crores and PAT of around 90 crores. Quarter 3 FY24 revenues grew by 24%, EBITDA grew by 30% and PAT grew by 30.4% on a year-on-year basis. As mentioned earlier these growth numbers are estimates. Kindly note, that the multiple partnership firms got merged in FY23. Hence comparative data for the same quarter of the previous financial year is not audited. The growth figures mentioned are approximate numbers.

Throughout the festive season we observed improved growth momentum. We are continuously adding new and differentiated products to our portfolio which is helping us improve sales and increase market share. Our strategies involve extending our sales and distribution network and enhance customer wallet share, establish partnerships with additional distributors and fortify our brand presence. Capital expenditures for the nine months of FY24 amounted to 168 crores, including a capital work in progress of approximately 48 crores. Anticipated total capital

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expenditure for the current year is around 250 crores. We have consistently demonstrated robust track record on OCF and EBITDA conversion in recent years. As we optimize the utilization of our asset, we expect the return ratio to remain strong.

With this belief I would like to hand over to our CFO – Mr. Atul Parolia for "Financial Updates".

Atul Parolia: Thank you Mr. Pradeep Rathodji and good morning, everyone. Before I give you a synopsis of financial performance, I would like to highlight that this entity is a combination of all consumer business of the promoter group. Our group restructuring was undertaken to consolidate the business under the company. However, all the financials for historical years have been restated and are fully comparable only on full year basis.

Talking about the Q3 Financial Year '24 performance; during Q3 Financial Year '24, we achieved revenue of 527 crores, EBITDA of 137 crores. EBITDA margin stood at healthy 25.9%. For Q3 FY24 revenue grew 24%, EBITDA grew by 30% and PAT grew by 30.4% on year-on-year basis. As mentioned earlier, these growth numbers are estimates.

Coming to our nine-month Financial Year '24 Performance:

We registered a top line of 1,4

88 crores of which (+67%) came from the consumerware 16.5%

from writing instrument and the remaining 16.5% from the moulded furniture and allied product.

The performance has been led by the volume growth and product mix. There was a degrowth in product pricing owing to raw material decline and pass through. In terms of channel mix, we have a strong presence in general trade which contributed 77.6% of our sales. Export revenue was about 9.3% and online sales contributed about 8.6% of the top line, remaining 4.5% came from the modern trade. We believe that there is a potential to increase contribution from both online and modern trade channels in the future.

Gross profit stood at 780 crores with a 52.5% margin. GP margin of consumerware was 52.8%, GP margin of writing instrument was 58.7%. Due to our continuous focus on product mix and valued products and our margin profile in this vertical is higher than the industry. Moulded furniture and allied product have a GP margin of 44.5%.

EBITDA came in 395 crores with 26.5%. EBITDA margin profile across vertical is also very

healthy. PAT was around 242 crores with 16.3% margin. The growth opportunity ahead of us are vast and healthy cash flow and balance sheet. We are well positioned to seize upcoming opportunities.

With this we open the floor for question answers. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. Our first question is from the line of Percy Panthaki from IIFL.

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Percy Panthaki: Again, just on memorandum basis, if you can help us understand the YOY growth of different segments that will be very useful.

Pradeep Rathod: On consumerware, we have grown 15.4% on revenue, in writing instruments we have grown 20%, on furniture and allied products we have grown around 2% on revenue side.

Percy Panthaki: Secondly, I just wanted to understand your margin trajectory going ahead, now with the input prices coming down, you have seen a margin expansion. How much of this do you think is sustainable in the longer run? Do you need to pass on anything further to the consumer should we be therefore sort of building in some moderation in the margins? Because what we are seeing although your growth is good, the demand environment overall is quite subdued. So, in order to spur growth do you need to do anything like that?

Pradeep Rathod: Yes, definitely. We did pass on whatever we could achieve more margins from our raw material pricing been softening. The raw material prices at this level have gone up by around 3% to 5%, what it has come down by 30% from last year till the 2 or 2& half - 3 quarters. It is a little up now and I think we will be able to sustain our margins if not increase further from here. At present because January is already passed, and we are in the middle of February. So that's what we are seeing. Yes definitely. The growth is not very high in the consumer market. It is little muted sales and that's why in my first statement also we said we could have achieved better if the market position was good. That's why it is a decent quarter, not the best quarter. That's what we feel. Going forward if the consumer demand increases, there will be an advantage on the margins also of the company.

Percy Panthaki: Can you help us understand the seasonality between the December quarter and the March quarter? So typically, on the sales March quarter in a normal year is typically what percentage of the December quarter and also in terms of margins the March quarter margins, are they higher or lower than the December quarter EBITDA margins?

Pradeep Rathod: Definitely, our March quarter will be in line with our 3rd Quarter which is there because October-November-December, Diwali being shifted this year in November. So that's why it was good, and our March quarter is always better than post Di

wali quarter. So, margin on product

lines but we will be in line of the margins what we are today.

Percy Panthaki: Any reason why the March quarter is as good or better than the Diwali quarter? Because I thought Diwali will be the time where there will be a lot of....

Pradeep Rathod: Because summer also in India insulated wares and for keeping beverages cold is a very big season and it is a long season in fact. Then back to school again is good in consumer side, water bottles and lunch boxes.

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Percy Panthaki: And last question from my side is how do you see the margins of the glassware segment? So, what I understand is that this is a kind of plant which has to be run continuously and for the demand to come up it might take some time. So, in the initial phase whatever you produce might have to be sold at a very low cost either in an export or in some wholesale or something like that.

So, do you see any margin pressure in the initial few quarters while this plant ramps up?

Pradeep Rathod: We have been running this similar plant in our Opalware which is also 24X7, 365 days working. In our sodalime glass which we are starting around first quarter of FY25, will grow up. Because in glass always you cannot be selling everything what you produce on the day one. And accordingly, the pricing will not get muted. I think that the margin levels after two quarters of running, it will be at the same level what we have projected.

Percy Panthaki: But even assuming good demand in the glassware, glassware typically would have lower margin than Opalware. So at a blended level do you see any margin pressure?

Pradeep Rathod: Not really. What kind of product mix you do accordingly because there are segments in glassware which gives really good margin on that. And what we have projected what products we are trying to develop, I think so it will be light, a percentage or two plus or minus. But the capacity is much higher in terms of tonnage over there of the furnace. So that will give us a better cost also.

Moderator: Our next question is from the line of Achal Lohade from JM Financial.

Achal Lohade: Can you just clarify; you mentioned revenue 24%, EBITDA 30%, PAT 30% growth. Was that for 3Q or was that for nine months?

Pradeep Rathod: It was for Q3.

Achal Lohade: But you also mentioned numbers of 15.4% for consumerware, writing instrument 20%, furniture 2%, again was that for 3Q?

Pradeep Rathod: That's for nine months.

Achal Lohade: Since you've given the revenue kind of growth, can you also help us understand in terms of the volume growth for each of these three segments, a ballpark number for 3rd Quarter and nine months?

Pradeep Rathod: So, if I think the volume growth for our consumerware would be at least 5% to 6% more than the value growth. As I earlier also stated in the last quarter meeting, because of the raw material we are passing on some part of it and even writing instruments is not much, volume and value is almost similar, 2% maybe and furniture of course it is around 14% to 15% volume growth. Volume is around 14% to 15% growth; value is only 2%.

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Achal Lohade: And if you could also help us for nine months.

Pradeep Rathod: So that's for nine months.

Achal Lohade: This is for nine months. You have for 3Q as well.

Pradeep Rathod: Q3, it would be on a similar ground because the raw material for the first three quarters was lower only and accordingly, what we had passed. So, in fact there would be furniture and all I think we will have to increase the price, or we will have to stop little discounts going forward because there the raw material effect is much higher than any of our other products.

Achal Lohade: If you could give the revenue growth for 3Q for each of these three segments.

Pradeep Rathod: Revenue growth for Q3. So Q3, the

revenue growth for consumerware it was 31% for Q3, writing instruments was 9.2%, furniture was 9.4%.

Achal Lohade: And assuming a similar price impact, it means the volume growth in consumerware is actually 36 - 37%. Have I understood it right?

Pradeep Rathod: Yes, volume growth.

Achal Lohade: Can you help us understand any of the categories which have seen dramatic change in terms of the growth or momentum, especially given the weak demand post festival?

Pradeep Rathod: Festive season was there in October. October was a very high growth month for us because in Diwali and product category wise is not a single category on an overall market the sales increased. So, there are consumer insulated-ware like casseroles and all which are somehow made for specially gifting and presenting that grew a little higher and it's always there in that month.

Achal Lohade: I think given the numbers what peers are reporting and not for our category per se but in general for the kitchen appliances, this is actually super awesome. Now second question, if you talk about the RM price change for 3Q and the current how they are trending.

Pradeep Rathod: So, the raw material price has gone up by 5% I said, so 5% if you see gross margin levels it would affect around 1.5%-2%.

Achal Lohade: So the 5% increase is happening in fourth quarter, right or 3rd Quarter the prices have....?

Pradeep Rathod: Yes, fourth quarter. We still have a little raw material which is there of lower for this quarter, I don't think so it will be a major effect at all.

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Achal Lohade: Can you help us in terms of any guidance you could provide for the revenue growth and the margins for the company?

Pradeep Rathod: We would like to stay on the line of growth what we had earlier projected, plus-minus the raw material pricing. So, in (+20%) growth level we would like to keep.

Achal Lohade: This is for revenue, right?

Pradeep Rathod: Yes, for revenue.

Achal Lohade: About EBITDA or PAT.

Pradeep Rathod: Similar level that what we are in percentage terms. So, you could relate it directly to that.

Achal Lohade: Another question I had is if I look at QOQ, there is a revenue increase of about 6%-7% but the other expenses have seen a drop. Can you clarify if there is any particular line item which has seen a decline in the other expenses?

Pradeep Rathod: Other expenses increased.

Achal Lohade: It was 93 crores in 2Q and that went...

Pradeep Rathod: Q2 to Q3 you're talking about?

Achal Lohade: Yes, QOQ.

Pradeep Rathod: Near 3 crores.

Achal Lohade: Given the sales have increased by 8%, logically there would be some increase. But there is a drop. Is there any reduction in the advertisement sales promotion expenses?

Pradeep Rathod: No advertisement. This was the highest quarter that we did advertisement. In percentage terms it was almost a percent more than what we normally do.

Achal Lohade: I was checking from more absolute number perspective. If there is any provision write back or anything of that sort.

Pradeep Rathod: But I don't have really the other expenses at present. But we will give you the detail on this.

Achal Lohade: One more question I had with respect to glassware the new facility; is it on track to commission in March '24 or you said 1Q FY25?

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Pradeep Rathod: No. So, the production will start in first quarter because the furnace will get fired by end of March. 15 days plus and minus. So, the main production and the category what we want to make will come in another two months in fact. So, the sale conversion would be around June because 20 days the furnace will.... Then we have the best good glass coming out of it. And then we have to make almost 80 to 100 SKUs ready to launch in the market.

Achal Lohade: One more question I had was for the writing instrument; Jan-M

arch this quarter a fairly large

one. So, can you guide us how things are playing out in this particular segment in the month of January, even in February as we speak?

Pankaj Rathod: So, January was not very strong because this normally happens because in the winters in the north there is less people footfall in the retail shops. But February and March because being an exam season now, the volumes have started picking up and we said that we feel that these two months would be a good strong months for us.

Achal Lohade: And just a bookkeeping question with respect to retailers in each of these three segments and how do you see it increasing over next 3-4 or 5 years?

Pradeep Rathod: I couldn't get it properly. Could you please repeat this?

Achal Lohade: The distribution in terms of retail reach, retail touch points what are they currently as of December for consumerware, writing instrument and furniture? And how do you see it increasing over next 3-4 years? Where I'm coming from this 20% growth what you are aiming for, how much of that would be actually driven by distribution expansion/the wallet share?

Pradeep Rathod: Distribution expansion is on a continuous basis, in writing instruments it is the highest retail point increase because as I said earlier also last year, we were only at 55% to 60% of the geography of India. And on a full scale of writing instruments, we assume that we would have around 2.5 lakh retailers to touch, what were at (+150) in last year 75,000,

Pankaj Rathod: We are growing at about 10% to 15% every quarter. So, I think by the end of the next year we will be almost doubling this number of retailers.

Achal Lohade: And how about the consumerware?

Pradeep Rathod: Consumerware is a large business, very big... because it would be around some details of we do not have a real track on that. But as our distribution expands into rural areas what I have said earlier, going forward next 3 to 5 years Indian rural market is picking up on this kind of a products in a big way. And though last two-three quarters were not really subdued in the rural areas but going forward I think the next 3 to 5 years, the expansion in rural areas will be very

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high. So, we are reaching at every district and that number of retailers which will convert into holding this kind of product across it will be in 3 to 5 years, the retail has to double from here on this kind of product because the nuclear family is coming up even in smaller towns, the enhancement of using this product will be very high. That's why the rural area expansion is much more what we rely on over the next 3-5 years.

Achal Lohade: Just to get deeper into this subject, what is the current rural mix we would have and how do you see it changing? Number two, will this come at similar margin or lower margin at gross as well as EBITDA level?

Pradeep Rathod: It will be at a similar margin because we are not a very high premium product, or we are a general day to day common man product. So, I don't think so. There would be a differentiation of pricing over there. Of course, maybe some freight element and all would be a little higher in the initial time but going forward it will definitely be at the same level.

Pankaj Rathod: Maybe the rural market we will have a lower price point products selling more but the margins are similar on those.

Achal Lohade: And what is the mix currently from rural?

Pradeep Rathod: Rural in consumerware would be around 18% to 20%.

Achal Lohade: And over next 3-4 years will this go to like 40%-50% or will it be like that?

Pradeep Rathod: (+ 35) is definitely 35% to 40% because urbanization is also happening. So those people who shift from the rural India to cities, smaller cities and towns that's why those who have a little more pocket to use this kind of product are also getting urbanized.

Achal Lohade: Any comment on the new product category within consumerware which you are adding or which you have recently added and will see a fastest growth?

Pradeep Rathod: We have not added any category per se but yes development of new products are always there every month. And the category which we will add will be the glasses, what we will add in the time to come in next 3 to 6 months.

Moderator: Our next question is from the line of Praveen from Prabhudas Liladher.

Praveen: First question is related to the increase in the raw material. So, will it be possible that the coming quarter you'll be able to pass on the increase and our gross margin back to the first half level?

Pradeep Rathod: We will be able to pass on. Maybe if it doesn't pass on in a month it would be a month later. At present as I said for next one quarter, we do not assume that our raw material prices or the gross

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margins will reduce because of the raw material price increase because we have inventories over there at a good pricing and good quantity.

Pankaj Rathod: Because also, this year has been an overall subdued for the consumer market. So, there were a little bit more price discounts which were given in the market. And once the market improves, I think we will have to withdraw some of them. So that will take care of the raw material price increase also and maybe some we may increase.

Pankaj Rathod: This would have been a better year. Maybe the margins would have improved because we have put a lot of good product mix with the more value-added products in the market. But because of the market being slow we couldn't really get the fruit of that. So maybe in the next coming years I think we will get more benefit out of that.

Praveen: Second is on the quarter number on the distribution. If I just back calculate with your numbers of first half and the nine month, the general trade is increased for a quarter. So, it's reached around 80% around. So, is there the seasonality every 3rd Quarter general trade is on the higher side because of the large consumer numbers, is it like that?

Pradeep Rathod: Yes, because Diwali month the general trade and presentation because presentation material is not very high on online and other things. It is much more on the retail. So online product sales are normally which are consistently selling not only seasonal products to that aspect. And that's why the retail and general trade always increases in this quarter.

Praveen: And second thing is on the rural, you said the 18% to 20% of a consumer is rural mix which you wanted to take it to 35%-40%. So, if you can some color on the distribution mix like (+700) of your consumer distributor or (+58,000) of a retailer, how much is your rural based and where you are taking these numbers to?

Pradeep Rathod: If I see about the consumer, if I talk only about the consumer, the number of distributors would not increase like what we grow accordingly because the distributor expansion on his area and territory also is there, the number of retailers sub-distributors will be more because at a smaller and we will have to have sub-distributors. Because he will not be able to keep our total basket of products because the range is too huge. And if the sales are smaller, it will have to be supplied from the distributor to the sub-distributor. So that number will increase at a fast pace.

Pankaj Rathod: Which is directly handled by the distributors. So, we will not be in touch with those sub-distributors. Our distributors in case will take care of that.

Praveen: So, the distributor one is handling the rural and the urban both. So, we are also not able to segregate which are the rural or the urban.

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Pradeep Rathod: Rural and urban that way because our distributor, if I give an example of Jodhpur as a city where we have a distributor. So, a

district below that there are around five districts which are there. At two of the district headquarters, we have distributors. But the other three which are smaller districts where it is supplied through the Jodhpur distributor and earlier, he was directly doing it to the retailers. So now we are wanting to put a stop point as a sub distributor over there in the district. That's what we are trying to do. So, if we have a distributor then the range and the material supply in that district will be much faster.

Praveen: One more thing on the writing side. If I look at it, there is a seasonality you had said for the

fourth quarter, definitely would better off. But in the first half also if I look at the growth is quite good as compared to 3rd Quarter. So, 3rd Quarter is usually a lean quarter for the writing instrument business.

Pankaj Rathod: Fourth quarter is a good quarter; the first quarter and fourth quarter are better quarters because the first quarter is back to school and the last quarter is exams.

Praveen: So, the first and the fourth is heavy quarters and the second and the...

Pankaj Rathod: There's not too much difference between all the quarters maybe at 10% here and there, yes. The first quarter is very strong. Second and third are okay and the last one is again good. So more or less the difference between all four quarters will be not too much of 10% or something like that.

Praveen: And so as for our export business as well because that is I think writing is a larger proportion.

Pankaj Rathod: Export we are fully booked for at least for the next 3 months. So, we have orders in hand, it's just the execution part.

Praveen: So basically, this quarter export is also down. So that's why I'm asking, there also seasonality depends on the writing business.

Pradeep Rathod: Little bit, not much because in the US and all they buy the material much earlier for the back to school and everything because the timeline period to go to the store in US it takes a lot of time.

Praveen: And just the last thing on utilization of each segment and how much is the in house for a quarter this time?

Pradeep Rathod: Utilization is almost similar level what it was last because we have not grown very high. Of course, on our consumer side we have utilized a little higher our capacities. But on the other side, we still have capacities and we are things on most of the fields, all the three, capacity utilization in consumer value would be around 75% to 78%, furniture still it is very low at around 70%-72%, writing instruments also we are around 75%.

Praveen: And in house is 80% of yours total.

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Pradeep Rathod: In our field one more thing I would like to clarify is the capacity utilization in mostly plastic products and this, really depends upon what kind of product you're making because there are always four parts in a casserole if I talk. If I make a casserole with a higher value addition like plating and making it golden and all the value increases much higher. So, to tap it really what is the capacity utilization is only estimated figure. Last year I can say I'm working, my furnace is working at what level, 100% or 85% because it's in tonnage. Here it is number of pieces from a raw material which is converted from kg to pieces.

Pankaj Rathod: Plus, our capacity on the houseware business or plastic houseware business or souware are just to adding some more machines. So that doesn't take much time. Even in the writing instrument we have two units which are capable of almost doubling the sales from here. We add machines as per the growth.

Praveen: Any number on '25 CAPEX?

Pradeep Rathod: CAPEX earlier what we are given in '25, the major CAPEX would be only like contested on our existing product line. So, the major CAPEX is this year only because the glass was the major CAPEX what

we said, next year the CAPEX would be around 55 to 60 crores.

Moderator: Our next question is from the line of Akhil from B&K Securities.

Akhil: My first question is on the capital deployment side. Would it be possible to give how is the capital deployed across the three segments as on nine months of FY24?

Pradeep Rathod: Capital deployment, it's not there with us. We have not segregated that.

Akhil: Would it be possible like at least a ballpark figure on...

Pradeep Rathod: We will give you the exact figure in a couple of days if you want.

Akhil: And operating cash flows for the nine months.

Atul Parolia: Cashflow we are not prepared.

Pradeep Rathod: So that will be year-end. We will give you in the next quarter.

Akhil: Second on the Opalware side. We did capacity expansion around August last year. The current capacity is at 35,000 tons, is that right?

Pradeep Rathod: No, it is around 25,000 tons.

Akhil: After the expansion?

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Pradeep Rathod: I'm really sorry on that. The furnace capacity is different. But we have two kinds of calculations. So, when I say we have a capacity of around 82 tons of furnace. 82 tons into 365 30,000 but what we get in hand is around 80% efficiency. That's around 25,000 tons.

Akhil: And last meeting we had highlighted that we should touch around 430 to 450 crores of a top line at the peak utilization, is that number correct?

Pradeep Rathod: Yes, 420 crores for Opalware. That's the selling price what we are selling today and the capacity what we have.

Akhil: And would you be able to highlight the margin profile in Opalware segment for us?

Pradeep Rathod: So, we have kept consumerware together and it really opens a lot of things for the competitor. I would like to keep it together please.

Akhil: But would it be in line to the market leader of Opalware or would it be slightly below them?

Pradeep Rathod: It is at a similar level, a little below maybe because of the depreciation which we have a new depreciation they had earlier 1%-1.5% is the difference.

Akhil: And this 420 crores of top line you said we should be able to achieve by '26, right?

Pradeep Rathod: Yes.

Akhil: And lastly on the soda lime glass facility, the capacity is of around 20,000 tons. Can you please highlight the margin profile in this segment? And second is how much of time it will take to reach the peak utilization and what kind of sales we can generate from soda lime?

Pradeep Rathod: So, the revenue would be around 225 to 230 crores at the peak. And to get up to that, so we are replacing the import. So really speaking whether we will be able to achieve in 1.5 years or 2 years, that would be the timeline. So, it could be earlier because we are just replacing, there's an 800 crores of import which is coming into, and we would be replacing that. So, the demand for our goods would definitely be there. How fast we could do is minimum is 1.5 years and maximum could be 2 years.

Akhil: And the margin profile for this segment would be in line to Opalware?

Pradeep Rathod: Yes, in line with Opalware. It looks like we have to test the waters yet.

Akhil: How big is the opportunity size in this segment?

Pradeep Rathod: So, glass could be very big because as I said 800 is import. There is no really prominent local player in India, and we have taken one of the best equipment. I think the quality as we desire to

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have if it comes, the market will not be a problem for growth from here. So, we're just still waiting to have our first product get into production.

Akhil: But are we playing on the price point like the imports are expensive because of antidumping duty or something of that sort?

Pradeep Rathod: No, on glass there is no antidumping duty at present. Of course, freight is there, is one element which will be around 8% to 10% that le

verage we will definitely get and 20% duty on the product. Though dumping is a lot big problem in glassware around the world. But with these two things, we would be able to achieve our margins.

Akhil: We will be price competitive at least if not 30% but at least 10% to 15% as compared to imports?

Pradeep Rathod: Sure.

Aniruddha Joshi: Just 2-3 questions from my side. One is regarding the pricing. So, when the commodity prices are volatile, we need to take the price hikes or price cuts. So, when do we do this exercise means is it every month exercise or it's a quite frequent exercise. And also, how do we change the price? Basically, we increase the trade margins and then it is up to the trade to pass it on to consumers or in a way how does it operate?

Pradeep Rathod: Normally on a consumerware we always do not change our MRP. So, we adjust it with a scheme which is ongoing every time when the prices are good. If the prices go up then we reduce that discount what we have to pass on.

Aniruddha Joshi: So essentially it is then left with the trade to in a way decide whether he wants to fully retain that or partially retain that or pass it on.

Pradeep Rathod: No because our salespeople definitely make that pass because we then give a little target also, if you buy the general goods you will get 3%-2%-5% accordingly. So they have to achieve something to get that discounts also.

Aniruddha Joshi: What is the ad spend target? Because we have seen one or two players in the industry also incurring up to 8% of sales as ad spend. Especially coming up in order to support the additional sales of glassware and Opalware what will be the strategy in terms of the increase in ad spend in FY24?

Pradeep Rathod: Definitely we are looking at recently more ad spend than what we have done over the past years. We want really to bring the trend up. So, as the margin presses and when our revenue pocket size is increasing in a bigger way, I think so our spending amount itself will be very big, will be much at a decent level what it was. It was much higher than what we spent over the last 2-3 years.

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Aniruddha Joshi: Any ballpark guidance that you can share in terms of percentage of revenues or any percentage

terms?

Pradeep Rathod: We really want to target at around mid-20s as revenue growth over the next 2 years.

Pradeep Rathod: I am saying ad spend to sales ratio.

Pradeep Rathod: So, the ratio would depend upon the market situation how it goes because it would be around 4.5% to 3%. 3% we would like to do for next year.

Aniruddha Joshi: Last question from my side, can you elaborate bit more on the contract with Mr. Amitabh Bachchan, for how long he is going to be brand ambassador and is there any plans to in a way diversify or add more celebrities for the company?

Pankaj Rathod: Right now, Amitabh Bachchan, we have this agreement with them which will end up middle of next year and then it will be renewed for another. So, we do every year renewal for the release that's all because they normally do one to one year, they don't do it for a long period. But mostly every time we have been doing this for last 5-6 years, so we are continually reviewing the agreement every year.

Moderator: Our next question is from the line of Karan from Asian Market Securities.

Karan: Very strong growth in consumer wear is also contributed by Opalware segment which has seen some kind of capacity expansion lately, so can you give me revenue numbers for Opal and glass for 3 months and 9 months and the growth on a nine-month basis?

Pradeep Rathod: Opalware we have kept it together, so we are not projected separate numbers.

Karan: Can you throw some light on the capacity utilization on the expanded capacities in the Opalware in Daman now?

Pradeep Rathod: I think for sales manufacturing, so we are doing 100%.

Pankaj Rathod: No what is he

saying that the capacity is in Daman.

Pradeep Rathod: Yes, it's in Daman only.

Karan: So how is the capacity ramp up after the expansion at Daman?

Pradeep Rathod: So, the production side it is full. We are doing...

Pankaj Rathod: No, he's saying the second plant what is the capital utilization. That is what he meant.

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Pradeep Rathod: Can you please repeat? Do you want?

Karan: I was asking for the capacity utilization on the expanded furnace at Daman.

Pradeep Rathod: Because the product lines have changed, so I cannot but overall, our capacity earlier was around 14,000 tons of glass and now it has become 24,000. so out of that at present we are utilizing around 60% to 65% on sales.

Karan: Also, can you throw some light on the new SKU launches across categories for these nine months?

Pradeep Rathod: SKUs as a product we have introduced in our consumerware, around 80 SKUs, writing instruments in nine months.

Karan: YTD FY24. That will be helpful.

Pradeep Rathod: Writing instrument, SKUs will be like 40 to 50 new SKUs over there, moulded furniture we have introduced around 14 new SKUs.

Karan: And the expansion on the channel side, dealer distributors for nine months expansion compared to '23 numbers?

Pradeep Rathod: As I said, as Pankaj has already explained on writing instruments, we are increasing at least 10% to 15% retail end at every quarter.

Pankaj Rathod: But there are new categories also we are entering into the writing instrument because we are a new company for last 3 years only, so there are a lot of other categories where we are not present.

So, we are in the process of adding and maybe the next year would be more categories which will be coming. So that will take care of the growth and plus we are expanding our retail touch points.

Karan: And on the value addition side for moulded furniture were targeting kind of (+30%), so how are we out there as of now?

Pradeep Rathod: Yes, you are right, we were around 10% to 12% when I last had a call a year back maybe. And this year we would be growing around 3%-4% in a mix, there are value-added products which we started 2.5 years back which is now giving around 14% to 15% of the revenue.

Karan: 14% to 15% of revenue compared to 10% a year back?

Pradeep Rathod: 10% to 12% yes.

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Karan: And one last thing from my end, we were kind of expanding a couple of categories on the writing and stationary part. So how are things progressing there and the addressable market out there?

Pankaj Rathod: We are getting into this coloring pens and all those stuff which will be added in the next year.

The writing, coloring instruments which are mainly sketch pens but not those lower end but the higher end ones with brush markers and paint markers and with calligraphy pens and all those and we get a little more value-added products. This will be added in the first quarter and some of them in the second quarter of next year. So that would be a market where we look at a very niche type of product. At the moment nobody's getting into that category. So, everything in those coloring is a very low-end product. As we saw that remember we always wanted to be more on value added products than being in a mass very lower end of the product. So, we are not going only for volume, but we are going for more value-added volumes.

Moderator: Our next question is from the line of Saket from Kapoor Company .

Saket Kapoor: Firstly, in terms of the moulded furniture category, this business is entirely housed in the subsidiary WimPlast, or do we have separate entity under any of her company also?

Pradeep Rathod: No, it is at WimPlast.

Saket Kapoor: So, when we look at the quarterly performance also, there is a dip in the margin in the plastic furniture and the allied product segment. So, what explains this dip in margin because

use for the

nine months the margins are higher than what this quarter numbers have been? So if you could explain.

Pradeep Rathod: On the nine months it is on the similar lines.

Saket Kapoor: But quarterly there is a dip when we look at the profitability.

Pradeep Rathod: Probably it could be because of the product dip what we sold of 1% is what the difference is.

Saket Kapoor: So, going ahead what should we be penciling-in in terms of this segment performance for the year as a whole and also your strategic move going ahead, what should be the likelihood? We had some headwind issues in terms of the raw material prices especially. So, if you could give us some color how is this category going to shape up.

Pradeep Rathod: As I said earlier also, we are going for little value-added products and niche products in this which we started 2-2.5 years back and we have achieved around 15%. Going forward we want to grow that and go up to around 25% to 30% of the revenue coming from there, which will definitely help us increase the margins also in percentage terms.

Saket Kapoor: What should be the margin bracket we should look and currently if you could just correct the raw material vagaries?

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Pradeep Rathod: This would not be in consumer products, but I think so, we would like to take it around 15% to 16% PBT.

Saket Kapoor: 15% to 16% should be the PBT margin for the plastic furniture segment?

Pradeep Rathod: Yes.

Saket Kapoor: And what is the volume growth we will expect?

Pradeep Rathod: The volume here largely would depend upon the volume growth.... volume growth would be around 15% is what we are targeting because not much higher than that.

Saket Kapoor: And what has the growth for the nine months in terms of volume?

Pradeep Rathod: Volume I said 15% because the value if you still see is only 1.9% because of the raw material which was very low in the first three quarters. That's why there was a price. what we passed on was in the range of around 13% to 16%.

Saket Kapoor: And we were also expecting some land and building sale under this category? I think so for the cooler part the investment which we have made earlier, have we gone through the transaction or if you could give us some color?

Pradeep Rathod: It was for the previous quarter.

Saket Kapoor: So, we have concluded the transaction?

Pradeep Rathod: Yes, we have concluded. It was not only for coolers; it was a very big building what we had. And we have shifted the cooler also to our Daman plant.

Saket Kapoor: Going ahead also, in your presentation you did allude to the fact that we have been restructuring the structure of the company. So, like you have mentioned, group restructuring process. So where are we and what should your investors in WimPlast Limited should consider in terms of the restructuring process, over the years what should they look ahead? If you could give us some timeline or some idea when you speak about group restructuring.

Pradeep Rathod: Yet it is not concluded in the board. So, I will not be able to answer this, but it will be very soon.

Saket Kapoor: So, we may look forward for further restructuring and further rationalization going ahead, that is what you are saying?

Pradeep Rathod: Yes sure.

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Moderator: Thank you. Ladies and gentlemen that was the last question for the day. I now hand the

conference over to management for closing comments.

Pradeep Rathod: Thank you everyone for joining today's call. I hope that we were able to answer your questions satisfactorily. If you have any further queries, please contact SGA, our Investor Relations Advisors. Thank you very much.

Moderator: Thank you. On behalf of ICICI Securities that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2024

Cello World Limited

(formerly known as 'Cello World Private Limited')

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May 31, 2024

BSE Limited

Phiroze Jeejeebhoy Towers, Dalal Street,

Mumbai - 400 001

Scrip Code: 544012 National Stock Exchange of India Limited

Exchange Plaza, C-1, Block - G, Bandra Kurla

Complex, Bandra (East), Mumbai - 400 051

Symbol: CELLO

Sub: Transcript of Investor Call

Dear Sir(s)/ Madam(s),

Pursuant to Regulation 30 of the Listing Regulations, copy of transcript of the Investor call held on May 27, 2024 at 09:00 a.m. (Indian Standard Time) on the audited financial results for the fourth quarter and year ended March 31, 2024, is enclosed.

The said transcript is also available on the Company's website.

This is for your information and records.

Thanking you.

Yours faithfully,

For Cello World Limited

Hemangi Trivedi

Company Secretary and Compliance Officer

Encl: a/a

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"Cello World Limited

Q4 FY '24 Earnings Conference Call"

May 27, 2024

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 27th May 2024 will prevail

MANAGEMENT : MR. PRADEEP RATHOD – CHAIRMAN AND MANAGING
DIRECTOR – CELLO WORLD LIMITED

M R. GAURAV RATHOD – JOINT MANAGING DIRECTOR
– CELLO WORLD LIMITED

M R. ATUL PAROLIA – CHIEF FINANCIAL OFFICER -
CELLO WORLD LIMITED

Cello Word Limited

May 27, 2024

MODERATOR : MR. MANOJ MENON - ICICI SECURITIES

Moderator: Ladies and gentlemen, good day and welcome to the Cello World Q4 FY24 Earnings Conference Call hosted by ICICI Securities. This conference call may contain forward-looking statements about the company which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference has been recorded.

I now hand the conference over to Mr. Manoj Menon from ICICI Securities. Thank you and over to you, Mr. Menon.

Manoj Menon: Hi, everyone. On behalf of ICICI Securities, it's our absolute pleasure and privilege as always to host the management of Cello World for the results conference call. Today, the management is represented by Mr. Pradeep Rathod, Chairman and Managing Director, Mr. Gaurav Rathod, Joint Managing Director and Mr. Atul Parolia, CFO. Now, over to the management for the opening remarks, post which will open the floor for Q&A. Thank you and over to you, sir.

Pradeep Rathod: Good morning, everyone, and a very warm welcome to our company's earning call. Joining me is our CFO, Mr. Atul Parolia, and our Investor Relations Advisor, SGA. The results and presentations are available on the Stock Exchange and our website. I hope you had a chance to review them. This past year has been exceptional, characterized by our successful IPO to strong performance across all segments. Despite very sluggish demand in the consumer segment, we achieved 11% topline growth and accelerated profitability.

In Q4, we saw a 5% year-on-year rise in revenue and a remarkable 20% year-on-year growth in EBITDA. Driven by the promising demand in hydration, back-to-school, and furniture segments, the establishment of a new Rajasthan facility will further strengthen the glassware business, setting the stage for robust growth over the next two years. Looking forward to FY25, we anticipate a growth of around 15%-17%, fueled by all segments and the new plant. We expect EBITDA margins to remain steady at 24%-26%, as our focus remains on surpassing industry growth and enhancing our position in the consumer market.

We are confident in the growth potential of our diverse portfolio, which aligns well with the trend of premiumization of the product portfolio. Now I'll hand over to the CFO, Mr. Atul Parolia for the financial highlight. Thank you very much.

Atul Parolia: Thank you Pradeepji and good morning to everyone. In Q4 FY '24 we achieved a revenue of INR512 crores and EBITDA of INR140 crores with the healthy EBITDA margin of 27.3%.

Looking at the full year financial performance we generated a total revenue of INR2,000

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crores with over 66% coming from consumer ware, 17% from writing instruments and remaining 17% from the molded furniture and light products.

We have witnessed a 2.5% improvement in overall margins compared to FY23, driven by volume growth and product mix optimization, despite a decline in product pricing due to raw material costs. In terms of our channel mix, general trade contributed 77% of our sales, while export and online sales contributed approximately 10% and 8% respectively, with modern retail contributing the remaining 5%.

Our gross profit stood at INR1,052 crores with a margin of 52.6%, consumer ware gross profit margin was 53.5%, writing instrument margin was 58.8% and molded furniture margin was 42.7%. EBITDA reached INR,535 crores with a mar

gin of 26.7%, reflecting healthy

performance across all verticals. Profit after tax grew by 24%, to INR,333 crores with a margin of 16.6%. We maintain a healthy operating cash flow of INR231 crore.

With this will open session for question and answer.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Ankur from HDFC Life. Please go ahead.

Ankur: Good morning, sir. Thanks for your time as always. I have a couple of questions. One, if you could just talk about some of your key categories, right? So, bottles, lunchboxes, writing instruments, just trying to understand even Opalware, how have they done in FY24? How are you seeing trends right now? How's overall demand? So, one was, of course, how's FY24 been? And more importantly, how are you seeing demand right now in FY '25?

Pradeep Rathod: So, Opalware, we did a sale of around INR342 crore, which includes a little bit of glass. The margins were pretty robust. It increased by almost 2% over the FY23. Writing instruments, again, has grown at a very healthy pace. The writing instruments, though, we are already giving you a separate this. If you can see, this is a heavy product.

Now, the sales was around INR333(wrongly said, its INR 334) crores. And if you see the EBITDA margins stationary is at around 29.3%, which earlier was 25.8%. So, all the verticals, each, including furniture, the margins have gone up because the raw material was quite favourable last year. It is still not at the top.

So, we still expect the margins to stay at this level. Demand has picked up very well in March and April early, but I think so because of the ongoing elections. A little muted for some time, but I think so there should be a robust demand, because we are expecting a very good monsoon, what we have seen this time.

And the rural demand has started picking up. Urban demand is still not at the top level, what we expect. But I think the 15% to 17% revenue growth is what we have projected in most of the segments. Like furniture definitely would depend on the price. So, if you see last year also, out of the 11% growth, furniture was the least in contributing in sales because the raw material was at a favourable price. So, we were almost passing 12% to 14% to the market.

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So, that's why the value, volume was a little higher, but value did not reflect to that level. So, given that furniture and given the price, in fact, the volume growth in last year also in most of the segments would be around 15%. So, we are projecting 15% to 17%.

The glassware unit we are waiting, once it starts now in firing that could give us maybe an additional growth of around 3% this year. So, our target is 15% to 17%, but we could try and achieve around 20% growth.

Ankur: Okay. And if you could also touch upon lunchboxes and bottles, the consumer ware category, how have they done?

Pradeep Rathod: Consumer ware back to school has now just started and that is doing very well. The second segment what we are doing, all the bottles, because the heat is also very high and the bottle category is really doing very well. Both in, even in glass, also the bottle categories are doing much better because the individual bottle system which has started in the last four years pre-COVID, from the COVID time, is enhancing category at a very big level.

Ankur: And just one last one on this is -- this whole BIS which has come up on steel bottles, right, which essentially means that players, including yourself, would have to make these bottles in India versus imports. So, any -- what are plans for us? In terms...

Pradeep Rathod: So, BIS is now extended till 4th June and I think so it will get further extended on the import. Even on local, you have to take the BIS by September. Then the manufacturing of the -- these are particularly vacuum bottles. All insulated bottles we are

making within 100% in our own

factory. But vacuum bottles are 90% imported. Not only for Cello but everything.

So, I think so there will be a window for a little larger period to people to set up the units and all. We have already taken BIS extended for our insulated bottles -- what we manufacture for Ireland and all. We have already got the certificate for all our three companies. And all the other products like lunch carriers, where we use steel and plastic together insulated, we have already taken the BIS certificate for that.

We have been given also -- I think so Cello is the first company to get this BIS certificate on this.

Ankur: Okay. So, are we looking to incur additional capex also to start manufacturing the vacuum bottles? Is that also there in the plan?

Pradeep Rathod: Yes. So, it would not -- the capex is not very high. It's a little labour-oriented too. Because if we take five to 10 lines also, it is, the capex is around INR30 crores. INR30 crores to INR35 crores. So, that's way in our yearly capex, what we have drawn would be the, on the line of that. So, it is not a major capex. So, that's why we have not highlighted it ever. Because we were planning from last year itself to go in for some manufacturing.

We did not want to manufacture fully. Because the price, what we get from there -- the quality and the SKUs, number of SKUs what we get from China, because they are manufacturing for the world. So, they have a lot of SKUs. They have a -- a whole city or a whole district who

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manufactures this vacuum flask. So, there is a little hiccup. Yes and no. How it will go to end

over the next one year.

There could be a little hiccup for some time. But I think so, that should settle. That we are very, very sure. Because last time also they extended by three months. And now, because of the election, nothing is happening. So post the result, I think so, we have approached and we have already written to the government, the whole of the industry has written. So, we expect that there would be an end to this.

And in fact, if at all the approval also happens on the companies, because BIS doesn't stop any import. BIS leads the standards. And the company in which -- from where you are getting the material has to be registered in the BIS. And they have to follow the norms and the quality specifications. So, it has not happened. But it cannot be denied forever. It can be delayed. Within all the categories like iron and whenever they put the mixers and BIS certificate, they always give the certification to the company which is manufacturing out of India. And even in India.

Ankur: Okay, fair. And just one last one, if I may squeeze in on this proposal to raise money via QIP.

Just trying to understand, if you can just give us more colour, what is the purpose of this QIP?

Where will you be using this money for? Thanks.

Pradeep Rathod: So, see, one, there is a director's loan which is there -- which is there from when we converted our companies into private limited. Other thing, that's the bigger capex, what we see an opportunity in glass. Once we are just waiting to fire this furnace. Because glass is, the trend of glass is picking up very fast. So, that's that is a capex-oriented business. So, we want to be ready for any opportunity on that.

So, there will -- there wouldn't be too much of money which will be lying it will be around INR300 crores. So, I think there are opportunities., when we had come with the issue also, we have an opportunity of buying one of the consumer companies, which is very good in our segment itself. And it would add a lot of value on some product line. So, these opportunities we want to be ready. And which are getting converted very fast.

You would see over the next one or two quarters.

Ankur: Fair. Got that. Okay. So, good. Thank you so much and all the best sir.

Moderator: Thank you. The next questio

n is from the line of Sumant Kumar from Motilal Oswal. Please go ahead.

Sumant Kumar: Yes. Hi, sir. Good morning. Can you talk about the export contribution of writing instrument business and how the export is going currently in FY'24 and going ahead?

Pradeep Rathod: So, exports in writing instruments have grown very well. Even in other categories, if you see the combination of export, which was in '23, was 8% to our revenue, is now 10%. So, writing instruments being the biggest segment in our export. Even Opalware, we are doing good.

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Consumer ware also -- then non-glass also has increased in this year. So, I think the export potential will depend a bit.

And export actually primarily grew more, if you see in terms of rupee also, because the local market was more muted than the export. And in that also, the general trade was a little more lower. So, the export has grown at a level what we always thought. But it has not grown up. Though you might see it has outperformed in the overall growth, but it is at the same level what we expected.

Sumant Kumar: How much you said the contribution of export in writing instruments?

Pradeep Rathod: So, now the export contribution in the whole sale are INR2000 crores is 10%. Last year it was 8%.

Sumant Kumar: And about the Kleeno, how Kleeno has grown and how are we expanding this category also further?

Pradeep Rathod: Yes. So, we are expanding in Kleeno. But Kleeno grew as all the consumer products were not robust, here for even Kleeno. So, we grew at around 14%, if you see in the category particularly, 14% to 15%.

Sumant Kumar: And in FY'24, we have 11.3% growth. So, what is the total overall volume growth in FY'24?

Pradeep Rathod: So, normally it is not measured, but whatever discounts we have passed on, because of the raw material which was lower, on segment-to-segment if I see, if furniture, it was around 12%-14%. So, if I have grown at 3%, so the volume growth will be around 15% on furniture. Or other consumer where we have grown 12% plus 6%-7%, so around 18% is the growth level on that segment.

Writing instruments, the price point was not too much of difference, 1% or 2%. So, we have grown around 17% in writing instruments, so which means around 19%-20%.

Sumant Kumar: So, can we assume a 15%-17% growth guidance you have given, there is a higher possibility will -- some couple of percent, 3%-4% kind of value growth will be there. So, we can surpass

20% kind of growth if 15%-17% we can assume volume growth this year FY'25.

Pradeep Rathod: That is what I said in the earlier question also. We are targeting 15%-17%, but if the glass once it starts and it has better sales immediately, because the glass has to establish. Our main purpose is the glass always has to get established. Glass is not a business, we start today and you can do it because the glass, the quality of glass establishes. Sometimes it can be a month more or less.

So, if as per target what we are assuming, then we could grow at another 3% more. If the raw material prices go up and if we again collect our prices upward, then maybe the value growth also could go up. But we are assuming 15%-17% of today's value of sales and today's pricing.

Sumant Kumar: And as a margin front, if it is more than 25%, 25.2%, can we assume with the glass plant opening and ramping up, we have a further margin expansion in FY'25?

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Pradeep Rathod: Yes, so glass basically is a higher margin product. That's what we had earlier also said. If the pull of glass business as it grows further, the percentage of margin could go up over the years. This first year, it might not because at the EBITDA level, yes, definitely it will be good. But at PBD level, it might not affect too much in percentage, higher percentage. But over the next two years, it will really enhance the profitability in percentage terms.

Sumant Kumar: So, any other business is going to drive margin in FY'25.

Pradeep Rathod: Sorry, I couldn't get it.

Sumant Kumar: So, any other business, any vertical is going to have a margin expansion on overall company level?

Pradeep Rathod: So, margin expansion, I think we have a very good margin level. So, we are slowly trying to preimmunize some of our product lines in our consumer business. Like this year, we have launched special categories for back-to-school children and water bottles, lunch carriers, where the margins are approximately on the normal model than what we have, margin is around 7% to 8% more.

So, we are slowly trying to minimize in that category. Even if you see further our lunch carriers, casseroles, over the next 6 to 8 months, the range will be completely different, which will be a little more premium product. So, though we will not stop too much of general products, but premiumization in this category is what we are looking for the next one year, because this will make us completely different from the too many players which are there already in the field.

Sumant Kumar: Thank you so much, sir.

Moderator: Thank you. The next question is from the line of Percy from IIFL. Please go ahead.

Percy: Hi, sir. Just wanted to understand your ramp-up of the glassware. So, I understand the capex you have done and the asset turnover, which is around 1.1-1.2. I think the potential sales from that capex is around INR250 crore. So, do we get that immediately in FY '25 or does it take time? And if it is the latter, if it is going to take time, how does it work? Because the plant has to work 24x7 continuously from day one. So, does it mean that some of the production goes waste or how does that happen? Can you just explain that part, please?

Pradeep Rathod: Yes. So, no, it doesn't go waste. Any glass plant in the world is like that. It is not that it is the first time. So, as I said, we have seen COVID. In the COVID time also, we could run it and we could sell the product. And we were exhausted. So, we put the second project. Whenever you add a furnace, you cannot exhaust in one year.

That's why because of the high capex, the margins are higher. If you see the regional investment on a glassware business or a plasticware, a plastic general consumer product, the turnover is completely different. The margins are less over here, but the turnover or capex to revenue cycles are much higher. So, we get around six to seven times the revenue.

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Percy: Right. So, when do we...

Pradeep Rathod: We have this storing facility and at times, the spurt is very high. So, in next, it will take one and a half years for us to achieve the capacity of the furnace. It cannot be in next six months, whatever I produced in day one, I'll be able to sell it.

Percy: Understood. So, therefore, the glassware...

Pradeep Rathod: We would have projected at least 25% growth.

Percy: Got it. So, the glassware and Opalware division, which you have done approximately INR350 crores of sales this year, including a partial ramp up of the new plant, plus some increase in

Opalware, would around a INR500 crores number be a good estimate for FY '25?

Pradeep Rathod: I think our internal target was around 460 to 475.

Percy: Okay. Got you, sir. Second question is that, if I look at your consumer houseware, excluding the Opalware and glassware division, what is the kind of growth that you are targeting for that in FY '25?

Pradeep Rathod: Around 15%.

Percy: Okay. Yes, that's it from me, sir. Thanks and all the best.

Moderator: The next question is from the line of Jay Doshi from Kotak. Please go ahead.

Jay Doshi: Yes. Hi. Thanks for the opportunity. I have only one question and that is on receivables. So, if you look at FY '24 versus FY '23, incremental sales were about INR200 crores and increase in receivables was about INR145 crores. And I think there's an inc

crease of about 17 days. So,

could you give us some color on what is the channel inventory level and whether this receivable increase is largely pertaining to the expansion of Opalware capacity or even in your other businesses using higher channel level inventory and receivables? And how should we think about it going forward?

Pradeep Rathod: So, see, our inventory levels are -- has increased by around two days. About 87 days has come to 85 days. The receivables definitely has gone up. The general trade last whole year was not very, very good. So, we had given a little 10 to 15 days extra credit line to most of the customers to push in more to the retail. So, whereby their receivables also got delayed.

Going forward and the second was we have done some government tenders with the money coming in four to five months. I don't know. So, that's one and that's around in the range of around INR18 to INR20 crores.

Jay Doshi: Have you mention government tenders, does it mean CSD channel, Army Contains Channel or is there something other?

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Pradeep Rathod: It is not -- no, no. Other than that, back to school, there are many channels in Assam, Rajasthan, Andhra Pradesh, we did in Wim plast also for that means. Mumbai Municipal Corporation.

Jay Doshi: Understood.

Pradeep Rathod: Okay. So, that is taking by two or three days.

Jay Doshi: Understood.

Pradeep Rathod: And other is 10 to 15 days we have given extra to the channel. If you see a channel shift also, from last year 81% which was general trade has come down to 77%.

Jay Doshi: Right.

Pradeep Rathod: So, general trade this year was really very bad. Though I think so, with our product mix and everything, we could achieve higher growth sales than last year at a very good margin. That is just what was there and because of that, we did not want, we suffer on this. So, we could pass on around 15 days more credit. I think so by September this year, we should be in line with what we were in FY22 to 23.

Jay Doshi: Understood. So, then does it mean that there is at the channel level at distributor and retailer level, inventory level is higher than usual. And if that inventory level goes back to normalized levels by September, then there is a possibility that your primary sales could be a tad weaker than the retail offtakes or tertiary and consumer level sales.

Pradeep Rathod: Not 100% because when I give, so he pushes my sale, only the retailer wants to pay at his time because there are products where he has higher inventories, there are some important products and all what the retailers keep. So, there they get higher margins. So, he wants to utilize your money sometimes.

So, our stock might have gone up at the retail end everywhere, not 100% sure. Yes, little bit could have gone up because retailer has limited space only. He cannot store more.

Jay Doshi: Correct. So, he uses your credit.

Pradeep Rathod: So he can increase by 5% to 10% not more than that any category.

Jay Doshi: So, he uses your credit facility or limits perhaps to ease the pressure that he may be facing for some of our other products.

Pradeep Rathod: So, there are higher margin products where they get it from importers and where they want to pay us because they get a higher discount of 3% to 5% on cash discounts and all. And we thought this is an opportunity, fine, we put in more, so our product sells more. So, if there is a 10 selling of any bottle, if I could sell 5 and 6 because he is not paying in cash, I sell more, so, we took a view that no, it is better we push, we can give 10 to 15 days extra credit. and over the next two quarters we will get it down.

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Jay Doshi: Understood. One or two quick bookkeeping questions. So, with this fundraise, you will fully repay the promoter debt?

Pradeep Rathod: Yes, almost. We could be able to.

Jay Doshi: INR250 cro

res, right? It is about INR300, INR350 crores.

Pradeep Rathod: About INR330 crores.

Jay Doshi: Understood. And over and above that, whatever you intend to raise will be potential requirement for organic or inorganic growth?

Pradeep Rathod: Yes.

Jay Doshi: Lastly, any updates?

Pradeep Rathod: Because we have a few opportunities which I said, which I will not be able to disclose, but this is a good level.

Jay Doshi: But I am assuming this will be small ticket size, right?

Pradeep Rathod: So, ticket size really does matter because scaling up in that business is possible and which is aligning with our portfolio.

Jay Doshi: Correct. Thank you so much. Lastly, any updates on consolidation or sort of Wim plast or merger of Wim plast with Cello? Essentially because unutilized cash on that...

Pradeep Rathod: Yes, it is on the cards and it will be very soon. Very, very soon.

Jay Doshi: Okay. Thank you so much, sir and good luck for FY25.

Moderator: Thank you. The next question is from the line of Achal Lohade from JM Financial. Please go ahead.

Achal Lohade: Yes. Good morning, team. Thank you for the opportunity. Sir, if you could like you gave number for FY24 in terms of volume growth and the value growth. Can you help us with the same thing for fourth quarter?

Pradeep Rathod: Fourth quarter of 24 or 25?

Achal Lohade: Fourth quarter of 24, sir. You said about FY24 volume growth will be so much for each of the segment. Similarly, if you can give for, the fourth quarter?

Pradeep Rathod: So, fourth quarter, the volume growth, if you see in our consumer will be around 7%, 8% in our writing instruments is around 11%. Furniture was around 18% to 20%.

Achal Lohade: Understood. So, essentially what you are saying is that while it is 7%, 8% in the fourth quarter, the quarter was sluggish in terms of specifically GP and that is seeing a pickup now in end

March, early April. Have I understood you right, sir?

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Pradeep Rathod: Right. January-February was very bad. March middle it started picking up, but it got a little down for the temporary period, I think so because of the elections

Achal Lohade: Understood. And the order what you said for the consumer business, it is for consumer business the money which should come in 5 months to 6 months. Have I understood right?

And that has contributed about two to three days of extra receivable in terms of impact?

Pradeep Rathod: So, the government supply is what is there that is 2 days to 3 days it has taken up because it is 5 months to 6 months. Overall, 10 days to 12 days we have extended credit extra in some of the product lines just to be there which I explained in the last question. So, these are the two things that were the receivables are high. The market was sluggish. We extended a little more extra credit because we could penetrate more in the retail.

Thereby, it is not 100% that whatever we penetrated is still lying with them. It could have got sold, but because of the payment leeway he wants to pay at time which we have given 15 days extra, so they would not like to pay earlier where they could invest in something else to make money or if there is some payment what they have to pay at the retail end.

Achal Lohade: Understood. Just one last question if I may sir with respect to gross margins which is gross profit divided by the sales for these three segments we see a sharp swing in both directions for each individual segment. Is it possible to give a specific number for fourth quarter, what is the gross margin and compare that with third quarter and explain what has driven the swing, if there is any?

Pradeep Rathod: So, gross margin for consumer is around 55.9% in this quarter. For writing instruments it is 59.2% and molded furniture is around 37.7%. And for the year consumer ware is around 53.5, writing instruments is 58.8 and molded furniture is 14.6%.

Achal Lohade: So, for

the fourth quarter what is the swing from third quarter - from third quarter to fourth quarter is there a large swing because I think third quarter we had consumer ware at around

52% while it seems to have gone up to 55.9%.

Pradeep Rathod: Consumer ware was 58.7% and molded furniture was 42.8%. So, molded furniture has gone a little down the reason being because of the little raw material which has gone up because it was -- raw material was at a very lowest level in that quarter. Writing instruments is at the same level almost it is only a 0.5% difference.

Consumer ware was because of bottle season where the gross margins are much higher because that is why it always goes up in the last quarter. Over the last 3 years, 4 years also we see March quarter, January, February, March, the profit margins are always higher.

Achal Lohade: That's about it from my end. Thank you so much.

Moderator: Thank you. The next question is from the line of Vaidik from Monarch Network Capital Limited. Please go ahead.

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Vaidik: Hi, sir. Congratulations on good set of numbers. So, my first question is towards the Opalware division. Firstly, I would like to know the capacity utilization levels and going ahead do we see possible capex for the Opalware division as well?

Pradeep Rathod: Opalware I think for this year last year we consumed around 65%, 60% to 65% and this year we will be at around 80%.

Vaidik: 80% in FY24?

Pradeep Rathod: FY24. Last year we started in August, September the second furnace. So whereby we increased our capacity by 4% more. So, if we were making around 12,000 tons now we are at 20,000 tons. So under 20,000 tons last year we utilized if you see the capacity of 20,000 tons, we utilized around 65%. This year it will utilize around 80% to 82%.

Vaidik: And, sir what about margins in this division?

Pradeep Rathod: So, margins are in line and a little better than last year because the new furnace is getting added. If you see the sales group are around 24% in this item. Margins, EBITDA is around 28%. So, it is around 28% what we maintained it's a little percentage higher.

Vaidik: 28%.

Pradeep Rathod: Last year the PBT was around 28% this year it is around 32%.

Vaidik: And sir, do we see any capex for this division?

Pradeep Rathod: Capex for?

Vaidik: For Opalware when we reach 80%?

Pradeep Rathod: So Opalware we are not expecting any further capex for the next 1.5 years because we still have the capacity whereby we utilize it.

Vaidik: Okay, sir. That is it from my side.

Moderator: Thank you. The next question is from the line of Keyur Pandya from ICICI. Please go ahead.

Keyur Pandya: The first question is on the imports. So, from the overall sales what percentage of raw material or traded goods is imported and it pertains to which subcategories?

Pradeep Rathod: So, there is only one category which is major is in vacuum flask which contributes I think to our total import to around 80% what we import.

Keyur Pandya: And that category is around what percentage of overall sales broadly?

Pradeep Rathod: It should be around 12% on the consolidated level.

Keyur Pandya: Okay. Understood. Second on the glassware so there is no import on the glassware side from our side?

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Pradeep Rathod: Yes. For the time being before we start the furnace so that's why we built up to an extent and the similar category now will start manufacturing in India. So, that means the import will get converted into manufacturing locally.

Keyur Pandya: Okay. So, I mean in that context what kind of growth do you expect for the glassware in specific? What I am asking is that I mean we have added the capacity that is from the supply side. So, it will be more of substitution of domestic manufacturing from import or there will be an actual growth of sales and to what extent the growth is expected?

Prade

ep Rathod: Because that what we are doing is only INR40 crores, INR45 crores, INR50 crores which the furnace capacity and the manufacturing capacity will be INR250 crores. So, this will get converted immediately plus the incremental sales what we get in this year. And by next year, in one and a half years, we will be able to grow that up to INR250 crores of sales.

Analyst: Okay. Understood. Noted. Thanks a lot and all the very best.

Moderator: Thank you. The next question is from the line of Grishma Shah from Envision Capital. Please

go ahead.

Grishma Shah: Good morning, sir, and thank you for my question. I want to understand writing instruments what kind of distribution expansion plans do we have for next year?

Pradeep Rathod: So we have expanded already some distribution every year ongoing, like last year also we have said. So on a yearly basis, if you see, I think instrument, the number of distributors have gone up by around 350.

Grishma Shah: Okay.

Pradeep Rathod: Over the last year.

Grishma Shah: Correct. This retail network was at around 55,000 outlets, if I'm not wrong, and this is at around 65,000 at the end of the year. So is the idea more to penetrate deeper into these outlets or you would see the numbers increasing?

Pradeep Rathod: No, numbers will definitely increase. See, if the numbers, once it gets converted, there are numbers which are not service counter. There are numbers which are service counter. Only the service counter numbers we get it, which is not service and which is supplied through wholesale, because there are more businesses which the service is not possible. So that number is there, but penetration is one and increase in distribution and increase in retail will definitely have to go on end to end. It's not just that we'll increase sales only in this counter. There are a lot of counters. As I said, for a writing instrument to be really there fully, you have to be in 1,50,000 counters.

Grishma Shah: Okay. And the other question is on the raw material price trends. You've already highlighted, but is it fair to understand that now we don't have any lower price raw material inventory in our system?

Pradeep Rathod: Lower price inventory?

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Grishma Shah: Yes, of raw materials?

Pradeep Rathod: No, so raw material we are normally keeping only a month. So normally it is in line because raw materials, it can go down very fast and so we don't want to claim too much on raw materials unless and until we have a very good chance where we see a difference of around more than 10%, we always scale up our inventory. Otherwise, it is maximum a month. So there cannot be that we have a lot of raw material which is at lower price.

Grishma Shah: Okay. And with this QIP that we are planning, one is obviously the debt comes off and some amount of capex that we need. Apart from that, I mean, are there any other new product categories that we intend to penetrate?

Pradeep Rathod: So we are thinking there are some opportunities where we can acquire a couple of companies. That's why we think it's not very big, like it would be in a medium note or small note of purchase. But I think so, that's why we want to be ready because the opportunities are there and it's coming very fast in two or one segment. So we want to be ready to utilize this fund over there.

Grishma Shah: Okay. And is there any, I mean, deadline that we've set for the QIP or is it just...?

Pradeep Rathod: I couldn't get you. Sorry.

Grishma Shah: Is there a deadline that you are working with the QIP?

Pradeep Rathod: Yes, we are working almost next month.

Grishma Shah: Okay. Fine. Thank you and good luck.

Moderator: Thank you. The next question is from the line of Akhil Parekh from B&K Securities. Please go ahead.

Akhil Parekh: Thanks for the opportunity. So my first question is on the sales guidance, right? If I look at fourth quarter -- sorry, third qua

ter of last FY'24, we have maintained that we will do a 20% plus kind of a sales growth in FY'25. And at least now we are seeing 15% to 17% slightly lowering of sales guidance will be what we mentioned last quarter. So is this to do mainly because of election-led disruptions or has it anything to do with a higher level of inventories in the term? That's my first question.

Pradeep Rathod: No. So I will still tell you to this point as we had the comparison from FY'21-'22 when the raw material was at its peak, okay. And '23 onwards it came down. Last year it was at a very good level. So, as I said, 5% to 6% sale looks muted when it is compared year-on-year. And still we have not gone up to the price what we were. The raw materials still sits at around middle of around the peak and the lowest. So still the price point is around 3% to 4% less. That is one. 15% to 17% is value growth.

Akhil Parekh: Okay.

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Pradeep Rathod: So volume growth is 2% to 3% higher. Even as I said the gas prices in Opalware has come down from INR120 in starting of last year '24 to around INR55 now. So it is a very, very big difference, around INR8 a kg on our conversion.

Akhil Parekh: Sir, can you please repeat the last piece on the Opalware what you say?

Pradeep Rathod: So even in Opalware the raw material is not a very big cost, right? The Opalware raw material is around INR15, the basic raw material. When we -- the silica and borosilicate, all the product what we mix in. But our major is energy. So if you see, the energy cost is 2x more than the raw material.

Akhil Parekh: Okay.

Pradeep Rathod: So energy cost has reduced drastically which has given around INR8 a kg lower costing.

Akhil Parekh: Got it. Okay.

Pradeep Rathod: For which definitely we cannot retain everything we have passed on. So the value growth over there also looks muted. If this trend is there, then I think our sale price which was INR100 rupees is now at INR95.

Akhil Parekh: Okay.

Pradeep Rathod: So because of the vast diversification, we are only relating most of -- for your guidance that our raw material is not one. Our raw materials are different, because we are into three different segments where the writing instruments, the plastic would not affect us too much. Neither on both the sides, putting up the price or lowering the price.

In Opalware, the energy cost will definitely make a big impact on lowering the price or increasing the price. On our other plastic consumers, yes, definitely plastic is the major raw material and the second raw material is stainless steel. So these are the two basic raw materials in our other segments. So, in the mix of it, I still feel we are at a 5% lower than of the pricing as where we had sold it around '22-'23.

Akhil Parekh: Got it. This is clear. Sir, two more questions. One is our channel checks were indicating that Milton is probably planning to enter into Opalware category. If you can give any color on this?

Pradeep Rathod: I've not heard.

Akhil Parekh: Okay. And lastly, on the government tender side, if you could quantify how much the sales was?

Pradeep Rathod: No, sales was this much only, INR18 crores.

Akhil Parekh: Okay. Sure. This is helpful. Thanks a lot.

Moderator: Thank you. The next question is from the line of Prathamesh Dahake from Motilal Oswal.

Please go ahead.

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Prathamesh Dahake: Good morning, sir.

Pradeep Rathod: Good morning.

Prathamesh Dahake: So due to connectivity issues, I wasn't able to join the call. So I had a couple of issues firstly related to the writing instrument. What was the contribution of exports in value terms in FY'23 and '24? Could you please let us know in writing instrument?

Pradeep Rathod: Only export you mean to say?

Prathamesh Dahake: Yes, export in value terms?

Pradeep Rathod: Export would be around in terms of 40% to 42%.

Prathamesh Dahak

e: Sorry, sir, you were not audible. Could you please repeat?

Pradeep Rathod: Export would be 40% to 42%.

Prathamesh Dahake: Okay. And last year it was?

Pradeep Rathod: It was a little higher by around 45%. I'm not sure exactly, but that should be difficult. A percentage plus or minus.

Prathamesh Dahake: Okay. So, and if you were to look at both the markets, domestic as well as exports, what was the revenue breakup in terms of value and volume for writing instrument in FY '24?

Pradeep Rathod: The volume and value, we have never worked on writing instruments. The number of pieces is not possible. So, I calculate the breakup, so I don't have it ready now.

Prathamesh Dahake: Okay. Sir, like you've mentioned that RM prices cooling down has been one of the reasons for elevated margins, but I guess your EBITDA margin in writing instrument is much higher when compared to other players. Is it due to the product mix? What is the average price point that you're playing in the writing instruments? If you could let us know.

Pradeep Rathod: All price points are there. We are not there in only INR5 category. We are from INR10 and above. Otherwise, all price points, we are also there.

Prathamesh Dahake: Okay. So, main reason behind such high gross margins would be apart from RM cooling down?

Pradeep Rathod: I think why it is lower at the other level that I really need to check there. It is historically there when we are both manufacturing even in Cello. That time also, we were almost 1.5x, 2x the margin of the other players. So, I don't know. I think we still feel that we are not at the top level of manufacturing.

Prathamesh Dahake: Okay, sir. And how do you see the market shaping up domestically and in domestic as well as exports for writing instruments in the next three to four years?

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Pradeep Rathod: Writing instruments will grow at for next two, three years around 12% to 15%. Stationary, highlighter products with writing instruments like Masters and all, are growing also at a healthy pace.

Prathamesh Dahake: Okay.

Pradeep Rathod: And consolidation will definitely happen in the Indian market. The smaller players and all will be a little difficult for them to survive over the next two, three years.

Prathamesh Dahake: Okay, sir. My next question was, how much did bottles contribute in FY '24 in value terms, if you could help us understand?

Pradeep Rathod: I don't have it separate.

Prathamesh Dahake: Sorry?

Pradeep Rathod: I don't have it separate at present with me.

Prathamesh Dahake: Okay, sir. And generally, what gross margins do we make in the bottle segment, steel as well as PET?

Pradeep Rathod: So, there are differences, because we have high margin ones also, we have the lowest margin also. In one of the bottles, we have only around 17% to 18% EBITDA level. Some of them are at 30% also.

Prathamesh Dahake: But if you were to say on a basket level, let's say PET versus steel, there has been so much talk about it. So, how are you looking at it in terms of, let's say, gross margin at a basket level or consolidated product lines?

Pradeep Rathod: See, consumer value is a basket. So, every segment, we really do not go and focus on this. Yes, we have to, where the demand will grow, that is what we try to escalate in our total basket.

When I project a sale, I have my projections skills, maybe my casserole category will grow by 8% this year, my bottle category will grow by 15%. But we do not have kept every product, different margins and every category, because there are almost 24 categories of product lines. So, we have a bucket, we have mugs, we have washing, laundry baskets. So, every segment has an end-user difference. So, on this basis, we never have thought of getting what is the margin as water bottle what there is margin casserole was what is the margin lunch carrier. So, we don't have that separate segment-wise thing.

Prat

Prathamesh Dahake: Okay, sir. That's all from my side.

Pradeep Rathod: That is a little more, if at all in next quarter I try to give, it will be much more better for the competitors than for our use, in any case.

Prathamesh Dahake: Okay. Understood. That's all from my side, sir.

Moderator: Thank you. The next follow-up question is from the line of Keyur Pandya from ICICI. Please go ahead.

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Keyur Pandya: Thank you for the opportunity again. Just two questions. First, regarding this BIS standards, so do we expect any interim disruption in the sales? That is first. And second, whenever industry would require BIS standards for their sales, in case of Cello, so we would continue to import with vendors getting registered or we'll have our own facility or some domestic vendors. How will we replace this?

Pradeep Rathod: See, disruption will happen, definitely. There is an opportunity also in this and for some time even our company could get affected. But overall, I think so it will be an advantage over the long term with the BIS coming in. Manufacturing, we have only started thinking on it and we have taken steps how far. But it will be always, if we manufacture also, we'll be manufacturing only to be able to manufacture around 20% to 30% of the SKUs in India. 70% still will be on import side.

Value might be 50-50 over the next 2-3 years. But import definitely, you cannot make 100 SKUs with the size of sales you have because it will not be affordable. The cost will be much higher than what we are importing today.

Till today, all the manufacturers in India are not being able to manufacture at the cost where

we import from China. The quality also is, till today, is much better from China than India. So this will in future also remain an import and local both. It will get a combination. What today is 90% import, it might come to around 40%, 50% import, 50% local.

Keyur Pandya: Understood, noted. Sir, thanks a lot and all the very best. Thank you.

Moderator: Thank you. The next question is from the line of Ankush Agrawal from Surge Capital. Please go ahead.

Ankush Agrawal: Hi, sir. Thank you for taking my question. So firstly, on the fund raise, can you quantify what kind of amount you are looking at? Would it be like say INR500 crores, INR1000 crores, any broad range?

Pradeep Rathod: So can I say the number? No, so the board, will decide. But I think so whether, I don't know, I'm really not sure whether I can speak on this.

Ankush Agrawal: Okay, got it. Secondly, on the thought process of fund raise, so I mean we had our IPO just a year back and at that time we didn't raise any money. So what has changed in just one year that we are now going for a fund raise?

Pradeep Rathod: See, six months back we were not a listed company. So we were running our own company and now really we want to grow and outgrow. So wherever we were exploring opportunities when we were in the process of putting this glass plant, at that time we thought of what is the capacity we are producing and what would be the market over the next two, three years.

If I would have been an unlisted company, I think I would not have gone for this, thought for the second plant for two, three years. First sell it then we'll see. Though we are now in there, so all the opportunities and even our plastic dust been has set earlier. I have some opportunities where we can do, okay. Where we are in the process, we are in talks with them and which can Cello Word Limited

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happen and which can really add value to the company. So these are the opportunities we tried to explore only for this year.

Though it was there in the mind, but as an unlisted company I would not have because I would have tried to grow my own business at the pace what I wanted to grow. But now if there are opportunities and you are in the listed space, you want to outperform, you

want to grow much faster.

So that's why instead of and as a compulsion that at later date I have to do an OFS to bring it down to 75% because the promoter holding is at 78.06% today. So we thought it is better to take money in the company where we have a larger opportunity to grow and so if we have the money, I think the acquisition will be much faster.

Ankush Agrawal: Thank you. That is very helpful.

Moderator: Thank you. The next question is from the line of Karan Bhatelia from Asian Markets Securities. Please go ahead.

Karan Bhatelia: Thank you. Am I audible?

Moderator: Yes, sir.

Karan Bhatelia: Sir, this is with respect to capacity utilization across categories on FY'24 and how has our value-added portfolio done with respect to writing and stationery because we did mention of new product launches in stationery ware in FY'24 and how has been the value addition on the furniture side? These are the questions?

Pradeep Rathod: Value addition?

Karan Bhatelia: Yes, value-added portfolio in writing and stationery and value-added portfolio in furniture ware?

Pradeep Rathod: So you can see by the numbers. You can see the furniture sales growth is very less. So 1.5% of gross margins have gone up in furniture segment. Writing instrument has gone up by 5%.

Karan Bhatelia: And what is the capacity utilization as on FY'24? Across categories?

Pradeep Rathod: So frankly speaking in the glassware, I can't definitely say what the capacity utilization in a consumer ware. Writing instrument, yes, to an extent I can be sure or near about it but in plastic ware normally, at least in injection moulding, there is no capacity utilization. What is the product mix you are making? If I am making a bottle which is stainless steel liner, the price goes three times.

And if I am putting a plastic inner to plastic outer, the bottle sale is INR70. If I put a stainless steel liner, it becomes INR200. The machines are same. The people are same. So this utilization is in number of pieces I can tell you my projection to utilization. Mostly everything depends upon the sale or utilization over here. To increase the capacity, it doesn't take really too much of time.

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And to reduce, you have to keep maybe one day off. And that's the way. Unlike the furnace. Furnace has a 20,000 tons pull. It has to be pulled. And it is in tonnage. And I cannot stop it to 18,000 or I cannot scale it to 22,000. So there is no other value addition in that thing, except for if you do hold line or something, where you add the value, where you might say, so the tonnage can be only defined in any sector where it is tonnage. It is tonnage-based. It cannot, value-based cannot create any, give you a right answer of any capacity utilization. It's just a hypothetical figure.

Karan Bhatelia: True. Is it correct to assume that capex output would not be more than 60-70 crores tonnes for next year?

Pradeep Rathod: Yes, our result is definitely. That's the maximum what we are thinking.

Karan Bhatelia: Thank you. That's for my side.

Moderator: Thank you. As there are no further questions from the participants, I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Pradeep Rathod: I'd like to thank everyone for being part of this call. We hope we have answered your question. If you need more information, please be free to contact us or SGA, our investor relations advisors. Thank you very much for being part of this call.

Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Aug 2024

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August 21, 2024

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Sub: Transcript of Investor Call

Dear Sir(s)/ Madam(s),

Pursuant to Regulation 30 of the Listing Regulations, copy of transcript of the Investor call held on August 14, 2024 at 09:00 a.m. (Indian Standard Time) on the unaudited financial results for the first quarter ended June 30, 2024, is enclosed.

The said transcript is also available on the Company's website.

This is for your information and records.

Thanking you.

Yours faithfully,

For Cello World Limited

Hemangi Trivedi

Company Secretary & Compliance Officer

M.no. A27603

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Encl: a/a

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"Cello World Limited

Q1 FY '25 Earnings Conference Call"

August 14, 2024

MANAGEMENT : M R. GAURAV RATHOD – JOINT MANAGING DIRECTOR

– CELLO WORLD LIMITED

M R. ATUL PAROLIA – CHIEF FINANCIAL OFFICER –

CELLO WORLD LIMITED

M

MODERATOR : M R. NILESH PATIL – ICICI SECURITIES

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 14th August 2024 will prevail

Cello World Limited

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Moderator: Ladies and gentlemen, good day and welcome to the Cello World Limited Q1 FY '25 Earnings Conference Call on hosted by ICICI Securities Limited. As a reminder, all participants lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr. Nilesh Patil from ICICI Securities Limited. Thank you and over to you, sir.

Nilesh Patil: Thanks Neha. On behalf of ICICI Securities, we welcome you all to Q1 FY '25 results conference call of Cello World Limited. We have with us Mr. Gaurav Rathod, Joint Managing Director and Mr. Atul Parolia, Chief Financial Officer. Now I hand over the call to management team for their initial comments on the quarterly performance and then we will open the floor for question and answer session. Thanks and over to you, sir.

Gaurav Rathod: Good morning everyone. This is Gaurav Rathod, your Joint Managing Director. Along with me is our company group CFO, Mr. Atul Parolia. The results and presentations are available on the stock exchange and on our website. I hope you had a chance to look at it. Our performance during Q1 FY '25 is in line with industry trends.

We have grown our revenue by 6.1% on a year-on-year basis and were able to improve gross profit margins from 52.6% to 53.8% year-on-year and increase our 120 basis points. I would like to highlight that this growth was achieved despite facing multiple headwinds on the demand front, including weak urban demand during the quarter and an increasingly challenging environment due to the elections. That said, we are optimistic about the rest of the year and the demand seems to be improving.

Improvement in our top line was primarily driven by the consumer and the furniture businesses, which grew at 6% respectively (Wrongly said, please read it as "5% and 16% respectively"), while the writing instruments remained flat due to the continued sluggishness in the overall demand scenario. Having said that, we remain confident about the writing instruments business. The growth in the writing instruments business is a function of our footprint expansion alongside additions to our product portfolio.

In the rest of the year, we will be adding product lines like markers, crayons and geometry boxes, which will help us penetrate and expand in the market. On the margins front, while the overall operating margins remained stable, we saw an uptick in the gross margin profile. This improvement is a result because of the shift in the product mix and revenue mix which is primarily due to this reason.

Our consumer ware business recorded a 170 basis point improvement in gross margin on a year-on-year basis, followed by moulded furniture and allied products, which grew by around 100 basis points year-on-year largely due to lower raw material costs. Writing instruments, which

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already have the highest gross margin in our product basket saw a 80%(wrongly said, please read it as "80 basis points") margin expansion on a year-on-year basis. I would like to highlight that in Q1, we ran a back-to-school advertising campaign that resulted in an increase in our advertisement expenses from INR2.8 crores in FY '24(wrongly said, please read it as "Q1 FY '24") to INR7.8 crores in FY '25. Such activities are important in order to enhance the brand's recall and salience and we will continue to do so for the rest of the year too.

To end with, we expect the second half of this financial year to be stronger, driven by an improvement in the overall demand scenario throughout all our business verticals and we

continue to maintain our growth expectations of about 15%-17% in FY '25. With this, I would like to hand over to our CFO, Mr. Atul Parolia, for the financial highlights.

Atul Parolia: Thank you very much and good morning to everyone. I will now be sharing financial details for the quarter gone by. In Q1 FY '25, we achieved a revenue of INR 501 crores and EBITDA of INR135 crores with a healthy EBITDA margin of 27% and growth of 8.6%(wrongly said, please read it as "6.3%") year-on-year. Our PAT stood at INR83 crores with a margin of 16.5% and growth of 6.7%.

Speaking about the business verticals over 65% of revenue came from consumer ware 17% from writing instruments and remaining 18% from molded furniture and allied products. Overall, around 81% of revenue came from in-house manufacturing. As was highlighted in the opening remarks, we saw an increase of around 150 basis points in our gross margin which stood at INR269 crores.

Consumer ware gross profit margin was 55%, writing instrument margin was 59.3% and molded furniture was 45.6%. In terms of channel mix, general trade contributed 74% of our sales, while export and online sales contributed approximately 10% each. Remaining 6% was contributed by the modern trade.

With this, I would like to open the session for questions and answers.

Moderator: Thank you. We will now begin the question and answer session. The first question is from the line of Jay Doshi from Kotak Securities. Please go ahead.

Jay Doshi: Hi, good morning and thanks for the opportunity. My first question is 15%-17% top line growth a guidance or is it an aspiration? Because if I were to look at 6% growth in the first quarter, it implies you are indicating 19%-20% growth for the rest of the year. If you can help us with the math, how much of this 19%-20% growth in the remaining three quarters will come from the soon to be commissioned glassware plant and how much of it from the base business, rest of the business?

Gaurav Rathod: I think it is not an aspiration, it is something that we believe that we will be able to achieve. As you rightly said due to the commissioning of the glassware plant which will come in later this year, we expect significant revenue gains from that particular plant. Also, normally this Q1 has been subdued and we don't expect the rest of the year to go like this because primarily you are aware of the elections and also because of the heat wave that was around the country.

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The footfalls overall were pretty - it was one of the worst that we have seen. So I don't expect the same in the rest of the year and we have already seen signs of improvement. So that is why we are pretty positive that the revenue should be in line of our expectations.

Jay Doshi: Understood. And what is your expectation of top line from the new glassware plant this year?

Gaurav Rathod: So it should ideally for us should add about INR75 to INR80 crores more revenue than the previous year.

Jay Doshi: Okay, than the previous year.

Gaurav Rathod: Yes, than the previous year.

Jay Doshi: Okay, and that is entirely going to come in the next three quarters?

Gaurav Rathod: That will be completely new revenue, that was not present basically last year.

Jay Doshi: Correct. Fair point. Second is there was an increase in receivable days and channel inventory that you indicated on last call and the expectation was it will moderate by September. So is that on track or because of acute weakness in demand has inventory levels gone up further?

Essentially the question is that do you foresee any channel inventory correction during the course of year or you are comfortable with the levels?

Gaurav Rathod: So actually even during quarter 1 we have seen our secondary sales performing much better than what primary we were able to achieve. So definitely there is easing of the

stock positions at our

channel partners as well. So I feel there is correction though it is not significantly coming in terms of the working capital.

But it is definitely improving. So we will see some improvement by the end of the first half of the year.

Jay Doshi: So June quarter and working capital is slightly better than March quarter end or maybe if you can share the numbers later in the call, if Atul can share some color later.

Gaurav Rathod: Sorry to interrupt, but it was not significantly better but it has improved. But we expect more improvement in the next couple of months.

Jay Doshi: Understood. Final question is some key objectives for QIP were one was you looking at some inorganic opportunities. And second is it would enable you to proceed with consolidation or merger of WimPlast also. So what are the timelines on this, when can we expect some updates on both these aspects?

Gaurav Rathod: So on the inorganic growth front as I had mentioned earlier as well, we have been looking at some opportunity. And they are in on the table at this point of time and we will try to close them as soon as possible. Apart from that in terms of the plant that we had integrated in Rajasthan for the steel ware and the thermo ware and the plastic ware both is in line. It would take about 8 to 10 months for it to be commissioned, but we have started the process of the machinery and the erection of the plant. So that's in line.

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In terms of WimPlast ideally, of course, from a management perspective we would like both of them to be merged and once it is decided by both the boards, I think we'll be able to go ahead on

that as well.

Jay Doshi: Sure. Lastly, your guidance 15% - 17% does not factor in any potential inorganic so that is all organic as of now?

Gaurav Rathod: That is pretty much organic at this point of time, yes.

Jay Doshi: Sure. Thank you so much. I'll get back in the queue.

Gaurav Rathod: Yes. Sure.

Moderator: Thank you. The next question is from the line of Nilesh Patil from ICICI Securities Limited. Please go ahead.

Nilesh Patil: Yes. So thanks for the opportunity. I just wanted to understand, you have mentioned that in the writing instrument segment there will be an entry of geometry boxes and marker segment. So could you please throw some light on it? And could you also share some light on the kind of lower growth into writing instrument segment considering the year has reported good set of numbers in the segment? So could you please share some light on writing instrument particularly?

And my other question is on related to the channel distribution. So could you please share some light on general trade and other channels? So how has they performed into this quarter particularly and is the total, you can say, subdued performance is due to lower kind of growth into general trade particularly?

Gaurav Rathod: So first - your first question basically, writing instruments overall in the pen segment has been slightly subdued. If you see other peers in the pen segment it is pretty flattish for everyone. If you are talking about a couple of peers who are more into the stationary side or the art side of things which is mainly for kids, crayons and other items, that has performed better.

So I guess they are not comparable completely. Second of all, I think the geometry boxes and the crayons are in process. We will be coming out with those product lines very soon. There is no timeline as per say because we are working on the machinery side and the plant side of things. So it might take slightly longer. Of course, we will come in most likely in the second half of the year in terms of the revenue that can be generated out of those businesses.

Thirdly, in terms of geographical distribution now we have pretty much covered most of India in terms of the writing instrument segment. We have a cou

ple of geographies that we still are

slightly weaker in which we would like to strengthen at this point of time. So that will help us improve our numbers over the year.

In terms of general trade – general trade still is about 74% of our sales. It has slightly you are right that general trade has been weaker in this particular quarter. Though I don't foresee it to be weaker the entire year, but this particular quarter yes, general trade has struggled more compared

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to other verticals and that is why you see that some numbers have not significantly changed, but it has changed slightly up to 5%, the channel mix has changed or because from 80% it went down to 74% for this quarter. So slight shift, but we don't see that happening over the entire year.

Nilesh Patil: Yes, okay. Thank you. And so going ahead do we expect the dependence on general trade to kind of a bit lower and kind of increase into our alternate channels?

Gaurav Rathod: So we are always trying to improve our alternate channels, but I think this is in line, it's in line with the industry standards. I don't see a very big change coming very soon, but we've seen some shifts for e-commerce has started doing slightly better than our expectations. So I think there should be some growth there, but not significant changes in the mix.

Nilesh Patil: Understood. Thanks a lot for the information.

Moderator: Thank you. The next question is from the line of Sumant Kumar from Motilal Oswal Financial Services. Please go ahead.

Sumant Kumar: Yes, hi, sir. So can you talk about how is the consumer glassware performing in this quarter and the plant status when we can expect a ramp up of the new plant?

Gaurav Rathod: So basically the consumer glassware also has performed pretty much in line with all the other consumer ware products. So the same growth. Basically, it has been ramped up in terms of the Opalware plant we have pretty much ramped up everything. So now we have some capacities. So we are at about 75% capacity utilization at this point of time, but we hope to improve this over the year.

And of course, the first quarter for glassware is always slightly weaker than the second and the third. So we expect it to grow much faster. Secondly, in terms of the ramp up of the glassware plant we are pretty much ready. Our firing date for the plant we actually kept it for August, end of August. But we are slightly intentionally actually delaying it because it takes about 40 to 45 days for the glass to come out. And we would be right in the middle of the season of Diwali. And at that particular point of time, it was not ideal to launch a new product line. So we are

going a little ahead of our timeline intentionally by about 15 to 20 days. So we are looking at about mid-September kind of commissioning date which will help us just after the season launch the product more effectively.

Sumant Kumar: Can you talk about the export writing instrument, export growth, how it is happening currently?

Gaurav Rathod: So export predominantly it's in the stationary segment for us. The rest of the items there is very meagre revenues, sales contribution for the other product lines. So I guess this thing has performed decently well and it's in line whereas previously as well as we have always said that it's about 40% of us stationary business or the pen business and it continues to be the same in terms of the mix.

Sumant Kumar: So have you seen the growth in writing instrument export this quarter?

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Gaurav Rathod: No, this quarter we are at not really, it actually improved slightly exports for us.

Sumant Kumar: Domestic is like has they grown this quarter?

Gaurav Rathod: Domestic is slightly on the degrowth side, slightly about 1%, 1.5% yes.

Sumant Kumar: So considering the very intense

competition in pen segment, so our strategy to diversify to other products in this category, how do you see this segment growth ahead? Because the pen segment I think other players are also entering into. So any other new big segment or you are going to increase the pen segment of this particular channel?

Gaurav Rathod: Right, so as I mentioned I think that we will be entering the stationary segment. So other stationary - we are basically predominantly today only into pens. So markers, crayons, geometry boxes is something that we have previously stated as well that we will be entering and we will be doing this soon. So I think, yes, you are right, it has become flattish. Though we don't anticipate this to be flat throughout the year, it's just this quarter. So hopefully we will have demand back, but yes we will be entering definitely other segments.

Sumant Kumar: And for all that, we have a manufacturing facility. You will not outsource?

Gaurav Rathod: Not all of it, it will be a mix. It will be some outsourcing and some manufacturing.

Sumant Kumar: Okay then you will outsource and then you will have a manufacturing, correct?

Gaurav Rathod: Yes, of course.

Sumant Kumar: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Divyanshu an individual investor. Please go ahead.

Divyanshu: I just have slightly basic questions. So in the new plant that you will be ramping up or maybe let's say the manufacturing will start by the mid-September. So you would primarily be manufacturing the borosilicate glassware, right, and not the other ones maybe like lead crystal or maybe like a tempered glass or something else, it will primarily be focusing on borosilicate, right?

Gaurav Rathod: No, actually this is not a borosilicate glass plant. This is a soda lime. So soda lime is your basic glasses which is your drinking glasses which have no borosilicate kind of raw material in it. So this is purely soda lime. So it's just jargon, but it's a different furnace also altogether.

Divyanshu: Okay. So you are currently not or let's say you don't have any plans for manufacturing the glassware, specifically the borosilicate glassware which go into laboratories or kitchenware or maybe like lighting?

Gaurav Rathod: No. So we are not getting into borosilicate glass which is primarily lab driven and baking driven. We are not entering that.

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Divyanshu: Okay. I don't know why I have some understanding that you are currently trading in these products. So that is also not true as of now.

Gaurav Rathod: That is true. We still trade in these products.

Divyanshu: Okay. So no manufacturing plans as of now.

Gaurav Rathod: Correct.

Moderator: The next question is from the line of Meet Jain from Motilal Oswal Financial Services. Please go ahead.

Meet Jain: So I just wanted to get some backdated numbers for segment wise consumer writing and moulded. What kind of numbers were in 1Q FY '24 so to understand the growth of each segment?

Atul Parolia: Okay. Segment wise growth, as you have said, consumerware has grown, revenue has grown by 5.4%, writing instrument is flattish and furniture has grown by 15.9%. So overall, it comes to 6.1%. And vis-a-vis if you see the EBITDA, overall it has increased by 6%. This is mainly

contributed by the furniture. And thereafter writing instrument and consumerware.

Meet Jain: Okay. So we have like our moulded furniture business has driven the entire growth this quarter.

And so are we expecting similar kind of performance from moulded furniture as we have seen that margins are also very good in the moulded furniture. It has expanded the highest. So what kind of trajectory do you assume for the entire year or going ahead?

Gaurav Rathod: So moulded furniture actually primarily -- of course, moulded furniture grew in this quarter. But it was also a factor of the cooler business.

Within the moulded furniture business that actually performed very well in this quarter. So that is why you have seen that kind of a growth for moulded furniture segment in this quarter.

Meet Jain: Okay. And the cooler, we outsource this right, primarily?

Gaurav Rathod: Yes, we outsource that primarily, yes.

Meet Jain: Okay. And just one, what growth was -- you mentioned some writing instruments that saw kind of degrowth?

Gaurav Rathod: So it is about negative 0.2% is what the degrowth is.

Moderator: The next question is from the line of Karan Bhatelia from Asian Market Securities. Please go ahead.

Karan Bhatelia: So, Gaurav, with respect to the adjustable market for the new product launches, maybe markers, crayons and geometry boxes, how big is this market? And second, how is the gross margin profile and the realization profile compared to our existing portfolio in pens?

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Gaurav Rathod: So I think there is a significant gain that is possible with this particular product line. The addressable market is huge, so I think it would be wrong for me to comment on the overall size.

It's large. There is still gaps in the market that we see.

Initially, we will be doing a mix of some manufacturing and some outsourcing. So, of course, margins will be slightly lower than our current pen business that is a complete manufacturing side. But eventually, as volumes grow, we would try to backward integrate and see where we can take margins.

Karan Bhatelia: Right. Correct to assume that the adjustable market could be bigger than pens for these couple of categories?

Gaurav Rathod: We have never looked at it that way. We still think the pen business is the largest and still has room to grow. So I believe for us, it will just be an adjacent category. We will see how much we can afford gain in these segments.

Karan Bhatelia: Correct. And in the last couple of calls, we did mention that there is substantial headroom of growth for our writing business in terms of channel partners, dealers, distributors. So how do you see the growth for FY '25 across the three categories in terms of touch points?

Gaurav Rathod: So I think in terms of the pen business, we have not covered all the geographies and we are trying to cover most of them now. Of course, there are some weaknesses in a few markets. Some of the channel partners, we still have to look at and see how we can align them better and grow those areas. So definitely, there is some room there.

In terms of our other businesses, I feel we are pretty much pan India. There is good coverage.

We are just working on improving our product line further every day. And that is why you are seeing improved margins because the products are improving. We are not pushing it as hard because we believe that in a bad market scenario, pushing a product too hard can yield revenues but then at the expense of margins in the long term. So that is why we have always been conservative on that front.

Moderator: Thank you. The next question is from the line of Grishma Shah from Envision Capital. Please go ahead.

Grishma Shah: Good morning and thanks for taking my question. I want to understand what the margin trend over the next three quarters given that growth in the moulded furniture was primarily driven by coolers and that's a seasonal business. So overall, how would the margins pan out with glassware capacity coming in and with coolers not contributing significantly over the next one or two quarters?

Gaurav Rathod: So I think, are you talking primarily about Wimplast or are you talking about the overall scenario?

Grishma Shah: Sir, overall business.

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Gaurav Rathod: Right. So I think see, even today the Wimplast or moulded furniture segment for us is still

contributing very little to our overall revenue and pro

fitability. So again, it's not a significant

deterrent over the next few quarters. There will be consumer, our consumer businesses will grow much faster because normally they perform better during the second and the third quarter because of primary, because of the festive season. So I guess that will be compensated by our other segment growing much faster during the next three quarters.

Grishma Shah: Okay. So margins should be with a comfortable range is what you are saying?

Gaurav Rathod: Yes, margins, margins, see margins is a competitive environment. It's not in the best of years. So 1%, 2% up and down, we've always said that it's possible that we might have to discount slightly, but not significantly. We don't see that happen.

Grishma Shah: We are also coming from a base where the margins were slightly better. Based on lower input prices. What's the theme for this year? How have the raw material prices behaved?

Gaurav Rathod: So I think we've reached a place where input prices are pretty much stabilized. So we are not seeing a major reduction on any of the raw material or other packaging material prices to go down significantly from here. So I think we are pretty much in a stable condition at this point of time.

Grishma Shah: Okay, fine. Thanks for answering my questions and good luck.

Gaurav Rathod: Thank you.

Moderator: Thank you. The next follow-up question is from the line of Jay Doshi from Kotak Securities Limited. Please go ahead.

Jay Doshi: Hi, thanks for the opportunity again. My question is on BIS across all the categories that you operate in. Can you give us some flavor or color on where you think from a slightly longer term perspective, you may end up being on the beneficiary side. We know a little bit about the vacuum flask bottles, but are there opportunities elsewhere also?

Gaurav Rathod: So I think, yes, BIS, though it has not been implemented very hardly at this point of time and still people continue to import the product, we actually do not have good clarity at this point of time. But of course, if they are to implement, we are preparing ourselves in terms of the actual machinery and that we are putting up in Rajasthan. So we are taking the first step towards it. And in the future, if there is if there is no imports allowed or there is anything else that the government decides to do, then we will be in a good position to take advantage of that situation as well.

Jay Doshi: Understood. In terms of opportunities in other adjacent categories, are you considering or evaluating anything outside of your existing categories or anything that you find interesting where you may potentially enter, either through Wimplast or through...

Gaurav Rathod: So, Yes, so of course, I think we have always been a company that has looked at adjacent categories. So of course, we will keep looking. At this point of time, I think we have enough on our plate for the next year and a half, two years to perform and grow these categories that we are

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now entering. So I guess, but of course, we are always on the lookout. And in the consumer ware business, it is extremely important to grow horizontally all the time. Yes, for sure.

Jay Doshi: Got it. Thank you so much and good luck.

Moderator: Thank you. The next question is from the line of. Rakshit Desai from IIFL Finance. Please go ahead.

Percy Panthaki: Hi, sir. This is Percy Panthaki here. Sir, just can you tell us what was the pricing element this quarter in the total growth?

Gaurav Rathod: So I think pretty much it was price and volume grew hand-in-hand because there was no input price reduction that came in this year. It was pretty flattish. So overall volume and value growth has been in line for this quarter.

Percy Panthaki: Understood. And what is your general thought process on acquisitions? Would you use acquisitions to enter in

to something new or would you use it to consolidate market shares in your existing business?

Gaurav Rathod: So a little bit of both. To consolidate and get some opportunities at a good price that we are able to acquire. We are always looking at that in our current horizon as well. And, of course, if there is some existing categories that are some synergies, we are definitely open to look at those kinds of opportunities as well.

Percy Panthaki: Understood. And in your core business, that is the sort of consumer houseware, ex glassware, what do you think are the growth drivers of the business at a company-specific level? I understand the macro construct, penetration, up-tradition, etcetera. But at a company level, what is it that you are doing in order to accelerate the growth?

Gaurav Rathod: So I think, as we are already entering into new segments. In the glassware side also. So we have been primarily into Opalware. We are getting into the soda-line glass as well. So glass for us in

this segment is going to be a very quick driver. Apart from that, all our other segments, whether it's hydration or lunch packs or casseroles, they continue to grow pretty well. The idea is to -- has always been to upgrade the product line, to premiumize it further. And I think that will help us grow this category much faster.

Percy Panthaki: Any update on distribution in terms of number of outlets you directly reach and how that has increased over the last couple of years or so?

Gaurav Rathod: So I think in the consumer-based business, it's pretty much flat, the number of outlets. It's about 56,000 is the universe that we cover. And 80% of it is actually very frequent business.

And the other is slightly we touch it maybe a few times a year. So I think that way, that universe has remained the same. But of course -- some people have expanded their shops. They've improved the product portfolio. So I think that is what we are seeing. Current shop owners building better shops.

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Percy Panthaki: Understood. And your e-commerce salience of the portfolio, how much is that now and how it has moved over the last couple of years?

Gaurav Rathod: So I think e-commerce for us has been a couple of percentage points increased this quarter as well. And I think it's about 10% of our overall sales, which I think can improve over time by about 3%-4%. And in the next two-three years, we could look at something like a 15% of revenue mix coming from e-commerce.

Percy Panthaki: Understood. And according to you, in e-commerce, what are the key success factors in this industry?

Gaurav Rathod: I think for us our known brand is very important even in the e-commerce space because most of the players are either D2C players. So the level of trust is very limited with those kind of players.

So I think that's one of our biggest play because we've been in the market for so long and our known players in the houseware space. Also, I think our supply chain, of course, makes a lot of difference in the e-commerce side and we're able to reach the customer quicker.

And I think that's another important reason why e-commerce has picked up. Also, of course, we offer better product lines in terms of our premium product lines, which sometimes don't do very, very well in some parts of GT, but start doing very well on e-commerce. So I think e-commerce is slightly a more premium platform so we're able to showcase our products better and able to garner customers that we would have probably not been able to from our general sales.

Percy Panthaki: Understood. That's all from me. Thank you and all the best.

Gaurav Rathod: Thank you.

Moderator: Thank you. The next follow-up question is from the line of Karan Bhatelia from Asian Market Securities. Please go ahead.

Karan Bhatelia: Hi, thanks for the opportunity. Gaurav, how is your value addition portfolio across

categories

writing, furniture and consumer brands, how are we seeing this in the next two years to say so?

Gaurav Rathod: So I think that's an evolution. Of course, we are trying to get into much better or slightly more premium product lines. When I say premium, it doesn't mean that we are going out of our segment of mass premium as a brand. We're just trying to improve the product line with better moulds, better processes because that's the mode in this segment. And improvement in because the India still is a very price conscious market and we are wary of that.

And so improvement is coming from purely, purely design and aesthetics and better finishes. I think that's what we have been always doing. And of course, it's an evolution. In the next two years, we would like to evolve into much better overall product lines, which we are continuously doing. And that is where you see gross margins being maintained or slightly improving itself.

Karan Bhatelia: See, for example, in moulded furniture correct me, we are at 15% to 20% of value addition, right? So how is this percentage for the other two core categories?

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Gaurav Rathod: So moulded furniture actually is very easy to compare. The other is not really comparable because there is a lot of product lines that some people would say value added, but because the number of product lines are so huge. So when I talk about the newer stuff that we are coming with, so say we added about 300 odd products last year in our consumer ware segment, pretty much 80% of that portfolio was all products that were with much improved finishes and aesthetics.

So I think, I think pretty much everything there over about a couple of years would change to that kind of a product line.

Karan Bhatelia: Okay. Thanks.

Gaurav Rathod: Thank you.

Moderator: As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Gaurav Rathod: Thank you everyone for joining us today. I hope we've been able to answer all your queries. We look forward to such interactions in the future. And in case you require any further details, you may contact SGA, our Investor Relationships partner. Thank you.

Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you .

Call: Nov 2024

L= Cello World Limited

(formerly known as 'Cello World Private Limited')

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November 19, 2024

BSE Limited National Stock Exchange of India Limited

Phiroze Jeejeebhoy Towers, Dalal Street, Exchange Plaza, C-1, Block - G, Bandra Kurla

Mumbai - 400 001 Complex, Bandra (East), Mumbai - 400 051

Scrip Code: 544012 Symbol: CELLO

Sub: Transcript of Investor Call

Dear Sir(s)/ Madam(s),

Pursuant to Regulation 30 of the Listing Regulations, copy of transcript of the Investor call held on November 13, 2024 at 09:00 a.m. (Indian Standard Time) on the unaudited financial results for the second quarter ended September 30, 2024, is enclosed.

The said transcript is also available on the Company's website.

This is for your information and records.

Thanking you.

Yours faithfully,

For Cello World Limited

Hemangi

Pragnesh Trivedi

Hemangi Trivedi

Company Secretary & Compliance Officer

M.no. A27603

Address: Cello House, Corporate Avenue, 'B' Wing,
Sonawala Road, Goregaon (East), Mumbai-400 063

Encl: a/a

"Cello World Limited

Q2 FY '25 Earnings Conference Call"

November 13, 2024

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 13th November 2024 will prevail

M élcilCI securities

MANAGEMENT: MR. GAURAV RATHOD — JOINT MANAGING

DIRECTOR — CELLO WORLD LIMITED

MR. ATUL PAROLIA — CHIEF FINANCIAL OFFICER —

CELLO WORLD LIMITED

MODERATOR: MR. NILESH PATIL — ICICI SECURITIES

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Moderator:

Nilesh Patil:

Gaurav Rathod: Cello Word Limited

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Ladies and gentlemen, good day, and welcome to Cello Limited Q2 FY 25 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

Now hand the conference over to Mr. Nilesh Patil from ICICI Securities. Thank you. And over to you, sir.

Thanks, Sejal. Good morning, all of you. On behalf of ICICI Securities, we welcome you all to Q2 FY 25 Results Conference Call of Cello World Limited. We have with us Mr. Gaurav Rathod, Joint Managing Director; Mr. Atul Parolia, CFO. Now I hand over the call to 'management team for their initial comments on quarterly performance, and then we will open the floor for question and-answer session. Thanks, and over to you, sir.

Thank you, Nilesh. Good morning, everyone, and a very warm welcome to our Company's earnings call. Joining me is our CFO, Mr. Atul Parolia and our Investor Relations Adviser SGA. The results and presentations are available on the stock exchange and on the company website. Hope you had a chance to look at the same.

Our performance during financial year 125 is in line with the overall industry trends. Revenue and profit remained flat on a year-on-year basis for the quarter. We were able to maintain our gross profit level margins at 52%. The softer performance was mainly on account of a delay in a lot of containers due to the new Russian sanctions and the Red Sea scenario in export, mainly

in the Writing Instrument sector. For the quarter gone by, our Consumerware business continues to show positive growth of 5% year-on-year, whereas Writing Instruments and Molded Furniture business degrew, which had led to the result being flattish.

On the capex front, I'm excited about the completion of our investment towards the state-of-the-

art glassware manufacturing facility in Rajasthan. We have commenced trial production, and this facility is equipped with very high-end machinery and basically with state-of-the-art technology. With the recent commissioning of this facility, I would like to highlight that we are now the only domestic consumer product company across all kinds of glassware and tableware products. The installed annual capacity of this plant is estimated to be about 20,000 metric tons. The facility has initiated manufacturing of commercial batches and over the course of time, we will ramp up the production and introduce multiple new lines of products.

We have begun Q3 on a strong note as the festive demand seems to be robust, especially in the Consumerware business. Combining this festive demand along with the gradual ramping up of the glassware production, we are confident of achieving better results for the next couple of quarters. From a growth perspective, we are keenly exploring other inorganic opportunities to complement our current business lines.

We remain confident about our Writing Instruments business too going forward. And we still have the same guidance of about 12% to 15% over the next 2 to 3 years. We are in the process of adding more products in this segment, which will contribute to achieving our growth

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aspirations. To end with, we expect the second half of this financial year to be much better with an improved demand scenario throughout all our business verticals.

I will now take a pause and would like to hand over to our CFO, Mr. Atul Parolia, for financial highlights. Thank you very much.

Thank you, Gaurav, and good morning to everyone. I will be sharing the financial details for the quarter gone by. In Q2 FY 125, we achieved a revenue of INR490 crores and EBITDA of INR132 crores with a healthy EBITDA margin of 27%. Our PAT stood at INR52 crores with a margin of 16.7% and growth of 6.7% (Wrongly said, growth number is 2.1%).

Speaking about the business verticals, over 70% of revenue came from the Consumerware 14% from Writing Instrument and remaining 16% from the Molded Furniture and allied products (Wrongly said, the split is 68%, 15% and 17% respectively). Consumerware gross margin was 53.6%, Writing Instruments margin was 57% and Molded Furniture margin was 45.4%. In terms of our channel mix, general trade contributed 74.6% of our sales, while export and online sales contributed approximately 8.5% and 10.8%, respectively, with modern trade contributing the remaining 6.1%.

Speaking of H1 FY 125, revenue was INR991 crores and a year-on-year growth of 3%. EBITDA also grew in line with the revenue and stood at INR267 crores. EBITDA margin was 27%. PAT was at INR167 crores (Wrongly said, number is 164 crores) with a margin of 17%. Our cash flow from operations stood at INR85 crores.

With this, I would like to open the session for question and answers.

Thank you very much. The first question is from the line of Praveen from Prabhudas Lilladher Capital. Please go ahead.

So, sir, my first question is related to, as you had also highlighted that the export is down because of a delay in container and that led to the Writing business decline. So how is the situation right now? Because Q2, the decline in the Writing is more than 15%. So how is the situation shaping right now in this segment?

I think the current scenario is much better over the last month. Though there is - basically there was about 2 to 3 months delay in the containers. And those were lost sales that I don't think we can recover completely because in those fronts as well in those countries, that sale was lost. So, I guess, right now, of course, it's much better. The previous sale - previous order that we had is now moving out. So I think situation seems to be better, but it is going to be challenging

, especially in countries like Russia, where we still face challenges because of their domestic challenges that they're facing there.

Okay. So fair to understand that the things are improving, but still challenges are there. So achieving last year number would be a challenge for us.

No, not really in terms of -- because the domestic demand has also become much better. So I

think achieving last year number in Writing Instruments should still not be a challenge for us,

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'maybe even slight growth also is what we're expecting at least because the last quarter is always pretty good for Writing Instruments

And now moving to the next question is related to the gross margin. And in the gross margin for a quarter, if I look at that overall gross margin has also contracted and so as for the segments. So I can understand related to the Writing loss of business. But how is the other businesses like for the consumer also there is a decline in the for the gross margin for the quarter as well as for the moulded furniture. So is that a pricing-led? Or is that the RM led?

No. So it's a mix of both. So when it comes to furniture, it is RM-led. When it comes to Consumerware, it is a slight discount because of the very weak demand, there was some pass-on of discounts in the market for initial -- for some time. So, I guess, that is a mix of both when it comes to both the different segments.

with the demand improvement, consumer gross margin also expected to improve. Is it...

Absolutely. Absolutely.

And lastly, on the glassware, which you had a commission recently and have given a 20,000 metric ton of facility, how is the revenue potential there? And also, you had highlighted it's stepping up well in this quarter. So can you give some more color on that revenue potential and how is the sales especially going on?

Sure. So I think glassware plant is currently under trial production. So it's not saleable production that we have started at this point of time. We hope to achieve this by the end of this month, we should have production that we can start selling.

In terms of glassware, I think the sales should flow in from next month onwards. So we'll have a good 4 months of sales for this year. In terms of the overall trend as I've mentioned that October was a good month. So the festive season went well, though it was in the last 15, 20 days that we really got this surge in demand. So our secondary sales have been pretty good. So the channel - whatever choking was there a little bit in the channel that kind of got fixed up. So that is why I feel that the demand overall should be much better going forward.

Having said that, this year has been a little surprising because we have had months where we feel that things have been going good, and then the next month, again, things were not that good. So think, hopefully, this trend is here to stay. And - but overall, I think it will still take in the whole consumer space, another couple of quarters to really see very good robust growth coming back.

Great to hear, sir. And lastly, if you can give some more color on inorganic opportunity, which you highlighted in the opening remarks.

Right. So I think inorganic opportunity, we have been exploring for a while. And last time I mentioned as well that we are almost - we have a couple of things on the table. But due to some due diligence, I think we have kept that - not on hold, but just dealing the whole process because we have some things that we want to be clear on before we go ahead. So there were some plastic

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companies, which is -- with similar product line, slightly different, a little more niche product line, which we were looking at.

And it's still on the table, but that is one opportunity that we would like to close sooner or later.

Is it possible to give any size indication? Like, is it the same size of any of your product line or segment line?

No, it's a smaller company. It's not a very huge size, about INR150 crores to INR175 crores of revenue. So it's not a very big size, but it's got products that are complementary and synergistic

tous. So, I guess, that was the main reason for looking at a company like that.

The next question is from the line of Sumit who is an Individual Investor.

T actually have a question on the commentary from last quarter where you had mentioned that the heat wave was the major factor why domestic sales were low. And yet again, we are seeing the same reduction -- since a reduction, but very muted volume growth. So I understand that October will be a good month because festive season but are we seeing too much seasonality, therefore, in your domestic sales?

A lot of investors are in the company because you have a very domestic focused portfolio, which is very spread out, as you rightly said, but is it going to be really a wave with a crest and the trough every few months because I expected this quarter to be a lot better than April, May, June because of the elections getting over and the heat wave getting over?

No, I think the heat wave and the election was one of the reasons for the last quarter. But this quarter, as I said, it has been a surprising year. Not - it has been -- as you mentioned, that an <bb and flow has been there because we see 1 month very good and the second month not that good. But having said that, the export demand is majorly in the Writing Instruments, and that's where we have really seen the degrowth. And - but the consumer segment still is growing pretty robustly. So I think that's not where the challenge lies.

Seasonality as always has been a part of our business. So you will always see bottles selling more in, say, summer but flasks and say dinner sets is a festive demand. So there is a seasonality aspect to our overall sales in any case. But that's been there forever. It's just how the product line works, which is also good for us because it kind of whatever shock that we get, maybe an external, whatever external shock, we're able to absorb that because of our diversified portfolio. So, I guess, it's more how the market has been and the demand situation more than us doing anything differently.

The next question is from the line of Karthik Bhat, who is an individual investor.

So does this guidance of 15% to 17% growth for the full year remain intact, which you had previously given?

So I think we'll have to -- that guidance will change a little bit seeing the second quarter. But having added capacity for glassware and that will be new revenue that will come for us. So overall, I think that we should still achieve a good number because as I said, because of how

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difficult this year has been and how things have ebbed and flowed, it is tough to put a number at this point of time, though as I said October has been a good month and a good pickup in sales. We'll have to wait and watch how this year goes further.

Having said that, third and fourth quarter is slightly better for us on a year-on-year basis as well.

So we should see slightly better growth in the next 2 quarters.

Okay. Hence considering the slight de-growth in exports. So if you can - would it be possible to share which countries or which geographics we typically export to?

Yes. So basically, as I mentioned, there are -- so Russia for us is a big country that we export to. So that has been our challenge because of the sanctions that are there in place and they've further increased the sanctions. So it becomes more difficult for them to trade. And though there

are

ways that they find out to trade, but it just gets delayed the whole process.

So I think that's one of the reasons. And others over the Red Sea, we have a big export to the states to America as well. And that has caused a lot of containers to kind of delay because it takes the Red Sea route. So, I guess, these are the 2 major countries that have caused the challenges and the de-growth in exports.

Okay. And so do we feel the need to kind of revisit the strategy for exports and in the context of this slightly sluggish demand, what are your thoughts as to how do we get back on the growth trajectory in the coming quarters.

I mentioned that things have been improving. It's not that it has not improved. So we will be able to close those sales that we kind of missed in the last 2 quarters. So, I guess, should be - it is definitely a better situation than before. Having said that, if something happens externally, it is definitely currently not in our control. What we are focusing, of course, on is growing domestic sales.

And I think that's the only thing that we can focus on because there is still - things are much better and looking good. So, I guess, focus on domestic demand and trying to close these orders and plus adding more countries is something that we are looking at.

Okay. Okay. Sure. And any thoughts on FY '26 as of now, especially with this glassware facility

also coming in as in what kind of growth can we look at in each of the segments? And what would be the key growth drivers as such?

Fine. So, I think, of course, glassware will be a driver for us. It's one of its kind facility in India.

And we are basically substituting imports, so our idea is to completely use up this capacity in the next 2 years. So that itself will add a lot to our top line in the next coming year.

And with better demand, I'm sure we'll go back to the numbers of 15% to 17% as we have been guiding and have been achieving over the last 2 years. So, I guess, it's just a matter of time.

Overall demand scenario has to improve for all of this to happen. And I think, as I mentioned, again it will take a couple of quarters to get there.

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Sumant Kumar:

Gaurav Rathod:

Sumant Kumar:

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Sumant Kumar:

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Sumant Kumar:

Moderator:

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Okay. Okay. And you mentioned it being an import substitute product. So just wanted to understand which countries is it typically imported from currently? Do you have any?

So different countries, of course, China being one of the major ones. You have Thailand, Indonesia, China, Turkey, the Middle East, it's imported from all these places with China having a large share.

The next question is from the line of Sumant Kumar from Motilal Oswal Financial Services.

Sir, can you talk about bifurcation of volume and volume growth and the realization growth or degrowth, whatever?

So, I think -- Sumant, I think in our business, it's very difficult though there are numbers I can say but kind of -- because we sell a product from INR10 to INR\$,000, if I sell more of the INR10 product, you'll have volume growth, right? So it's a little challenging and should -- our business, I would suggest is not - should not be looked in that sense. But having said that, our volume growth overall is 8% in the Consumerware business and our value is 5% at this point of time. But that also states that there is some additional sale in the low ASP or low average selling price product.

So can you talk about the Writing Instrument, we have seen a couple of quarter degrowth. So what's the outlook for short term to midterm? And what are we doing for the growth for the segment?

Right. So I think in terms of Writing Instrument, as I mentioned that things have improved in the export side of things. So that should get us back on track. Domestic demand is decent. So I think there, we should be able to

cover up the losses that we've had in sales over the past 2

quarters. So, I guess, we should still be able to cross a certain threshold of last year plus a little bit of growth in this segment.

Mz. Sumant, does that answer your question?

Yes. So can we see glassware can show a good growth in Q3 FY 24 - FY'25 onwards?

Yes. So I think glassware majorly we will only be able to start selling in the next month. So it should add to a certain amount of revenue growth, but major growth should come in the next -- in the fourth quarter.

Okay. And wedding season is going fo...

Sorry to interrupt you, sir. I would request you to rejoin the queue for your follow-up question.

The next question is from the line of Ankur from HDFC Life Insurance.

Just you spoke about discounting and therefore, that impact on gross margins during the quarter given the weak demand, so if you could just talk about competitive behavior have those discounts been rolled back given your commentary on demand getting better? Or is it still more discount-led volume-driven kind of environment?

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No. I think discount -- see if you look at the discounting as well, it's been very limited. I's not been a lot. If I look at other peers in the segment, we've seen major de-growth in gross profit 'margins across the segment. So we've been able to still maintain to a certain extent. Having said that, at this point, a little discounting will, I think, be the case for the next couple of quarters. I don't think we can shy away from that because we still want to be competitive and at least maintain our turf. So I think going forward for the next couple of quarters, this trend will be there.

Okay. And that kind of ties into the fact that you expect a few more quarters before growth really bounces back to that 15%, 17% levels, right? And therefore, then discounting kind of goes away, tight? So that's how we should see it

Correct. Correct, So I think as the demand picks up, the need for discounting of course comes down.

The next question is from the line of Percy from IIFL Scouritics.

So on the glassware plant, I just wanted to understand one thing. So this is a plant which needs to run 24/7, right? So you have a capacity of around 20,000 tons per annum, which is 55 tons per day. So does this mean that your production will be 55 tons per day from the time you start commercial production?

No, it actually takes little time to ramp up. So though the capacity is that much, maybe it will take about a couple of months, 2 to 3 months to ramp up. And we are able to run at, say, 70%, 80% as well depending on demand. So of course, it will depend on those factors, but the capacity is about 20,000 tons. So at the max, we can achieve this.

What's the minimum that you need to produce a day?

Minimum would be about 70% to 80%, as I said it would be 40 tons. So 55 tons a day, then it would be 40 tons.

Okay. Okay. And what is -- [mean, your capacity that you have put up 20,000 tons, what would be -- what would that capacity be as a percentage of India's total capacity for those kind of products?

So basically, today, most of it is an import, except for Firozabad where there are - there is glass 'manufacturing, tableware manufacturing, but very -- the quality is not up to the level. So overall, this is about INR 2,000 crores market with imports and domestic put together. And so we are looking at about a 10%, 12% kind of a market share of this entire market.

Understood. So this -- supposing you start off with 40 tons production per day, are you confident that you will be able to sort of sell that product immediately given that, I mean, you're starting from 0 and going to 70% capacity almost immediately. So do you think you can capture that 10% kind of market share right at the outset? Or does

it take time for you to find customers, et

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coteria? And if it does take time, what happens to the production which you have done in the meanwhile?

So I think it will take a little time. When I talk about little, the time frame is about 3 to 6 months where once it starts spreading in the market because we have 2 advantages. One advantage is supply because most of this product line is an import and a lot of people import it. Its quite fragmented. So, I guess, one is supply, one is the consistency of the price.

Because today, I'm importing say, 2, 3 people are importing, anyone is able to import and they distort the price in the market. So, I guess, these 2 advantages are very big. We just have to enter with a bang and I don't see any reason why we can't scale this up very, very quickly. So as I mentioned last, as well in about 2 years, we want to definitely finish the capacity.

Got it. And what's the net realization for glassware for your typical product portfolio at a net sales level, what would be the realization per ton?

So its similar to our opalware kind of margins that we enjoy here. Of course, once it has been ramped up at a lower level of capacity, it will be challenging to achieve a good level of margin. But at peak, we are able to achicve really good mimbers.

Yes, not margin. I was asking the net sales per ton, how much that would be? And is it different from opalware?

It different from opalware, it's a lot lower per ton. But having said that, it is - there is a lot of value addition that still can happen in this product line. So it would be wrong for me to say that itis - at what level it would be, but it is definitely lower than opalware. It not at the same line.

The next question is from the line of Shirish Pardeshi from Centrum Broking.

Ihave 2, 3 questions. So on Slide 5, you have given the first half revenu is about INR991 crores. Twould say that about 67.6%. So about roughly INR670 crores is your Consumerware business. And it's about 53.6%, the margin what you have mentioned in the slide. I'm more curious, can you step out what is the opalware business in this? And if glassware is going to be starting now, what would be the contribution within that 67%, say, next 1, 2 years?

Right. So I think I can give you broadly, we do not indicate numbers scparately for the Consumerware vertical. We don't give it separately. But overall, it's about 30% of the business - 25 actually percent of the Consumerware business came from opalware. And the glassware business would add another 15%. So at its height, both put together, it would be about 40% to 45%.

Okay. And directionally, once your final capacity gets build up to maybe about 40 tons what you're saying over the next 2 to 3 quarters. And subsequently, you will reach to 50 tons how this contribution of 68% -- 67% would settle for next 2 to 3 years?

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Moderator:

Ritwik Sheth

Gaurav Rathod:

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So definitely, the Consumerware percentage would definitely increase because of this. And this will be a faster-growing segment. So of course, it will depend on the other segment, how they grow. But definitely, it will gain a little more percentage over the other 2 segments.

Okay. And just one more follow-up on glassware since you are doing the internal production, in-house production, will the gross margin will be subscquently higher than 53%, 54% for glassware?

Yes. So opalware also the margin overall is slightly more than our other businesses. The gross margins are slightly better. So for glass also, it will be similar, but not initially later - in la

ter

months once we have completely ramped up the production.

My sceond and last question, how we should look at once this capacity comes full on stream?

Not 25, but 26 some margin story, if you can give some more depth.

So as I said that we first have to reach full capacity. In terms of efficiencies also, we need to reach out good efficiency. Currently, we have just started. Glassware is a production that takes time to settle. It's not something that scttles within a month or a couple of months. But once if's settles, it settles for about 10 years, and you don't have to look at i.

So, I guess, you are looking atit from that perspective. We hope to completely scale up by March and be there. That's the wish and aspiration to completely be at full capacity and also being able to scll that capacity by the next year and over the next 2 years, we should be able to exhaust this.

Just one question, like industry has seen a very strong discounting in the last 30, 40 days. Do youthink there is a pre-cmpting of competition in the glassware also from the discounting point?

So glassware, I have not - I'm not secing any other peers coming in. When I'm talking particularly about the glassware segment that we have just put up. So, I guess, there, ifs just imports that we are substituting. So from that perspective, I don't see any pressures on margins. Just one last follow-up, This glassware you will put it in the match pricing or you will take the premium pricing?

No. So we will basically be at the similar pricing as what imports is coming into. So I think that's the strategy.

The next question is from the line of Ritwik Sheth from Arkay Ventures.

Yes. A couple of questions. The glassware plant would be commissioning. So what kind of product portfolio we are targeting from the glassware segment?

Soin glassware, we majorly have drinking glasses or tumblers, all kinds of drinking lasses. We have will have storage containers, bowls, other tableware like plates, dinnerware. So this is the entire portfolio of the glassware plant and also hot drinks, o tea cups and mugs.

Got it. Okay. And what can be the peak revenue once fully utilized from this segment - from this plant?

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Deepesh Sancheti:

Gaurav Rathod:

Deepesh Sancheti:

Atul Parolia:

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Deepesh Sancheti:

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About INR230 crores to INR250 crores we can achieve without value addition. If you -- if we start say decoration, coloring, there are a lot of other value additions that can be done to this product line that can further enhance the revenue.

Okay. Okay. And what would be the payback for this plant after completely ramping up?

So the payback should be about 5 years, 5.5 years.

Okay. Okay. Got it. And just one question, would there be any kind of cannibalization between the plastic and the glassware products for us?

NoT think we've scen the demand for different products being very different. Also the channel that we sell-through. So most of our distribution is also quite separate. It is not - there is some overlap, but most of it is a different channel through which we sell. So -and the product line -- and end usage is also very, very different. So a tumbler is, you will only be able to sell a glass tumbler, I don't think you can sell a plastic tumbler. So I think the product itsclf has a differcnt use. So I don't sec any cannibalization as such.

Okay. And just one final question on this. What is the capex for this plant?

Capex is about INR250 crores.

The next question is from the line of Deepesh Sancheti from Manya Financial Services.

My question is specifically about the merger of WimPlast and Cello World. Any - what is the rationale of demerging WimPlast and merging it into Cello, if you could just explain?

So, I think, we previously mentioned this as

well, there are 2 rationales, one is that there s - we

do not see any point in running 2 separate listed entities as the business is not very different.

Secondly, there is a lot of manufacturing facilities that WimPlast has, so in different parts of the country wherein we can share manufacturing facilities with our other plastic product lines. So, T gucss, these were the 2 major rationales for the merger.

Okay. And also with this merger, the entire money which WimPlast had given to Cello World as a loan for about 8% that also gets merged, right? I mean there s ~ absolutely, there will be 10 loan on Cello then?

Yes, that's right. But as you know, we have -- while taking the QIP proceed, we have said that we will repay that loan. So already we've repaid that INR100 crores loan to WimPlast. And moreover, I mean, all the points will come to Cello World and that's right, what you're saying is right.

Because it will become a 100% subsidiary of Cello World.

Okay. So cffectively, a WimPlast sharcholder will get 86 shares for - of Cello World. That is right?

Yes, you'e right.

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Deepesh Sancheti:

Gaurav Rathod:

Deepesh Sancheti:

Gaurav Rathod:

Deepesh Sancheti:

Gaurav Rathod:

Moderator:

Karan:

Gaurav Rathod:

Karan:

Gaurav Rathod: Cello World Limited

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Now I wanted to understand in terms of Cello World because it's a very good deal for Cello World. WimPlast was trading at what 10PE, 12PE and we are trading at 60PE but my specific question right now is that since you are into 3 verticals, are we looking at actually demerging these 3 verticals in the near future or maybe going ahead? Because I'm sure that all the 3 verticals are completely unrelated to each other, right?

No, I think - I don't think we are looking at that because otherwise, we would have not merged this back into Cello World. Because I feel though they have different product lines, there is a lot of synergy between these product lines because on the manufacturing side, our furniture is very, very similar to our other plastic manufactured products. So, I guess, I think there is synergy standing outside was not making sense, and that's the reason that the merger is happening. What I'm asking is that there's a plastic division, there is a pens division. And then there is glassware as well as all the Consumerware business. maybe having 3 verticals would enhance shareholder value in future. I mean, this is not that I'm proposing right now. So maybe in future, when all these 3 verticals can be listed separately?

So I think, of course, it depends on the growth potential of all these verticals because at the end of the day, when I talk about glassware, steel or plastic, they're still a consumer-focused category. So at the end of the retail sale of the consumer looks at it from a similar perspective, not from a different perspective. So, I guess, of course, if we say tomorrow, glassware becomes too big, then kind of it would probably make sense.

Okay. And going ahead, are we expanding the glassware segment also? Or we are looking at first commercializing and commissioning the entire plant into full capacity?

No. I think our first thing is to completely commission this plant, get it to capacity and sell the capacity of this plant. That itself will take the share of glassware in the total business quite higher. So I think that's the first idea. Later on, of course, as we have scaled up our opalware as well, if there is a chance and if there is a market, of course, we will scale even further.

The next question is from the line of Karan from Asian Market Securities.

So, Gaurav, with respect to the opalware plant, so what was the capacity utilization in the second quarter and how are we seeing that ramping up for the rest part of the year?

So currently, we're at about 75% capacity utilization on the opalware plant. We have about 25% still to go. So I think by about next year, we should be completely using up

this facility. So not

this year. We will not be able to completely utilize the full capacity, but we will be at about 75% to 80% utilization.

Right. And also, can you comment on the new product launches for the first half across categories and Y-o-Y as well?

So I think new products in terms of category, we have not added, glassware will be one thing that will be new, but was within.

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Karan:

Gaurav Rathod:

Karan:

Gaurav Rathod:

Moderator:

Aniket Kulkarni

Gaurav Rathod:

Moderator:

Karan Bhuwani:

Gaurav Rathod: Cello World Limited

November 13, 2024

So at the company level — what are the new product launches -- new SKU launches at the company level?

New SKU is more evolutionary. So there is a certain type of bottle, so we make different varieties of the bottle. So every year, we launch about 300-odd products. Even this year, it's been in line.

And of course, we reduce also a few. It's not only that we keep adding. So about 100-odd products have been launched in the first 6 months, but it's more evolutionary, more design specific that say there is 1 bottle, the other bottle is the same purpose, but slightly different or a newer design. So it's more a trend game rather than a completely new addition of product lines.

Right. And last question from my side. How is -- what kind of changes in selling price we've seen for opalware and glassware in the last 1 year at the industry level?

At the industry level, see there is also -- there has been actually a lot of deflationary pressures

that have come in. So overall raw material prices and energy costs have come down dramatically since the last year. So I guess that is the only discount that has been passed on. So from the P&L perspective, it really doesn't have - it's not changed much at our end in terms of realization.

The next question is from the line of Aniket Kulkarni from BMSPL Capital.

So in the last couple of calls, I think we had spoken about the possibility of merging WiniPlast.

So have you had any thoughts about the same and, I mean, what is the idea behind this right now?

So I think we've been speaking about it. And I think now we have just taken this call. So it's already out there that we have now initiated the process for the merger. As I have mentioned earlier as well that the rationales are 2. One is that we don't see a separate entity standing out as a listed company. So there is no point and basically, it reduces our compliance while having it under Cello World.

Already because Cello World owns about 55% of the company in any case. So it's only about 45% that is being acquired. Also, we would be able to use these facilities as WimPlast has a lot of locations where its manufacturing capacity is there. So we can use it for our other plastics product lines as well. So I think these are the 2 major rationales.

The next question is from the line of Karan Bhuwania from ICICI Securities.

Just wanted to understand what are the distribution expansion plans we have, especially if you can speak about in the Writing Instrument segment, what are the plans we have in terms of distribution expansion?

So I think there are - of course, there are certain gaps still in the Writing Instrument segment. Geographically, we have been growing the domestic distribution. They're pretty much covered, but of course can be improved, till at year levels, we were at about 120,000 outlets, which has grown about 15,000 to 20,000 outlets have been added in that, but there is still some way to go. We should be at about 2 lakh plus, and that's what we are aspiring to get to.

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Karan Bhuwani:

Gaurav Rathod:

Moderator:

Gaurav Rathod:

Moderator: Cello World Limited

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Gaurav, is there any specific time line you're looking to achieve this target?

So it's an evolving process. It keeps getting added. By the end of the year, we should be at about more than 1.5 lakhs. So by - in the next 8 to 9 months, we should start lo

oking at touching that number.

As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Thank you. I would like to thank everyone for being a part of this call. We hope we have answered all your questions. If you need any information, please reach out to us and our Investor Relations partner, SGA. We would answer all your queries. Thank you.

On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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Call: Feb 2025

Cello World Limited

(formerly known as 'Cello World Private Limited')

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February 19, 2025

BSE Limited

Phiroze Jeejeebhoy Towers, Dalal Street,

Mumbai - 400 001

Scrip Code: 544012 National Stock Exchange of India Limited

Exchange Plaza, C-1, Block - G, Bandra Kurla

Complex, Bandra (East), Mumbai - 400 051

Symbol: CELLO

Sub: Transcript of Investor Call

Dear Sir(s)/ Madam(s),

Pursuant to Regulation 30 of the Listing Regulations, copy of transcript of the Investor call held on February 13, 2025 at 09:00 a.m. (Indian Standard Time) on the unaudited financial results for the quarter ended December 31, 2024, is enclosed.

The said transcript is also available on the Company's website.

This is for your information and records.

Thanking you.

Yours faithfully, For Cello World Limited

Hemangi Trivedi

Company Secretary & Compliance Officer

M.no. A27603

Address: Cello House, Corporate Avenue, 'B' Wing,
Sonawala Road, Goregaon (East), Mumbai-400 063

Encl: a/a

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"Cello World Limited

Q3 FY '25 Results Conference Call"

February 13, 2025

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 13th February 2025 will prevail.

MANAGEMENT : M R. GAURAV RATHOD – JOINT MANAGING DIRECTOR

– CELLO WORLD LIMITED

M R. ATUL PAROLIA – CHIEF FINANCIAL OFFICER –

CELLO WORLD LIMITED

M

MODERATOR : M R. KARAN BHUWANIA – ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY '25 Conference Call of Cello hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode and there

will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Karan Bhuvania from ICICI Securities. Thank you, and over to you, sir.

Karan Bhuvania: Thank you, Raj. Good morning, everyone. It's our pleasure at ICICI to host Q3 FY '25 Results Conference Call of Cello World. From the management, we have Mr. Gaurav Rathod, Joint Managing Director; Mr. Atul Parolia, CFO. I'll now hand the call to management for their opening remarks, post which we can open for the Q&A. Thank you. Over to you, sir.

Gaurav Rathod: Thank you, Karan. Good morning, everyone, and a very warm welcome to our company's earnings call. Joining me is our CFO, Mr. Atul Parolia; and Investor Relations advisor, SGA. The results and presentation are available on the stock exchange and on our website. I hope you had a chance to look at it.

In the first half of the quarter, the festive demand was healthy. However, subsequently, there was some pressure on demand side due to some -- due to lesser consumption and discretionary spending by the customers.

For the quarter, revenues saw a growth and stood at INR557 crores as against INR527 crores for the same period last year. Despite the slower growth rate in revenue, we were able to maintain our EBITDA margin levels at 25% and 16% for PAT. Our operational efficiencies and stable input prices contributed to a general stability in our manufacturing costs.

Our core business consumer ware grew by 8% for the quarter year-on-year. The glassware facility began production -- commercial production on February 1 and rolled out several new product lines, starting with our drinker collection. We have achieved an efficiency level of around 50% and we believe a gradual and continuous improvement happening in this area. Molded furniture grew by 7% year-on-year. The Writing Instrument business saw some recovery on the export side on a sequential basis. However, on a year-on-year basis, we had to scale back to previous year's level. But we are confident in this quarter to achieve good numbers given good export orders.

Moving forward, we anticipate a rebound in consumption-driven demand supported by the finance minister's revised income tax policies in the budget and the recent interest rate cut. This is expected to boost the purchasing power of our largest customer segment, the middle class.

To strengthen our position, we continue to have an innovative and a premiumized approach towards our product portfolio, consistent spending towards brand building and a strategic expansion in our overall reach through various distribution models. I will now hand over to our CFO, Mr. Atul Parolia, for a financial highlight. Thank you very much.

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Atul Parolia: Thank you, Gaurav, and good morning to everyone. I will be sharing the financial details for the quarter gone by. In Q3 FY '25, we achieved a revenue of INR557 crores and EBITDA of INR140 crores with a healthy EBITDA margin of 25%. Our PAT stood at INR86 crores with a margin of 16%. Speaking of revenue mix, over -- 69% of our revenue came from the consumer care, 14% from the writing instruments and remaining 17% from the molded furniture and light products.

As I take our primary channel contributed 79% of the sales, while export and online sales made up to around 8% and 9%, respectively. Modern retail accounted for the remaining 4%. In terms of

segment-wise margin, writing instrument led by 55% gross profit margin, followed by consumer where we achieved 50% and Molded furniture at 44%.

Speaking of 9 months FY '25, revenue was INR1,548 crores and year-on-year growth of 4%. EBITDA stood at INR407 crores with a margin of 26%. PAT was INR 251 crores with a margin of 16%. With this, I would like to open the session for question and answers.

Moderator: Thank you, sir. The first question comes from the line of Percy Panthaki from IIFL Securities. Please go ahead.

Percy Panthaki: Hi Sir, can you tell us the date of commercial production for the glass plant?

Gaurav Rathod: Yes. So the commercial production, which is saleable production started on February 1st. So that is the time we were able to call it quality, which is saleable. Of course, we had started trial production before. So we were about 2, 2.5 months, we were doing trial production, but which was not packable. But now we've got packable production since Feb 1st, and we have just started selling.

Percy Panthaki: Understood. And what kind of sales should we expect from this plant for this quarter, Jan to March quarter?

Gaurav Rathod: So Jan to March, you might not see a very big jump because we are just building our product line. So it is just initial sales that is going to happen, but we are still waiting for building product

lines. So we'll be collecting some stock in the next couple of months. And you will see the real impact in the next quarter.

Percy Panthaki: Fair enough. So April to June quarter, what kind of sales should we be building in? I just wanted to understand the kind of extent of ramp-up, so in the first quarter, what ramp-up we could achieve?

Gaurav Rathod: So we are anticipating about INR5 crores to INR7 crores additional revenue each month. So about in a quarter, about INR20 crores, INR25 crores in the first quarter, of course, then it will scale up even further.

Percy Panthaki: First quarter as in April to June?

Gaurav Rathod: April to June, correct.

Percy Panthaki: Okay. So INR25 crores in April to June?

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Gaurav Rathod: Additional revenue.

Percy Panthaki: And then what kind of scale up? Because I understand that the plant at full capacity can do a turnover of about INR250 crores, right?

Gaurav Rathod: Correct. You're right.

Percy Panthaki: So INR25 crores is annualized INR100 crores. So when do we reach that annualized INR250 crores run rate? Is it 2 quarters, 3 quarters?

Gaurav Rathod: Correct. Currently, we are at only 50% efficiency levels. In the glass plant, it takes a little time because this is a 10-year furnace. So when we start, we achieve lower levels of efficiency. But as we build, so it takes about 6-odd months. So from now, 6 months, we will be at about 75%, 80%, which is when the full capacity utilization kind of comes in or kicks in. So in the first year, we anticipate close to INR150-odd crores revenue from this plant, not the whole INR250 crores. That is at peak capacity.

Percy Panthaki: Got it. Got it. So second year should be INR250 crores, right?

Gaurav Rathod: Yes, yes. That's what we would like to achieve.

Percy Panthaki: And another question is, since a lot of the costs here are fixed at this INR150 crores, would the margins be sort of affected negatively? How should we sort of build in...

Gaurav Rathod: I think we will try and not -- so of course, we might not see very positive PAT numbers in the first odd year, which will basically start flowing in from the second year. But we hope to break even at least in the first year and/or probably make a very small profit. So that's the idea going forward.

Percy Panthaki: Got it. Got it. Or another way of thinking is at your consolidated level, consolidated EBITDA level, how many basis points of impact should I take from this plant in FY '26? Would it be like 100 basis points impact at the consolidated level?

Or how should I look...

Gaurav Rathod: On a consolidated level, yes. So EBITDA margins will still not be affected as much as your EBIT margins because your costs are down. So your gross margins might be decently good for glass because they are actually pretty good, in line with our other glassware products. But on EBIT level, yes, it will affect more.

Percy Panthaki: Okay. Understood. So EBITDA, there is no dilution, which is like...

Gaurav Rathod: EBITDA, there might be dilution by, as you said, about 1 basis point.

Percy Panthaki: Understood. Understood.

Gaurav Rathod: But it will be temporary. It might actually -- for the entire year, it might not even be that much.

Percy Panthaki: Understood. Understood. Second question is on the Writing Instruments segment. So there is a decline here, but can you split it up between exports and domestic?

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Gaurav Rathod: Sure. So export is a major decline here. Domestic has been stagnant. So domestic also has not grown, but the decline has come due to exports. We had a lot of issues in the last quarter, which I had mentioned as well that the exports -- there were a lot of shipping concerns, there was global slowdown. So the customers had kind of delayed orders as well.

And because of the shipping concerns also, it got exaggerated a little bit. But we are seeing it back. We have seen come back, though we had expected a little more comeback. But I think this quarter, we are seeing good orders already in the pipeline. So at least if not growth, we might at least not have any degrowth for this year.

Percy Panthaki: Got it. And for the domestic business, what would be required for it to show some good growth?

Gaurav Rathod: I think for the domestic business, consumer demand has been quite weak in this segment. If you see barring 1 or 2 players, not much has happened. And even in the unlisted space, people are

struggling a little bit. But I think overall, consumer demand as it improves, we should see some improvement. Also, we are adding product lines, as I mentioned.

Moderator: Yes, sir. Sir, the participant has dropped. We will move to the next participant. The next question comes from the line of Praveen Sahay from PL Capital.

Praveen Sahay: Sir, my first question is related to the gross margin and especially in the consumer as well as in the writing instruments, the gross margin contraction is quite high in the quarter. So is that the RM inflation or some product mix change? Why -- and will that continue at this level or improve?

Gaurav Rathod: So the gross margin level has contracted a little bit, mainly it's because of -- it's actually a factor of 3 factors, as you rightly said. It's part inflation of raw material, not a lot, but very limited inflation. Plus product mix has changed, mainly in the writing instrument segment, which has affected and also in the consumer segment to a certain extent.

And of course, there were some discounts that were passed on because due to weak demand conditions, there was some discounting that happened, which also has resulted in slightly lower gross margins.

But I think as the consumer demand improves, if you see consumerware actually grew at a decent pace of 8%. So I think we are kind of getting back a little bit of that demand. So as demand improves, this number should actually improve in the next few quarters.

Praveen Sahay: Okay. And especially in the writing part, if you look at your peers for the non-paper segment, their gross margin has not impacted actually. So that's why I was looking at your number, why is it so it's because of RM or some change in the distribution what exactly versus the industry.

Gaurav Rathod: So 2 factors in writing instrument. One is, of course, basically the product mix has changed a little bit and also due to export being lower than domestic sales. So export, we slightly have better margins

compared to domestic. So that is also one of the reasons why it has contracted a little bit.

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Praveen Sahay: Okay. Second question, sir, related to the -- if you can give a nifty color on the working capital side by end of 9 months, how it has moved?

Gaurav Rathod: Correct, right. So I think we've kind of improved on the working capital side. Our trade receivables, which are about at 124 days in quarter 2 of '25 has now improved to about 111 days. Inventories have also improved by about 10 days from 98 days to 88 days. And of course, our trade payables stay pretty much the same as we pay in about 25-odd days. So we have seen about a 20-day kind of drop in our working capital.

We still -- of course, there is a lot of room to improve here. Our target is about to reach about 90 to 95 days in terms of our trade receivables. And inventories, I think we are at now optimal level. I don't see any improvement there. But I think trade receivables, we still want to go down to about -- by about 15 days.

Praveen Sahay: Okay. Second, on this -- the volume growth, if you can give in all 3 segments for 9 months or the quarter?

Gaurav Rathod: So volume growth is pretty much in line. I think it's not very different from the value growth of about 8% because there has not been a very -- sorry, 5% for the entire company because raw material prices have been pretty stable. Volume growth slightly is more because your gross margins have contracted a little bit, but it's not too different. So normally, we have a difference of about 3% to 4% value growth is slightly more than the volume. But this time around, it is pretty much in line with value growth.

Praveen Sahay: Okay. And can you give the capex number as well for 9 months and the full year and the next year respective?

Atul Parolia: Same number which we have expected last time INR275 crores. And the next year is around INR75 crores to INR100 crores.

Praveen Sahay: Okay. Okay. And guidance is maintained 20% sales growth way forward, sir?

Gaurav Rathod: So I think way forward, it's not been an easy year for us this year around. So I think going forward, our guidance would be about -- conservatively, I'm saying because we've seen very weak demand in this past year.

So if this continues, it's slightly weaker still, we expect about 12% to 14% growth for the next year, given that we also have an addition of revenue from our glassware plant. But if things improve, it can go up to about 15% to 17%, which is where we would like to be, which we were in the past as well. So I think that would be something that we would be happy with.

Moderator: The next question comes from the line of Achal Lohade from Nuva Institutional Equities.

Achal Lohade: Just a couple of questions. One is, can you highlight on the channel inventory given you've talked about higher discount schemes, et cetera? Are you looking at the channel inventory already at optimal or slightly higher level or it is understocked?

Gaurav Rathod: No, you see we have improved in our days debtors basically. So there has been actually a correction of a lot of inventory this year. So if you see the last quarter, the decent demand in the festive season kind of cleansed a lot of inventory.

And I feel going forward, inventory position is pretty good, I think, at our channel as well in terms of our distributors and in the retail counters. So I guess that is not going to be a challenge in the coming year, at least, which was a big challenge this year.

Achal Lohade: So essentially, you're saying channel inventory was a little higher in the start of the year and now it is at normal level. Have I understood right? Okay.

Gaurav Rathod: Yes, absolutely.

Achal Lohade: Second question is, if you could break this 12% to 14% growth in terms of these 3 segments?

Gaurav Rathod:

Yes. So I think in terms of the 3 segments, so about 3.5% to 4% additional revenue we will receive from -- for the glassware plant. And if consumer ware grows even at about 8-odd percent and about -- so -- and also the writing instruments segment at about 8% to 10%, which is conservative, but should grow slightly faster, but at a conservative level, about 8% to 10% and furniture at about 5% to 7%.

So because furniture this year has been a decent growth. Normally, if you see the previous years, it's one of our toughest segment and growth has been difficult. But this year has been a decent growth, which hopefully continues, but we expect it to be about 5% to 7% around that number.

So in total, this will total to about 12% to 14%.

Achal Lohade: Understood. Just remind me if when we got listed, what was the revenue growth guidance? And given where we are currently talking, which 2 or 3 factors which have driven this correction?

Gaurav Rathod: So I think -- see, when we got listed, the previous years, the previous years before listing were about 30%, 30% growth. They were exceptional years. Of course, before that also, we were growing at about 15% to 17% year-on-year. So I guess the last 1.5, 2 years has been very difficult in terms of consumer demand actually has been pretty weak.

And you see this across all the segments in the consumer discretionary and even FMCG. So I think improvement in that we are seeing some improvement. And I think if that has been the biggest factor driving this down a little bit. So I believe that once this is improving and with the budget being favourable for the middle class, I think this number should change in this coming year.

Achal Lohade: Understood. There is nothing on any specific product competition or distribution, et cetera, which has got impacted this growth?

Gaurav Rathod: I think see, if you look at our competition as well, their growth has also been pretty muted. Though there has been additional discounts rolled out by a lot of our competitors as well, but the growth in revenue has not been robust. So I guess if you -- in a bad demand scenario, it should -- otherwise, they should have taken a lot of market share, which has not happened.

So I guess keeping that in mind, I believe overall, the macro scenario was so bad that probably just keeping our margins intact and growing at maybe a slightly slower pace was probably the right approach that we took in the last couple of years. But going forward, I think we have a lot of very good things happening in terms of having additional kind of product lines that are being added. And I think this can now propel the company into a different kind of growth trajectory.

Achal Lohade: Understood. And just last question, Gaurav. With respect to margins, you commented about 12% to 14% revenue growth, but how do you see the margins panning out aggregate at company level, EBITDA margins, if you could guide for FY '26 and '27 as well, if possible?

Gaurav Rathod: So EBITDA margins should be in line next year. Maybe as I mentioned earlier, that due to the glassware plant being just initiated, and it takes a little time for efficiencies to come in, we might see slightly tapered maybe 0.5 to 1 basis point, but EBIT margins might be hit a little more in the first couple of quarters. Maybe it will actually improve in the last.

So we'll see how that goes. But overall, we would like to maintain it at about 10% to 12%, in line with the value growth, but could be slightly 1%, 1.5% lower than the value growth that we'll expect. It's only for the next year. Of course, it will improve again because gross margins are pretty strong even in the glassware segment.

Moderator: The next question comes from the line of Ankur from HDFC Life.

Ankur: Two questions. One, as we kind of enter the summer season and the whole school reopening,

et

cetera, which is like peak season for your lunch boxes, bottles . If you could just talk about how is the channel restocking happening?

Are you starting to see some signs of a rebound on the demand side? Or is it still fairly tepid like what you've seen over the last couple of quarters? So that's question number one. Question number two would be if you could also talk about impact, if any , of Q-commerce on your distribution channels? And how are you kind of handling the fund?

Gaurav Rathod: Right. So I think, of course, summer is a good season for us. And the bottles and the lunch pies we're already seeing demand for it. It starts from about mid of February and goes up to about May and June. So restocking has been good in the channel. And that is why, as I mentioned, our debtor days have also come down . That's because a lot of inventory has gotten corrected. So I guess this time around, summer should be strong. Glassware , again, is a very summer-heavy product. So the first quarter should be good, though we might not reach full efficiencies by then. But whatever product mix that we make, we hopefully see a pretty strong demand for that. I think -- sorry, Ankur, your second question was.

Ankur: The impact of Q-commerce and how are you kind of dealing with that?

Gaurav Rathod: So quick commerce, so it's been a good start. We started last year. Of course, there is a lot of things that even they are figuring out in the kitchen and home space. But I think we are seeing decent growth about -- in the tune of about 1.5% to 2% of our e-commerce sales today comes from that. But I think this number can be a lot larger in this year as good as about 15%, 20%. So
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we are focusing on quick commerce, but there is a lot of corrections from their side that they are now implementing because this was not a category of choice for them for so long.

It was majorly groceries and other discretionary. But now there is -- we see a lot of focus on this category. So this would drive -- because e-commerce in India is still growing in the just about 8% to 10% in the normal channels, and I'm talking about an Amazon or a Flipkart. But in quick commerce channels, we will see faster growth. So those will be propellers probably for this coming year.

Ankur: Got it. Okay. And just to clarify on the EBITDA margins for next year, you said there may be a slight hit because of the start of this new glassware factory. But what kind of either an absolute number or range you can provide on margins, EBITDA margins for next year, where would you see that?

Gaurav Rathod: EBITDA margins about -- the maximum impact would be probably about 1 percentage point. That would be the impact.

Ankur: Over this year?

Gaurav Rathod: Yes, yes, yes. Over the year.

Moderator: Yes, the next question comes from the line of Sumant Kumar from Motilal Oswal Finance Service Limited.

Sumant Kumar: Can you talk about the export outlook in last couple of quarters, we are seeing a subdued growth. So is it because of Russia or is it because of freight and container issue? What is the key issue there? And when we are going to rectify?

Gaurav Rathod: So I think the container issue has been a problem, and that is why a lot of shipments had gotten delayed. But it has improved. It's not that it has not improved in the last quarter, but now we see a bigger pipeline in the next quarter. So I believe that we'll be able to cover a lot of the loss of sale that has happened in the last quarter -- over this quarter . So we should end up if not growth in the segment, at least at last year numbers.

Sumant Kumar: Okay. And now coming to discounting, what percentage -- what is the rule of increasing in competitive intensity in consumer houseware ex of glass and Opalware?

Gaurav Rathod: Right. So I think you've seen that in the contraction of gross margins. Of course, it has been

na

mix of raw material product mix. But there has been some amount of about 0.5% to 0.7% of GP because of basically discounting. So I think this has happened in this quarter. Of course, this is also a very heavy quarter, as you know, because of the festive season.

So always because the intensity was high this time because everyone was having -- facing challenges of selling. So there was part contraction. But we will -- I don't see this as a very long-term impact. This was a temporary impact that happened because of the weak demand scenario.

Moderator: The next question comes from the line of Karan Bhatelia from Asian Market Securities.

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Karan Bhatelia: So this is with respect to the opalware capacity expansion -- sorry, opalware capacity utilization,

how does it stand now? And what are the targets for the next year?

Gaurav Rathod: Right. So opalware capacity for us is at about 80% today. We still have about 20% capacity left in this segment. And we hope to be at about 90% to 95% by next year because we might see furnace -- our furnace will go under maintenance. So that -- we lose a little bit of our capacity. But otherwise, 90%, 95% capacity utilization by next year.

Karan Bhatelia: Right. And how is the pricing scenario now on the Opalware side?

Gaurav Rathod: Pricing scenario is not bad because we've had some -- our raw material and energy costs had gone down over the years. So that -- though the prices were slightly lower, but it was offset by lower input costs. So I think that is why the margin has not been affected too much.

Karan Bhatelia: Right. And like we've been focusing much on the new product launches. So how has been the new product launches count for the 9 months FY '25?

Gaurav Rathod: Our overall product launches, if you see across all segments, it's about 15% contribution is of new products, which is actually in line with our every year kind of number. So even last year, this number stood at about 13% to 14%. So we are seeing similar number, 15-odd percent comes from new product launches.

Karan Bhatelia: Right. And so in the previous calls, we've been mentioning to launch new products, especially in the writing instruments, Crayon, geometry boxes, markers. So how is that ramp-up happening?

Gaurav Rathod: It has happened to a certain extent, not a lot, but we are still working on it to build those product lines. And this should start contributing a lot more from the next year.

Moderator: The next question comes from the line of Praveen Sahay from PL Capital.

Praveen Sahay: Yes. Just a follow-up on the margin front, you indicated about a 1% impact. Is that you are talking about the only consumer segment or as a whole consolidated level because of a glass.

Gaurav Rathod: No, the major impact will come from the consumer segment because of the glassware ramp-up. So on an overall basis, it would be about 1% at the max. So just -- of course, the impact is going to come from the consumer ware, but it will have an overall impact on the company EBITDA.

Praveen Sahay: So just to understand this 25% plus of margin you are delivering on. So on that, you are saying the 1% of a contraction or in the EBITDA 1% reduction...

Gaurav Rathod: Yes, at max, yes.

Praveen Sahay: So in place of a 25%, 24% around you are expecting?

Gaurav Rathod: Around 24%, correct, correct.

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Moderator: Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over to the management for the closing comments.

Gaurav Rathod: Thank you so much. Hopefully, we'll see much better quarters ahead. And thanks a lot, everyone.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of ICICI Securities Limited, that concludes this conference. You may now disconnect your lines.

Call: May 2025

Cello World Limited

(formerly known as 'Cello World Private Limited')

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May 29, 2025

BSE Limited

Phiroze Jeejeebhoy Towers, Dalal Street,

Mumbai - 400 001

Scrip Code: 544012 National Stock Exchange of India Limited

Exchange Plaza, C-1, Block - G, Bandra Kurla

Complex, Bandra (East), Mumbai - 400 051

Symbol: CELLO

Sub: Transcript of Investor Call

Dear Sir(s)/ Madam(s),

Pursuant to Regulation 30 of the Listing Regulations, copy of transcript of the Investor call held on May 26, 2025 at 09:00 a.m. (Indian Standard Time) on the audited financial results for the fourth quarter and year ended March 31, 2025, is enclosed.

The said transcript is also available on the Company's website.

This is for your information and records.

Thanking you.

Yours faithfully, For Cello World Limited

Hemangi Trivedi

Company Secretary & Compliance Officer

M.no. A27603

Address: Cello House, Corporate Avenue, 'B' Wing,
Sonawala Road, Goregaon (East), Mumbai-400 063

Encl: a/a

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"Cello World Limited

Q4 FY '25 Results Conference Call"

May 26, 2025

"E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on May 26, 2025, will prevail."

MANAGEMENT : M R. GAURAV RATHOD – JOINT MANAGING DIRECTOR

– CELLO WORLD LIMITED

M R. ATUL PAROLIA – CHIEF FINANCIAL OFFICER –

CELLO WORLD LIMITED

MODERATOR : M R. KARAN BHUWANIA – ICICI SECURITIES

Moderator: Ladies and gentlemen, good morning, and welcome to the Cello World Q4 FY '25 Earnings Conference Call, hosted by ICICI Securities Limited. As a reminder, all participant lines will remain in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal

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the operator by pressing star then zero on your touchtone telephone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Karan Bhuwania from ICICI Securities Limited for opening remarks. Thank you, and over to you, Karan.

Karan Bhuwania: Good morning, everyone. It's our pleasure at ICICI Securities to host Q4 FY '25 Results Conference Call of Cello World. From the management, we have Mr. Gaurav Rathod, Joint Managing Director; and Mr. Atul Parolia, CFO.

I'll hand over the call to management for their opening remarks, post which we can open for the Q&A. Over to you, sir.

Gaurav Rathod: Thank you. Good morning, everyone, and a very warm welcome to our company's earnings call. Joining me is our CFO, Mr. Atul Parolia; and Investor Relations Advisor, SGA. The results and presentations are available on the stock exchange and on our website. I hope you had a chance to look at it.

Financial year '25 brought with it a unique set of challenges that tested industries, economies and business across the globe. In the Indian consumer space, specifically saw subdued demand environment. However, Cello World, we delivered a 7% year-on-year growth, backed by a healthy business model and resilient margins.

We are proactively adapting to the challenging situation in a timely manner and have started making strategic modifications in our product portfolio and distribution strategies. We have added some new SKUs and discontinued a few products, which were not performing well in terms of volumes, margins and ROCE perspective.

We have also relooked at our distribution strategy, as we see a major shift towards quick commerce and e-commerce. This is expected to bring down share of general trade. We have also tied up with most of the quick commerce players and added products that can do very well in this channel.

I'm pleased to share that we delivered a healthy performance in Q4, achieving the highest ever quarterly revenue of INR589 crores with a growth of 15% year-on-year, while EBITDA and PAT margins remaining stable at 26% (Please read this as 25% EBITDA margin) and 16%, respectively.

This quarter was better as compared to the previous quarters in terms of consumer demand as well as we continue to benefit from reduction in input costs. Both of these, along with a boost in our glassware also contributes towards healthy business growth. Additionally, some correction has also happened during this quarter, hopefully leading towards better upcoming months.

Our Consumerware business did exceptionally well with a year-on-year growth of 24%. The glass drinkware products manufactured in-house are well accepted by the customers, and we are getting a good response, especially for the quality of these products. Currently, we are pricing these products on par with the import prices and are able to maintain a similar margin profile.

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As we are passing through a learning curve this quarter, we primarily focus on improving our cost efficiencies and are aiming to reach to about 75% efficiency levels in the next 2 to 3 months. This year, our target is to break even in the glass space, as we expect to exhaust our capacity by financial year '27.

Similarly, our Opalware business also performed pretty well, reaching almost 80% of our furnace that is sold until financial year '25. We hope to exhaust the capacity of this furnace in the financial year '26. There was a change in BIS norms for stainless steel vacuum flasks bottles, due to which import of such products from China has been banned. This resulted in elimination of lot of unorganized players from the market. And there is a huge gap that I see now, which we'll be able to take advantage of in the longer term.

For the time being, we have built up 5 to 6 months of inventory for the

se products and have

already ordered machines to be used for manufacturing of such vacuum steel bottles in-house.

This is a massive opportunity in the long term, as I mentioned. We might see short-term stockouts that could affect sales in the near short term.

Now coming to the writing instruments vertical, we continue to face challenges in terms of export demand slowdown, due to which the segment revenue stood at INR78 crores as against INR87 crores in Q4 last year. However, we see some signs of recovery in demand scenario from exports as well as domestic markets and are hoping for things to improve in the coming year.

To better manage this situation, we are working towards diversifying our Unomax product baskets by adapting new product lines such as art-related products, geometry boxes, etcetera.

Finally, coming to the furniture business, the performance was in line with the trends of the industry, but we managed to deliver growth of 8%, which is slightly better than the overall industry growth. We are planning to add up some products into this category, which can help us grow at a faster rate than the industry.

We continue to have a premium approach towards our products and focus on expanding our reach and penetrating deeper into all the states of India. On the back of a strong balance sheet position and healthy operating cash flows, the company is well positioned to grow faster as the demand scenario improves.

I will now hand over to our CFO, Mr. Atul Parolia, for the financial highlights. Thank you very much.

Atul Parolia: Thank you, Gaurav, and good morning to everyone. I'm happy to announce that Board of Directors has recommended a final dividend of INR1.5 per share, which is 30% of the face value of INR5 each for financial year '24-'25.

Now I will be sharing the financial details for the quarter gone by. In quarter 4 financial year '25, we achieved a revenue of INR589 crores and EBITDA of INR148 crores with a healthy EBITDA margin of 25%. Our PAT stood at INR88 crores with a margin of 15%. Speaking of the revenue mix, over 69% of revenue came from the Consumerware, 13% came from the Writing Instruments and remaining 18% from the Moulded Furniture & Allied Products. General Cello Word Limited
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Trade channel contributed 77% of the sales, while export and online sales made up to around 9% and 8%, respectively.

Modern Trade growing at a faster rate accounted for the remaining 7%. In terms of segment-wise margin, Writing Instruments led with a 58% gross margin, followed by Consumerware 53% and Moulded Furniture at 42%.

Now coming to the financial year '25 performance, revenue was INR2,136 crores with a year-on-year growth of 7%. EBITDA stood at INR555 crores with a margin of 26%. PAT was INR339 crores with a margin of 16%. Our cash flow from operations stood at INR262 crores. During the year, we have reduced our entire debt. And as on March '25, we are at net cash position. For the full year, we incurred a capex of around INR166 crores, which mainly includes investment for the glassware facility. Going ahead, for financial year 2026, we expect to do a capex of around INR100 crores.

Now with this, I would like to open the session for questions and answers.

Moderator: Thank you. The first question comes from the line of Percy Panthaki from IIFL Securities. Please go ahead.

Percy Panthaki: Can you just give some idea what is the sales from the new plant that you have recorded this quarter?

Gaurav Rathod: Right. So it's a INR20 crores turnover, basically because the plant got commissioned in February. It's only 2 months data. So we have grown -- we have doubled the sales over last year for the 2 months. So net-net, it's a INR10 crores increase.

Percy Panthaki: Okay. It was INR10 crores -- sorry, I didn't understand that because this is a new plant, so...

Gaurav Rathod: So the idea is that

in the first quarter, because we only got about 2 months of selling from the new plant, which was February and March, so basically, for the 2 months. For the quarter, we got a INR10 crores increase net-net in the glassware. So we were doing imports, right, before. So those got substituted as well. So that is why net-net, it was a INR10 crores increase in the glass segment.

Percy Panthaki: Okay. Okay. So I was actually looking at what would be your Homeware segment growth adjusted for this new plant because it's 24% that way. So I was just looking for that number.

Gaurav Rathod: From that perspective, you can just minus about INR10 crores, and then, you would get the growth of the Homeware segment overall.

Percy Panthaki: Okay. Okay. So that's still a decent double-digit growth, right?

Gaurav Rathod: Correct. Correct. Of course. Absolutely.

Percy Panthaki: Okay. So there has been a significant improvement versus what we've seen in the last 2, 3 quarters. So just trying to understand what's the reason behind that. Is that just a presale or a pipeline issue or there's some real underlying improvement in demand?

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Gaurav Rathod: So there was improvement in the last quarter for the demand, of course. There is a slight shift, which is why we see a better growth. But of course, it is not a continuous growth. It has just

been the last quarter that we've seen this. So it doesn't kind of -- because the overall year was a little challenging. But yes, quarter was good, let's hope it continues.

Percy Panthaki: Okay. And secondly, you mentioned that you have taken some portfolio rationalization decisions. So if you could give some idea that the part that you are rationalizing, what is the annualized sale and annualized EBITDA of that part so that we can sort of try and understand the impact on the FY '26 financials?

Gaurav Rathod: No. So the idea is overall rationalization across categories. So normally, we all do an 80-20 kind of a product analysis. And through that, we found a lot of products that don't need to be a part of inventory because a lot of these products are very similar to our current products. So they're probably cannibalizing sales of other products that are doing very well because either we are not producing them because we are producing the other products and there are orders that were pending for those particular items.

So in effect, it's not really going to hurt any revenue because at the end of the day, these are products that have either become obsolete or they are products that have just cannibalized other good running products. So I think the rationalization comes from the fact that some SKUs are not needed anymore in the portfolio, and that is why they have been removed. So I think the underlying basis is only that.

Percy Panthaki: Okay. So basically, you're saying no impact on top line or margins on account of this. Any impact on working capital or any sort of one-time provision or charge that you will be taking if these items are obsolete?

Gaurav Rathod: No. When I talk about obsolete, this is not inventory that is obsolete. These are products that have become old in our portfolio. So there is no inventory hit that we take for this because that inventory doesn't exist. We are just taking it off our price list so that we are not offering this to our customer anymore. So that's about that.

And in terms of the products, there is, of course, going to be newer products that are going to come in while we replace these. But if we are replacing -- if we are getting rid of 10, we'll probably add only 2. Also, this is from the perspective of the channel as well that lower inventory in the channel will also help the debtor days come down. So the idea is to kind of cleanse the pipeline as well to a certain extent where we can bring down our debtor days further.

Moderator: Percy, have your question

been answered by the management? Since there is no response from

Percy, we move on to the next question.

The next question comes from the line of Ankur Sharma from HDFC Life Insurance.

Ankur Sharma: First, on the Glassware segment, if you could help us what was the full-year sales in FY '25? I think you were earlier guiding to somewhere around that INR450 crores to INR470-odd crores number for the full year. And how do you kind of see this shaping up over the next year or so as you ramp up this new plant?

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Gaurav Rathod: Right. So I think for the financial year '26, our aim is to reach about INR450 crores, INR475 crores, around that figure, which will exhaust our glassware capacity by about 65% to 70%, and we still have some capacity left for next year, which we want to exhaust. So the idea is to grow this to that level. And plus we have our Opalware capacity, which is about 80% utilized, and we would like to exhaust this within this year. So that's where we stand in terms of the overall glassware scenario.

Ankur Sharma: Sorry, so what was the number for FY '25? Where did you close on Glassware?

Gaurav Rathod: So I think we do not disclose numbers separately for Glassware. So I'm not in a position to give you that on the call.

Ankur Sharma: Okay. Fair. Second, you spoke about the stainless steel bottles with this whole BIS coming through, and of course, imports getting banned, and therefore, the unorganized kind of moving out. Could you help us how large is the unorganized as per you? What percentage of the market would be unorganized? What would be your share in this segment? And what could be the market share gains that could happen over the coming quarters?

Gaurav Rathod: Right. So stainless steel, of course, is a pretty big category in India and a lot of sales has been hit due to unavailability of the stock industry wide. So I think even a small retailer would be able to order a container, so you can see how fragmented the sale actually was. So we -- so talking about our numbers, we were about 12% to 13% of this segment. And top 3 players put together would be about 35%, 40% of the business and the rest was unorganized. So I think there is significant gains in the long term that we can expect. But having said that, we will be putting up our facility in the next 4 to 5 months.

And in the short term, we might actually see some reduction in sales due to non-availability of this particular item. But in the long run, we have a lot to gain. And even though there will be some OEM players who will also come into the foray, which have already started. But I still feel

brands overall will really benefit from this BIS implementation .

Ankur Sharma: Okay. And I'm assuming the top 4, 5 brands would be the largest player -- largest gainer, I'm sorry, including yourself. That's how we should think about.

Gaurav Rathod: Yes. Yes. Absolutely.

Ankur Sharma: Okay. Fair. Just a third question. You spoke about this shift a way from GT and more towards q-com, e-com. So if you could just help us what would be that share at this point? How does that affect profitability in a positive, negative way? Just some color there to understand how it affects our overall business.

Gaurav Rathod: Right. So I think online, we have increased by about a percentage overall. Though it is -- in percentage terms, it's pretty small, but overall, it has -- sorry, 2 percentage points we have increased revenue. But in real terms, the quick commerce sale has really helped us to increase this part.

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And going forward, I see a faster growth in these channels compared to GT. So though GT is also growing, it's not that it is not growing, but I think the pace of growth on these alternative channels, quick-com, e-com will be a lot faster.

So I wouldn't be surprised if we have 2 percentage point gains every year in the next coming few years.

Ankur Sharma: And profitability versus GT?

Gaurav Rathod: Profitability, we maintain pretty much similar levels. We do this primarily by differentiating the product line online and offline.

Ankur Sharma: Got it. And just last one, if I may. Clearly, when I look at the Q4 numbers and if I adjust for the Glassware sales, Houseware clearly has done quite well, likely in that low mid-teen kind of growth. So if you could just help us understand, is this more of channel filling before the summer? Is this real demand pickup and secondaries have also been equally strong?

And if yes, which pockets is this lunch boxes or is it bottles? Just some more color as to what's driven that growth for us in Q4 and how sustainable. So basically trying to understand as we get into '26, do you think we can get back to maybe the high single, low teen kind of growth?

Gaurav Rathod: So I think, yes, it has been good overall. Consumerware demand was pretty good actually in Q4. But having said that, we have not seen continuous growth. Even we experienced this growth in the last quarter as well for a couple of months. And then the December month kind of died down a little bit. So we're not seeing consistency here. We are seeing spurts of growth, but the consistency still is not back. So it's tough to say that we continue on this ramp.

But having said that, what we can expect in the Houseware business is, you are right, about at least a high single-digit number should be possible and achievable in this coming year. And overall, we think that having Glassware also in the portfolio, but that will be slightly offset by the steel flasks demand. But we still expect about a good 12% to 15% kind of growth in the next coming year.

Moderator: The next question comes from the line of Grishma Shah from Envision Capital.

Grishma Shah: A couple of questions. If you could also help us understand, one, the INR100 crores capex that we've announced includes the glass -- the BIS-related product capex also? That is one. Second is the raw material outlook. Those are the first 2 questions.

Gaurav Rathod: So, yes, the INR100 crores capex includes the steel, the new facility that we are putting in Rajasthan. So that is a part of it. And -- sorry, I did not get your second question.

Grishma Shah: Overall, for the business, what's the raw material pricing outlook for FY '26? You said there were some benefits of lower raw material prices in quarter 4 compared to quarter 3. So that -- continuing that, what does the outlook look like in FY '26?

Gaurav Rathod: So I think we are pretty much at our lowest point in terms of raw material prices because due to subdued crude prices. So I believe that the crude prices will continue being like this. And that is

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why I think the raw material prices will be at this level. So don't see too much of fluctuations. I think it will clearly be at this level for this financial year.

Grishma Shah: Okay. And this line, how much time would it take to come on stream, the steel bottle plant? And will it like take until the end of the year? Or what does it look like?

Gaurav Rathod: So I think we'll only know once we start. So I think our idea is to start in the next 3 to 4 months, the facility, and it might take a few months to stabilize. But having said that, you can start production, but maybe the efficiencies might be low initially. But it is going to be a learning curve because we still don't make the best bottles in India, as good as China.

So we'll, of course, take some time to get to that quality. But having said that, we are all in the same boat, so no one has an advantage as such. So, yes, we'll try our best to make sure we are up and running very quickly.

Grishma Shah: And in

terms of OEM tie-ups, we've not tied up with any OEM in the interim. Is that a stopgap arrangement that we have in place?

Gaurav Rathod: Yes, we have some bottles coming from OEM, but it is very limited because India, the production itself is extremely limited at this point of time. So even the OEM production is going to a lot of people. So it's not only coming to us, it's going to a lot of people. So for that reason, that is why we might see some gaps that might come in, in the next few months. But yes, we were trying to plug that gap as soon as possible with our production.

Grishma Shah: Okay. The other question was on the opalware side. What gives you confidence to exhaust the capacity in FY '26 given that there would be a fourth player who would enter, who also is a formidable player in the other category? So what are the positive demand trends that you're picking up due to which you think that the opalware capacity would be exhausted, right?

Gaurav Rathod: No. I think we have taken a lot of initiatives to kind of exhaust the capacity, including some additions to a range. So our idea is though there is a fourth player entering, I feel until then -- and the entry is a little away, it's not going to be pretty soon. So I think for this year, we are pretty confident of exhausting that capacity out. And I think we are pushing for that pretty aggressively. So I think the idea is to exhaust and be at a good position for next year. Though, of course, capacity additions now have taken a back seat for the time being, but at least exhaustion is our first priority.

Moderator: The next question comes from the line of Akshat Mehta from Seven Rivers Holding.

Akshat Mehta: Sir, I just wanted one clarification. These BIS norms that have come out for consumer appliances as well, sir. Those BIS norms, a few days back, there was a notification where they said that they have expanded the deadline by another year, till March 2026. So are those norms still applicable for consumer appliances? Or what is the scenario there?

Gaurav Rathod: So consumer appliances actually had the BIS implementation about a couple of years back only.

So most of the manufacturing that is happening today in India, it's not really happening in China

anymore. So consumer appliances, the entire bit is actually local now. It's not -- you're not

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allowed to import finished product from China. So that has happened about a couple of years ago. It's not something new.

Moderator: The next question comes from the line of Aniruddha Joshi from IICI Securities.

Aniruddha Joshi: Yes. Sir, I missed the initial part of the call, but in terms of exports of Writing Instruments, is that the only export suffering? Or are there exports in other segments, too, and that is also suffering? That is question number one.

Also, when do we see the, in a way, export normalization? It's already 4 quarters are over, and we still continue to see decline in the exports business. So what is the outlook here? In a way, I mean, if we are not present in that market, probably we will lose the market share permanently itself. So how are we thinking on those lines?

Gaurav Rathod: So in terms of export, our major export actually comes only from stationery and writing instruments. Everything else is pretty meager. It's not a lot of exports in other categories. So writing instruments has, of course, been taking a hit. Having said that, it's not that we are losing markets because these market demands have dropped, but we are still exporting to all of these markets.

So the idea is that, of course, the demand or the numbers has to improve for the exports. And probably one initiative that we have taken is to adding more countries. The countries that we are present in now we are adding some more to kind of stem this problem that we are facing in the other markets. So as the d

emand that there would increase, it would definitely have a positive impact.

And the Writing Instruments degrowth has pretty much probably been because of the exports only. So the export slowdown has really impacted the overall category. While domestic, of course, also did not grow, but it did not decline as well. So there, we actually want to push now domestic demand a lot more because that's where the growth avenue is more than exports.

Aniruddha Joshi: Okay. Sure, sir. Then secondly, at the time of we had also seen that there are some of the products where we are using the global cartoon character brands on -- let's say, on the lunch boxes, et cetera. Since we don't see that anymore, so is that in a way agreement over? Or is the company in process to, in a way, renew that? Or it's -- in a way, it adds a lot to the branding for the kid products, so what is the strategy further on that?

Gaurav Rathod: ` No, we have actually -- so we have a renewal of these licenses every year. And even this year, we have renewed. What we tend to do is we tend to change the characters. So it's not that some characters you might not see, but there are others that have been added. So that keeps changing as per the demand scenario. So for example, one character might have become popular with kids during the last couple of years, so those are the characters that have been added and some that have been less popular are being removed. So that is just a rejig. It's not that we don't have licenses in place.

Aniruddha Joshi: Okay. Okay. Surely. Understood. And last question from my side. Post QIP, now the balance sheet is in a way flush with cash. And again, the company will also continue to generate a good

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amount of earnings as well. So what will be the plan with the cash which will get accumulated on the balance sheet, whether it will be paid out in terms of dividends or some money may be required in the capex that you indicated earlier?

But anything on the cash plans in terms of acquisitions because media news flows indicated that we were looking for acquiring in a way some brands definitely in the -- in a way, bags or something like that. So any further thinking on those lines?

Gaurav Rathod: So I think, yes -- sorry, so in a way, basically, the cash, we are always open to any acquisitions or mergers that come our way. And having cash on the books is always good in such a situation. So though we might be sitting on cash today, if there are good opportunities that come our way, we are quite open to kind of go that path.

And yes of course, if we don't find any opportunities in the next couple of years, there will be good payouts as well. So I think we're open both ways. We're not shutting down any opportunity that comes our way. So yes, open to everything. But not currently, as I had mentioned last time, we were looking at a potential buyout of a certain player in the plastic segment.

That is currently off the table because when we did the due diligence, we did not find it appropriate some of the things, and so we took a backseat on that. But having said that, we are still open to any kind of acquisitions in the future.

Aniruddha Joshi: Okay. Surely, sir. And last question. In the previous call, the Q3 call, you had slightly toned down the EBITDA margin guidance. Now obviously, revenue growth is coming back, so we will benefit from operating leverage, plus the key raw material, crude oil, has also in a way gone down now. So logically, glassware plant should stabilize, and it should also add to the profitability as the initial teething issues may get resolved. So any fresh guidance in terms of the EBITDA margins for FY '26?

Gaurav Rathod: No. I think EBITDA margins, I had guided, would be subdued because of the glassware itself because glassware in the first year, as you know that, it takes a little time to stabilize.

ze. And even

now we are still at only about 55% efficiency levels. So the idea is that we might not see any good profitability overall.

We might -- we want to -- we would be able to break even for the year, and that is why the revenues might rise, but it might not add to the profitability. And that is the reason why I guided that the profitability could take a percentage point hit for the year. But having said that, of course, we'll try not to have that kind of a situation. But just in case, these efficiencies, the earlier we achieve, the better the position will be, of course.

Moderator: The next question comes from the line of Ashutosh Khetan from A MSEC.

Ashutosh Khetan: I just needed one clarification, the 12% to 15% growth that you said that in FY '26 is for the consumer segment, right?

Gaurav Rathod: No, this is for the overall company.

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Ashutosh Khetan: Okay. And segment-wise, if you could just break down this growth...

Gaurav Rathod: Yes. So Consumerware would be a little higher at about 17%- 18 %, owing to the fact that we are also adding revenues of glassware in this. And the Writing Instruments segment, we are targeting about 10% to 12% growth. And Furniture, as it is, at about 7% to 8%. So overall, 12% to 15% is the kind of number.

Moderator: The next question comes from the line of Akhil Parekh from B&K Securities.

Akhil Parekh: I have 3 questions. The first question is on the products which we have discontinued or we are planning to discontinue. Would you be able to highlight which are those some of the products?

And was the ROCE lower because of the heightened competitive intensity in those products?

Gaurav Rathod: Sorry, I didn't get your second question, please.

Akhil Parekh: No. So my first question is whether the product categories, which we have discontinued, the ROCEs are lower you have highlighted, right? Was it due to the heightened competitive intensity in those product categories? And what are some of those products? That's my first question.

Gaurav Rathod: Right. So I think -- yes, so I think the -- yes, the returns over time on these product lines, these are not product lines, these are products as such. So for example, if there is a bottle, I'm not discontinuing the entire range of bottles. We are just discontinuing, say, 2, 3 products from that range.

The idea is either they have become older. So they are probably being sold at slightly lower prices. So they are eating up into the sales of the products that are doing better and have higher margins. So that is the reason why we are discontinuing some of these products because it brings down the overall margin portfolio. And also, it doesn't let the newer product lines sell as much because the production capacity for a particular month is only that much. And a lot of these products are very seasonal.

Say, a bottle is very seasonal, in the summer it sells a lot more than the rest of the year. So I think those -- that is the reason why we want to kind of do this. So while ROCEs are one of the reasons, another reason is also the inventory buildup that happens at our distributor and our channel partners, due to the number of product lines. So we are trying to reduce the number and also in effect trying to reduce the inventory that our partners carry.

Akhil Parekh: Sure. Sure. And so this will also help us reduce our own inventory, I believe, right, and help us improve on the working capital side.

Gaurav Rathod: Absolutely.

Akhil Parekh: And any guidance on the inventory days we expect from this activity?

Gaurav Rathod: So inventory base should be at a reducing trend. It is -- currently, it is pretty high also because of our steel flask because we had filled in about -- inventory of about 6, 7 months, which is now coming down. So we should be able to see about 7, 8 days of -- or about 10 days of improvement.

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after all of this is in effect. But yes, you'll see it in a phased manner. You might not see it immediately.

Akhil Parekh: Sure. And my third and last question, the opalware at peak, 80% of utilization, what kind of revenues we can generate?

Gaurav Rathod: So at full capacity, we are looking at about INR400 crores, INR 425 crores of revenues that can be generated out of this plant.

Akhil Parekh: Okay. And that should be 100% plus utility utilization.

Gaurav Rathod: That is 100%. That is 100%. Correct. That's it.

Akhil Parekh: That's all from my side, and best of luck for coming months.

Moderator: We take the next question from the line of Karan Bhatelia from AMSEC.

Karan Bhatelia: Gaurav, I wanted to understand the value-volume metrics across categories for FY '25. That's the first question.

Gaurav Rathod: Right. So I think volume is slightly higher than value. Though it's very difficult to quantify our products in terms of volume and value because we trend across a lot of different price points, it's not the right way to look at our product line. But having said that, the volumes have been higher because there has been a little more discounting in terms of value, but only about a percentage point difference. So if it's 7% growth overall, yes, we would be at about 8.5%, 9% of volume growth.

So you can't actually see this -- this number doesn't make sense in our overall scheme of things because there's so many product lines, even say our Writing Instruments is completely different. Furniture is very, very different. So also -- raw material fluctuations also makes a lot of difference in this. So not a very good metrics to look at. I think in our portfolio, we should always look at only value, which will make more sense.

Karan Bhatelia: Yes. So I wanted to understand whether the industry has grown and we've grown better in terms of volumes. So that was the focus.

Anyways, on the discounting, you mentioned that -- so are we -- like we've seen healthy discounting for the fourth quarter? Or are we peak in terms of discounting?

Gaurav Rathod: No. The discounting has been for the entire year, if you see, that is why there is a little drop in your gross profit level. So it's not the major discounting. It is slight bit of discounting that has happened because of demand pressures. So that has been there for the entire year. It's not only the fourth quarter phenomenon.

Karan Bhatelia: Right. And while we're not sharing the opal and glass revenue separately, if you can give me at least the growth ex of opal and glassware in the consumer segment for '25 percentage will be fine.

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Gaurav Rathod: Yes. So opalware and glassware grow at about 13% for the entire year.

Karan Bhatelia: Okay. Okay. And the Writing export, what's the quantum? And what's the decline for this year? That's it from my end.

Gaurav Rathod: So the export is still about 46% of the sale of the Writing Instruments segment. And the decline is about INR20-odd crores, which is a decline that we see in the overall number result.

Karan Bhatelia: So I repeat, 46% value in Writing was exports, and it degrew by 20%.

Gaurav Rathod: Correct. INR20 crores. So it degrew by INR20 crores in absolute numbers. Yes.

Moderator: We take the next question from the line of Percy Panthaki from IIFL Capital.

Percy Panthaki: Sorry, I got disconnected while I was asking a question. So just a follow-up on those questions which I asked. So I did the math and I removed that INR10 crores from the Consumerware. It is still a 20% growth this quarter compared to the first 9 months, which is like 7%, 8%. So just trying to understand this very, very sharp acceleration in this segment. What can I attribute this to?

Gaurav Rathod: So a couple of factors. Hydration has started, did very well for us due to early summer. So summer,

even March sale contributed a lot of hydration sales. So uptick in all channels for hydration. So that kind of did very well for us. And plus, over all, as I said, demand scenario was much better.

So these were growths that we were seeing in '22, '23 across all quarters. So I think -- but having said that, these are spurts of growth and not consistent. So I wouldn't guide on anything going forth because the idea is that it has to be consistent for us to tell you that this will continue.

Percy Panthaki: Understood. So excluding the capacity addition, how much would you say that the Consumerware division could grow for the full year FY '26? Would it still be a double-digit number if not 20%?

Gaurav Rathod: Yes, yes. Absolutely. So about -- as I mentioned, about 16% to 18%, it should grow at for the year, also because we are adding our glassware capacities also.

Percy Panthaki: No, no. I'm saying excluding the capacity addition because I want to take an organic basis, which is a reflection of the underlying demand.

Gaurav Rathod: Excluding it, it still would be like low single digits -- low double digits, sorry.

Percy Panthaki: Got it. Got it. And secondly, on your Writing Instruments portfolio, I understand the exports is in decline, domestic is doing well, but when does this equation tilt so that at an overall level you come back to a Y-o-Y growth?

Gaurav Rathod: So the idea is that the dependency on exports has to come down a little bit because we've not seen green shoots there in terms of growing demand. So while we are adding a few countries,

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the idea is to grow the domestic market more aggressively this year. So that will basically add to the growth.

Percy Panthaki: Sure. Sure. But do you think it will take like maybe 3, 4 quarters more until this portfolio is back in a Y-o-Y growth at overall domestic plus export level?

Gaurav Rathod: No, I think we should start seeing growth in the second half for sure in this category.

Percy Panthaki: Understood. And lastly, on furniture, since crude prices are a little soft and there might be either higher discounting or lower pricing of the products, how do we see the value growth of this segment for this year?

Gaurav Rathod: So the idea is to keep selling premium products in this range. So until we are able to increase the share of our premium product lines, we should still see a value growth. You're right in terms of saying that revenues drop in this category when our raw material prices come down, but hopefully, that will be offset by selling the premium range.

Moderator: We take the next question from the line of Grishma Shah from Envision Capital.

Grishma Shah: 2 quick follow-ups. What has been the cooler category growth for us this summer given that Q4 also would help us in that?

Gaurav Rathod: So last year, we saw a big surge in cooler demand. This year was very limited. So not really any growth. We are only in meeting last year kind of expectations this year. There was also -- sorry, there was also a lot of inventory by other players in the channel because everyone kind of anticipated it to be very good, but the summer was short-lived. So I think that was another reason.

Grishma Shah: Okay. Okay. So do we also have like more inventory in the system or we didn't have much compared to...

Gaurav Rathod: No, not really. We don't have that much inventory on the cooler bit. We are pretty much sold out on that inventory side.

Grishma Shah: Okay. And the second thing was on the distribution side, if you could highlight what is the current reach that we have? And how do we plan to expand in the coming year?

Gaurav Rathod: So I think in terms of distribution, we're, of course, there all India. Pan-India distribution is there. There are pockets, of course, that we keep improving, where we feel that our sales are lower than, say, our competitor or a

peer or we feel that the potential of that particular territory or area is a lot more.

So I guess having -- from that length, we keep improving it year-on-year. But having said that, there is no real geographical area that we are missing out on. So I think it's just about addition of more and more or penetrating further in those areas. And also, other channels, as I mentioned, quick commerce, e-commerce, are also helping us reach customers, and penetration is also increasing from that perspective.

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Moderator: Ladies and gentlemen, with that, we conclude the question-and-answer session. I now hand the conference over to the management for their closing comments.

Gaurav Rathod: Thank you so much, everyone. Hopefully -- we have had a good quarter. And hopefully, this momentum continues. That's what we hope, and we'll hopefully continue to deliver great results.

Thank you so much.

Moderator: On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

Cello World Limited

(formerly known as 'Cello World Private Limited')

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August 20, 2025

BSE Limited

Phiroze Jeejeebhoy Towers, Dalal Street,

Mumbai - 400 001

Scrip Code: 544012 National Stock Exchange of India Limited

Exchange Plaza, C-1, Block - G, Bandra Kurla

Complex, Bandra (East), Mumbai - 400 051

Symbol: CELLO

Sub: Transcript of Investor Call

Dear Sir(s)/ Madam(s),

Pursuant to Regulation 30 of the Listing Regulations, copy of transcript of the Investor call held on August 13, 2025 at 09:00 a.m. (Indian Standard Time) on the audited financial results for the first quarter ended June 30, 2025, is enclosed.

The said transcript is also available on the Company's website.

This is for your information and records.

Thanking you.

Yours faithfully,

For Cello World Limited

Hemangi Trivedi

Company Secretary & Compliance Officer

M.no. A27603

Encl: A/a

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"Cello World Limited

Q1 FY '26 Earnings Conference Call"

August 13, 2025

"E&OE -This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on August 13, 2025, will prevail"

MANAGEMENT : MR. GAURAV RATHOD – JOINT MANAGING DIRECTOR

– CELLO WORLD LIMITED

M R. ATUL PAROLIA – CHIEF FINANCIAL OFFICER –

CELLO WORLD LIMITED

MODERATOR : MR. ANIRUDDHA JOSHI – ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to the Cello World Q1 FY '26 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the

listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

Before we move on to the conference, I would like to give a small disclaimer. This conference call may contain forward-looking statements about the company, which are based on beliefs, opinions and expectations of the company as on the date of this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict. I now hand the conference over to Mr. Aniruddha Joshi from ICICI Securities. Please go ahead sir.

Aniruddha Joshi: Yes. Thanks, Manav. On behalf of ICICI Securities, we welcome you all to Q1 FY '26 Results Conference Call of Cello World Limited. We have with us today senior management represented by Mr. Gaurav Rathod, Joint Managing Director; and Mr. Atul Parolia, CFO.

Now I hand over the call to Mr. Gaurav for his initial comments on the quarterly performance.

Thanks, and over to you, Gaurav sir.

Gaurav Rathod: Thank you, Aniruddha. Good morning, everyone, and a very warm welcome to our company's earnings call. Joining me is our CFO, Mr. Atul Parolia; and our Investor Relations advisor, SGA. The investor presentations are available on the stock exchange and on our website. I hope you had a chance to look at it. We had a decent start for the year with a year-on-year revenue growth of 6%, reaching at INR529 crores.

The growth was primarily driven by our Consumerware segment, which grew by 12% year-on-year. Having said that, we are yet to experience a full consumer demand recovery across categories. The growth has also been hit by a slightly earlier onset of rains, particularly in May and -- which affected the hydration category, which saw dip in sales in that particular month. For the quarter, we have achieved the highest ever gross profit margin at 54%, reflecting our manufacturing excellence, strong positioning as a premium brand in the market and enduring relationships with our distributors and channel partners. Our partnerships with quick commerce platforms are also gaining traction and sales from these channels are on the rise. Nevertheless, general trade remains our leading contributor, both in terms of volume and profitability. Looking ahead, our strategy is to strengthen our omnichannel presence across general trade, online channels, modern trade, e-commerce and quick commerce to broaden our product reach across India and outpace the industry slow consumer demand trends.

Coming to category-wise performance. Our Consumerware category delivered a year-on-year growth of 12%. Within the Consumerware category, the glassware business delivered a solid growth of 50%, driving the overall growth of the segment. As I mentioned, the hydration category was a dip though it grew year-on-year, but could have been better. And due to the onset

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of overall earlier rains, it got affected. Other Consumerware categories also delivered a decent growth of around 10%.

Writing instruments continued to face challenges in terms of export demand slowdown, which got further impacted by a slowdown in our domestic sales. Hence, the segment revenue stood at INR74 crores against INR83 crores in quarter 1 last year. We are working on strengthening our Writing Instruments brand Unomax and to grow this segment in a more sustainable manner. Having said that, Unomax remains the highest margin product line in quarter 1 of financial year '26. To

overcome slower demand in this segment, we have already introduced a few products and continue to introduce new product lines like mechanical pencil, which was introduced in quarter 1 of financial year '26.

Coming to the furniture business. The performance remains subdued with revenue of about INR90 crores. The performance is in line with the industry trends. And as previously mentioned, we are working towards premiumization of product range here and expect slightly better growth trends in the coming quarters. We anticipate strong demand surge in the upcoming quarter, driven by the festive season and good traction in the last month, resulting in a better Q2 compared to quarter 1 of financial year '26.

Cello is well positioned to capitalize on this uplift with its premium and innovative product portfolio and deliver faster growth with healthy profitability and return ratios. I will now hand over to our CFO, Mr. Atul Parolia, for the financial highlights. Thank you.

Atul Parolia: Thank you, Gaurav, and good morning to everyone. I will be sharing the financial details for the quarter that has gone by. In Q1 FY '26, our revenue grew by 6% year-on-year to INR529 crores compared to INR501 crores in Q1 FY '25. Gross profit for the quarter stood at INR286 crores and gross profit margin at 54%.

During the quarter, employee costs and other expenses increased primarily due to the new

glassware facility in Falna. EBITDA margin for the quarter was 24%. PAT for the quarter came in INR73 crores with a margin of 14%. Our revenue mix for the quarter comprised 69% from the Consumerware segment, 14% from the Writing Instruments and balance 17% from the Moulded Furniture and Allied Products.

Among these, Writing Instruments delivered the highest gross profit margin at 59%, followed by Consumerware at 56% and Moulded Furniture and Allied Products at 41%. General trade stays the largest revenue contributor at 75.8%, followed by growing share from the online segment at 10.4%. Modern trade and exports contributed 5.4% and 8.4%, respectively. With this, I would like to open the session for questions and answers.

Moderator: Thank you very much sir. We have our first question from the line of Jay Doshi from Kotak Securities. Please go ahead.

Jay Doshi: My first question is, could you call out the revenue contribution of glassware business? And more importantly, what's the drag on profitability in this quarter, which will help us appreciate margins of rest of the business better?

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Gaurav Rathod: Jay, can you hear me?

Jay Doshi: Yes, I can.

Gaurav Rathod: So Jay, basically, in the glassware segment, it's still in the negative. So there is a loss in the quarter for that particular segment, which has dragged the profitability a little bit, but which was expected. As I had mentioned that this year is we are building capacity, and we are at about 65% efficiencies at this point of time, which ideally, we would want it to be upward at 85%, which will happen over the course of the year, which will definitely reduce our cost of production.

Having said that, basically, the drop has been primarily in this segment and the revenue growth has been there. So I think this will continue for a couple of quarters before which we breakeven for the year. So the idea is that we have to be breaking even by the end of the year in this particular segment, which we anticipate we will be able to do given reducing cost and rising revenue trends in this particular segment. But overall, yes, it will be a drag on profitability by a percentage point or so for this entire year.

Jay Doshi: Sure. So Gaurav, what we are not able to sort of understand is that 100 basis points, 150 basis points Y-o-Y decline in profitability was expected from glassware, but this quarter, it's dropped 525 basis points at EBITDA margin level. So is there additional pressure over and above the drag

from glassware in the core business that we should be aware about?

Gaurav Rathod: Right, right. So I think there has been a lot of margin pressure as well due to the demand pressures and the sales revenue pressures. So overall, demand has been slow, and that is why sales promotion activities have increased in terms of schemes and some discounts. So I think from that perspective, and we have not been able to raise prices.

So our energy costs, if you see have gone up for the year because there was a rate change in Daman specifically, where the energy rate went up. The wages have gone up as well. But we are not able to increase prices from last year because of the environment. And I think that has also contributed to that margin decline.

Also, coupled with -- because there is a degrowth in the Writing Instruments segment, the costs have still remained the same. Though revenue has gone down, the fixed costs have eaten up some bit of profitability there as well. So I think overall, as the revenue comes back on track, which should be growing a little faster than what we anticipated this quarter, this should mitigate, right?

And of course, festive season, these are biggest jump in because the product mix kind of changes a little bit. So we have better or higher premium gifting segment products that sell which sell with better profit margins. So I think that has been the reason for the drop. It increased costs, and we have not been able to pass that in the market. That is our major reason for this quarter.

Jay Doshi: Sure. And last one is on writing instruments. Now after a weak FY '25, we thought it will be back to growth this year, but it has again started with a 10% plus decline in 1Q. So could you give us some outlook for what should we expect for rest of the year? And basically, is this

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domestic -- pressure in domestic business or exports or both? Again, some color on outlook for exports as well as domestic for that segment.

Gaurav Rathod: Sure. So I think in the Writing Instruments segment, yes, it's been disappointing. We would like to be ideally growing this segment at about 10% year-on-year. But it has been challenging from

the export side of things. We have had more of a challenge coupled with domestic demand also not growing much.

The industry also overall -- if you look at only the pen segment, which we are majorly in though we have introduced newer products, but they still haven't gained that much traction. So I think from the pen front, it has been lackluster. But having said that, end of June, some parts of July have seen a decent traction. So we are still hopeful, though for the rest of the year, we'll see how it goes in terms of export demand specifically.

And also, we are trying to gain more market share in the domestic side of things. It's not been easy. And it's not a -- we've started spending some money on advertisement here also because being slightly newer brand, it is -- at a certain level, it grew, but now we'll have to put in a lot more effort to grow this further, so which we are committed to do, and hopefully, we'll grow at least this year by a little bit.

Moderator: We have our next question from the line of Praveen Sahay from Prabhudas Lilladher Capital.

Praveen Sahay: The first question is related to your guidance, the last quarter, what we had given related to the growth of Consumerware business, which is quite higher like 17%, 18%. So where it holds right now?

Gaurav Rathod: So I think this quarter, again, as I said, a few things did not work. For example, the hydration season, as I said, was not very good. Plus on the steel flask business, which we are going to start producing from November, December, that bit -- so we saw some stock-outs in those kind of product lines which also did not help, right?

So I think overall, yes, from a company perspective, we still guide for about 12% to 15% over all,

given that the glassware business is growing pretty well. Also, the consumer side of things, we still see a decent traction. It's been dragged down by Writing Instruments and the Furniture business. But the consumer business still remains healthy and it remains on the growth path.

Praveen Sahay: Okay. Second question is related again to the margin front, sir. So whether this employee expenses increase or the other expenses, it's all because of your -- the glass business where you ventured out.

Gaurav Rathod: So employee is majorly due to the glass business because we had started manufacturing, so we employed new people. So I think that is just because of that reason. Other expenses, as I said, sales promotion expenses for the quarter have increased due to sales pressures because it's been a tough quarter overall.

So a lot more discount, a lot more schemes have been passed on. And ideally, we -- every year, we kind of raise prices in April. But unfortunately, we were unable to do that this year, given

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that there was very aggressive pricing by a lot of competition for this quarter to try to gain traction in sales. So I think from that perspective, is where we see a slightly dip in margin, which we will -- a little bit we would, of course, cover over the period of a year.

Praveen Sahay: Okay. Next question is related to the furniture business. Last 2 quarters, we are seeing the gross margin contraction is continuing. So where you will see the gross margin of furniture business will settle?

Gaurav Rathod: So I think the gross margin has been -- because of the product mix, it keeps changing a little bit throughout the year. It depends on what product sells during the year. So I think it remains flat. There will be no expansion in the margin. But overall, as the product mix changes throughout the year, this will stabilize at a flat margin of last year.

So I think going forward, in the furniture category, as we have already mentioned that we are in the premiumization part. So once those synergies also click in, though it grows slowly, it doesn't grow by 10%- 15%, the premium segment. It grows by a percentage point every year or a couple of percentage points that keeps adding to the gross margins as well. So I think it should be stable as per last year as well.

Praveen Sahay: Okay. And do you see that your writing export business to improve in the next 9 months?

Gaurav Rathod: Yes, it is because I think July for us was decent, and we hope it should continue, the overall growth trend should continue. We have a good pipeline of orders and now things seem a little better also after the Middle East war has now -- is almost over. So the trade routes are now pretty open. There are no shipping delays, so I think that should definitely help the business.

Praveen Sahay: And this majorly coming from where geographically?

Gaurav Rathod: Majorly, it's still Middle East, Russia, Latvia, a little bit from the U.S. We will not be much hit by the tariffs, though, because the orders are still in place, but -- and our exposure is limited.

Praveen Sahay: Okay. Lastly, sir, capex for this financial year. What was it?

Gaurav Rathod: So capex for this financial year is majorly going to be the steel flask, which is in the tune of about INR40 crores to INR50 crores, which is the new capex, which is going to happen. And otherwise, it's just maintenance capex. So it will be around INR50 crores- INR60 crores. So

about INR100-odd crores for the year.

Moderator: We have our next question from the line of Lakshmi Narayanan from Tunga Investments.

Lakshmi Narayanan: Sir, do you actually give the breakup of the Consumerware into glassware, opalware and the hydration?

Gaurav Rathod: No, we actually report only Consumerware figures. We do not do a breakup.

Lakshmi Narayanan: Got it. And in terms of your distribution, do you actually give the distribution mix

for

Consumerware? Like I mean, how much is modern trade, how much is general trade?

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Gaurav Rathod: Yes, we can definitely share those numbers with you. Currently, in front of me, I'm only having the numbers for the entire company. But it's -- so just to give you an idea, it is -- of course, online in the Consumerware segment is the highest because the stationery and the furniture business is almost very limited. So I guess if you look at the numbers, it will be like about a couple of percentage points here and there. And exports majorly comes from our stationery business. So for a detailed breakup, of course, we can share that with you any time.

Lakshmi Narayanan: And how seasonal is your Consumerware business? Is it high on Q2 and then low on Q4? Can you just give some thoughts on that?

Gaurav Rathod: Yes. Consumerware business typically picks up in Q2. So festive season for Consumerware business is slightly larger. So it's about 1.2x or 1.3x of a normal month sales. So it definitely is slightly on the higher side, which is Q2 majorly.

Lakshmi Narayanan: And how has been your distribution expansion in Consumerware?

Gaurav Rathod: So I think distribution-wise, we have, of course, been present all over India. So we do have a pan-India presence. Overall, it is more deeper penetration is what we are looking at. And deeper penetration comes from opening new retail outlets or going -- or our people visiting more outlets, which, unfortunately, in India is not rising at this point of time. So the number of outlets for us is still remaining the same.

But what we are seeing is more shelf space on those same outlets is what we are gaining. And of course, the other channels of sale, which is online, quick commerce has seen good traction for us. So I think going forward, general trade will be, of course, a slower growth overall compared to the other channels of growth, which is online and quick commerce kind of channels.

Lakshmi Narayanan: Got it. And how are you handling the channel conflict with respect to online in the Consumerware?

Gaurav Rathod: So we typically have to differentiate the products on each platform because of the wide area of product lines that we have to about almost 17,000 SKUs (Please read as 19,500 plus SKUs). So we are able to play around with a little bit of product mix is different for different channels. And also the end product is slightly differentiated as much as possible. Of course, not 100%, but about 60%- 70% of our portfolio is a differentiated product itself.

And now we have a strategy to kind of make for e-commerce. So I think now that has completely changed. In the past, we used to make for general trade and sell on e-commerce, but now it's made specifically for e-commerce. So I think that from a mindset change has also happened within the company.

Moderator: We have our next question from the line of Percy Panthaki from IIFL Securities.

Percy Panthaki: So last year, you had given some data about the new plant that INR20 crores of sale has come from the new plant, out of which INR10 crores was import substitution. So can you give the similar figures for this quarter, please?

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Gaurav Rathod: So about -- around about INR15 crores to INR16 crores came again from our sales -- from our factory. And the rest was still traded items, which will further go down. So about 60% now is the factory product line and about 40% is the import product line, which will keep -- the ratio will keep changing. It will keep going down.

Percy Panthaki: Understood. And the new plant, what was the sales from the new plant this quarter? INR15 crores, INR16 crores.

Gaurav Rathod: Yes, yes, yes. So about INR5 crores, INR5.5 crores average sales.

Percy Panthaki: So why is it lower than Q4? Q4, you had done INR20 crores of sales from the new plant?

Gaurav Rathod: Yes. But

normally, the first quarter is always slightly weaker. It is always going to start from the second, third quarter is stronger demand trends. So it is -- the first quarter will always be a little

subdued for the glassware category.

Percy Panthaki: I understand that would be the case normally, but like we are starting from almost scratch. So that should not be affected by seasonality, the ramp-up because we are like significantly below the capacity of the plant, right?

Gaurav Rathod: No. What happens is basically what kind of product line sell is also important. So say, there was a surge in, say, bottle demand. The bottles do much better, which is a traded item for us. It's not a manufactured item. So those kind of items do pick up.

So the overall sales still grows, but some of the sales that -- the product mix that we are making has not grown in this quarter, which -- again, which is the next few quarters that is growing. So overall because we had started -- also, you have to realize that we had started the last quarter. So it was a launch. So the product has just gone into the market. So now it is repeat demand also.

Percy Panthaki: Understood. So how do we think about the total top line from this new plant for the full year basis?

Gaurav Rathod: So for the full year basis, we are anticipating about INR110 crores to INR120 crores of sales and -- which is at the current capacity levels that we are producing, we will have sold out about 65% to 70% of our capacity because, of course, our capacity expansion will happen over a period of time. All the efficiency gains will happen over a period of time. So by next year, we will produce about a lot more. But currently, what we have produced, we'll sell about 70% of it.

Percy Panthaki: Understood. So the sale for this new plant at full capacity, that works out to how much? About INR200 crores, roughly.

Gaurav Rathod: INR200 crores to -- it depends again on the product mix, but it anywhere starts from about INR200 crores to INR250 crores. So when I say INR250 crores, it's because of value additions. So we say we do little printing on it. We do some colored glasses and all of that. So that will add more in terms of the revenue.

Percy Panthaki: So do we reach that INR200 crores level FY '27 or it might be one more year for that?

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Gaurav Rathod: I think '27. I think '27, we should definitely reach that.

Percy Panthaki: Got it. My second question is on the total company EBITDA margin. So earlier, you had said that they might dip by about 150 bps Y-o-Y on account of the glassware plant. But now you mentioned that there are some other costs also which are inflating. So how do we look at the company level EBITDA margin for this year?

Gaurav Rathod: I think for this year, you should look at an EBITDA margin of around 23-odd percent for the entire year. Could be better, but I think given the environment and given that there is too much aggression by a lot of players in the market, we are hoping to end this year at about 23% EBITDA margins.

Percy Panthaki: Okay. So overall basis, 12% to 15% top line and 23% EBITDA margin?

Gaurav Rathod: Correct. Correct.

Moderator: We have our next question from the line of Achal Lohade from Nuvama Institutional Equities.

Achal Lohade: First question I have is if you could give some sense about what is the revenue and the EBITDA level loss for the new plant?

Gaurav Rathod: So EBITDA level loss, we don't put it here. If you need that information, we'll share it to you a little later.

Achal Lohade: Right. And revenue, you said it's INR15 crores, INR16 crores from the new factory?

Gaurav Rathod: Correct. From the new facility.

Achal Lohade: Right. The second question I had, if we look at the gross margins for the houseware -- for the Consumerware, right, it was 55% in 1Q '25, and it is 56.2%. So ideally, with the in-house manufacturing of the glassware, the mar

gins should have expanded. So if you could give some better sense about how do we see this margin -- gross margin for the Consumerware?

Gaurav Rathod: So I think since it is the beginning of a facility, the costs are a little higher and also the efficiencies are lower at this particular point in time. So glassware is going to be -- as I said, it's going to be -- because once we started the plant, it's a 10-year story. So the idea is that we are, of course ramping up production, ramping up new products as well. So as and how we improve efficiencies, cut costs and increase revenue, you will start seeing those numbers kick in terms of profitability.

Achal Lohade: Right. So I think, Gaurav, you're mentioning from an EBITDA perspective, at the gross margin, is there a case of heavy discounting because we are still trading in the channel with our brand, our product and hence, the margin improvement is less than what we were earlier expecting -- at the gross profit level, which is realization and the raw material cost.

Gaurav Rathod: Absolutely. Absolutely. Because I think there has been margin pressure definitely for this quarter.

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Achal Lohade: Got it. Another question I had, in terms of the demand scenario, you mentioned in a passing remark that things have improved in the month of July. Have I understood right?

Gaurav Rathod: Yes. So we are seeing good traction in month of July for all categories. Basically, that's what I mentioned.

Achal Lohade: Across categories, right?

Gaurav Rathod: Across categories.

Achal Lohade: And in terms of the channel inventories, how are these channel inventories as we speak? Because I presume earlier we had a challenge with respect to higher inventories in the channel? And what is the situation now? Has it normalized? Or it still continues to remain high?

Gaurav Rathod: Yes. I think it's better than before. I wouldn't say it's the best because, again, we saw a great quarter last March for Consumerware specifically, but again, having slowed down demand this year, this quarter again in terms of the secondaries also, there would be a certain amount of inventory, but it's still much better than what it was last year. That's for sure. So it has been an improving trend because -- and we see that in our collections also. So our collections have been better for the quarter.

Achal Lohade: Right. And how do you see the competition? Because we see numerous brands actually also grading into our category. So does that mean that in terms of the margins, we have kind of peaked in terms of margins? And from here on, you will have -- either you will have to sacrifice margins or growth?

Gaurav Rathod: I think for certain categories, we have peaked, and we will now have to innovate and probably expand into the other channels of growth because, as I said, we are not seeing very great demand in the general trade channel. So our other channels will cause be the growth drivers for the next few maybe years, right? And of course, as I said, we are now looking at consolidating our portfolio, which I had mentioned in the last call as well in terms of the product so that we control our inventory better.

Second point is that, of course, we'll also be -- we are having a sharp eye on costs as well. And we would like to cut costs as well, so that we still maintain our margins. So from the cost perspective, also, we will see certain things that we are focusing on, which is probably -- employee cost is one of them. Our promotional strategies is another one where we will try to save as much this year so that we still end up at a good EBITDA level.

Achal Lohade: Understood. And last question with respect to the acquisition. Anything on that front? Can we expect in next 1, 2 quarters? Or it is still some time away?

Gaurav Rathod: No. So in terms of -- what acquisition, sorry?

Achal Lohade: No. As in we -- looking at different comp

anies from a acquisition perspective, you are -- because last, if I remember right, in the last quarter, you had said, earlier, we were evaluating certain acquisition and it is off the table now?

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Gaurav Rathod: Yes, yes. So it was definitely off the table. So there is nothing on the table at this point of time in terms of any acquisition. So last time, as I mentioned, we had done some due diligence of the target entity. We were not satisfied. And that is why it was off the table. But there is no new entity as such that we're looking at.

Achal Lohade: Got it. And just one more question, if I may, with respect to the electrical appliances. Any thoughts on the same? Like how soon can we expect? And what kind of spend you will require to get into that particular category?

Gaurav Rathod: No. So we are present in that category. Though our focus has never been to expand it in a very big way, though it is a good market in terms of revenue, the margins there have eroded a lot for all people. It's a very cluttered category. For us, that is a supplementary category because we are going into the same retail outlet. So it just occupies more shelf space. For us, it's not a category driver.

It is more going to be a supplementary product, and we sell it at our price. If we start selling at prices which other competitors are doing by cutting quality, we don't wish to do that. And we wish to grow this at a 15%, 20% year-on-year kind of CAGR and slowly give out good products. So I think our strategy in this category is very clear. It's not about a lot of disruptive growth.

Moderator: We have a next question from the line of Bharat Gianani from Moneycontrol Pro.

Bharat Gianani: Sir, first question, you said the exposure -- I just wanted to get a sense of overall exposure to the United States, what would be that as a percentage of writing instruments? I presume that it's mostly -- the export is on the Writing Instruments side. So just wanted to get a sense of what's

the exposure to the United States?

Gaurav Rathod: I think it's not a lot. It's about 5% to 7% of our export sales is the United States. So we don't have major reliance on them. And currently, we have not seen any cut in orders or any of that sort at this particular point in time. So I don't think it really affects us much.

Bharat Gianani: Okay. Yes. Sir, next question from my side is that in quarter 1, we have seen 6% growth and that would be probably lower than what we would expect. And for the full year, you're guiding 12% to 15% growth. So probably in your view, 9 months should see a very healthy double-digit kind of a growth.

So just wanted to check on like what factors you are banking on to have a double-digit growth - strong double-digit growth for the 9-month period. So is it the -- are you expecting the market to rebound in a much better manner? Or is there any company-specific intervention that you expect will drive this kind of a growth?

Gaurav Rathod: So I think one is, of course, the glassy category, which is going to add new revenue. So that is definitely going to drive growth. Secondly, overall, of course, the next couple of quarters because of the festive season as well, normally, we have seen that things improve drastically.

And we've already started seeing signs of that.

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So I think, of course, Consumerware from that perspective will be the highest growth lever. And then we would, of course, by the end of the year, still going to grow a little bit in the stationery segment also, which kind of degrew this quarter. So I think having both of these perform at a decent level would definitely make us reach that 12% to 15% kind of growth platform.

Bharat Gianani: Okay, sir. And sir, last question from my side. So I mean, you said in your earlier comment that in some of the categories, the margins have kind of pe

aked in the Consumerware space. So I

understand this year, the margin pressure is there because the glassware facility we have just kind of started and it would be loss-making until the end of the quarter 4.

And there has been pressure on the Writing Instruments side and furniture business has also not performed well. So in FY '27, probably should we kind of pencil in that the margin would come back to the trajectory it earlier used to be like, say, FY '24, '25 levels? Or is that a different take on that?

Gaurav Rathod: I think, of course, that will require a lot of interventions from our side. And hopefully, if demand also surges, then everyone sells in a good market, right? When the market is slightly subdued, everyone tries to sell. So then there is margin pressure. So overall, that is to be seen. I don't want to project anything for the future because I really don't know.

It will have to -- of course, from our end, what we can do is we can change the product mix a little bit, start introducing more premium products, start introducing more margin, which can give us better margins, products like that and which we've always been working on.

Of course, as I said, that we are also having a sharp eye on cutting costs at different level as well.

So that will also kind of help in terms of helping with the margin to come back a little bit. But overall, for the year also, I think it will not be this bad. It will somewhere stabilize at about 23% to 23.5% of EBITDA margins. And which in the next year or so, of course, by interventions, it can happen. So there is nothing -- but yes, of course, there's a lot of work to be done for that.

Moderator: We have our next question from the line of Sumant Kumar from Motilal Oswal Financial Services.

Sumant Kumar: Yes. So in this quarter, in Writing Instruments, we have seen a 12% degrowth. So can you talk on how is the domestic market and as well as export? Is it because of the realization degrowth because of correction in raw material prices or volume degrowth also?

Gaurav Rathod: No, I think it is volume degrowth also and also a little bit of value degrowth. But the idea is that overall, yes, domestic kind of was still -- almost flattish and major degrowth was still exports.

So I think domestic is also in line because we are majorly in the pen segment. We are not into the art crafts and other segments, though we have introduced them, they've still not gained traction. So I think that is the reason why you see the degrowth in this segment.

Sumant Kumar: And in domestic market, I have seen all the -- our competitor is doing good and shown good numbers. And they have launched and they are doing good in INR5 pen segment also. So how is the competitive intensity? And what are the key steps we are taking to combat the challenges?

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Gaurav Rathod: So of course, the competitive environment is intensifying in this category. There is no doubt about that. But having said that, the major growth for all these players have come from art crafts

and stationery product lines, which we have still not seen an uptick in. So if you look at purely the pen segment for all these guys, it's very limited. So the idea is that, of course, by more product introductions, covering more and more geographies -- or more and more outlets.

We have covered geography, but more and more outlets is the way to go in the market. So for - as I said, slightly lesser-known brand still. And in an environment like this, it's more challenging for a lesser-known brand to grow faster. But we are taking all measures to grow this as fast as possible. And also as export comes back, we should still start seeing better numbers. Sumant Kumar: And in export market changing global scenario, how do you think about the export business, say, Russia, we have exposure. We have also exposure in U.K. and other European countries. So in this scenario, h

ow it is? And going forward, any changes and also U.K. FT, how it is going to benefit anything else? Can you talk on that?

Gaurav Rathod: U.K., we really don't have too much exposure to. So I think U.K. will not -- there will be not much of a benefit. But overall, if you see right now, things are okay. All shipping routes or demand everywhere is all right. So I don't see anything at this particular point in time. But yes, it's a very crazy world out there. I don't know what's going to happen in the next few months. But right now, it all looks okay. It looks good.

Moderator: We have our next question from the line of Jay Doshi from Kotak Securities.

Jay Doshi: Just a follow-up question and a clarification on your margin guidance. Now when we look at the presentation, EBITDA margin in the presentation is computed -- EBITDA includes other income and the denominator only includes operating revenues. So FY '25 was 26%, whereas the Street has a different way to look at -- we look at it in a different way. We look at operating EBITDA. So are you indicating or guiding for a 300 basis point Y-o-Y decline? So what was 26% for you in FY '25 will be 23% or so in FY '26. Is that right understanding?

Gaurav Rathod: That is right. That is right. So 23% would be what we are projecting given the intensifying competition in some of the categories is what we would like to do better, 100% and hopefully, we will. But given what the situation is right now, that is what we are guiding, yes.

Moderator: We have our next question from the line of Karan Bhatelia from Asian Market Securities.

Karan Bhatelia: Yes. Just wanted to understand the capacity utilization on our opalware expanded capacities. So can you help me out with that?

Gaurav Rathod: Yes. So opalware, we are at about 80%, 85% of utilization, and we have about 15% capacities yet to fill. So I think, yes, that's pretty much what opalware stands at.

Karan Bhatelia: And how do we understand the pricing scenario and the margins compared to a Y-o-Y basis?

Gaurav Rathod: So I think, again, opalware has also seen a dip in margins as all other categories as well, primarily because our energy costs have gone up, our wages and salaries have gone up. But again, we are Cello World Limited

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not able to increase price. So I think that is the reason why opalware has also seen a little dip. And opalware is one segment that will -- in this year, at least will have margin pressure because there's new people entering this segment as well. So I guess the competition is going to be a little intensified.

Karan Bhatelia: Right, right. And on the writing stationery part, we mentioned about expanding the other stationery ware in art category. While during the IPO days, we also mentioned of very strong addition to the channel partners on a pan-India basis because there was a lot of headroom for growth. So where do we stand now? And how do we see this portfolio 2 years down the line?

Gaurav Rathod: So I think we have expanded in terms of geography, but we have not seen those kind of growth from this channel, right So overall -- and that time also, the growth in the first 2, 3 years was very good, as I said, because the environment was also very conducive. Currently, it doesn't look like that.

But having said that, we are trying our best in terms of the other stationery products that we've introduced to kind of have an uptick there because we've still not seen that coming. Though the products have been launched, a lot of them have been launched. And even this quarter, we launched mechanical pencil which was a new product for us.

So that also has still not seen the kind of volumes that we would like to see. So I think having said that, I think about -- though we were -- we have always been guiding about 10-odd percent increase every year. We will have to see this next couple of quarters how things perform, though July seemed decent and

had good traction for this category. So we'll see how it goes in the next couple of quarters and then probably we'll have a better idea on things.

Karan Bhatelia: Right. And on this INR50 crores of capex on flask, what would be the asset turns and the margin profile at peak? Is it better than the other Consumerware category or better than glass opal? So how do we read through?

Gaurav Rathod: Yes, of course. So I think steel flask as a category would be about 5x asset turn is what we are looking at in this category. Glassware is very different, glassware is 1:1. But all our other Consumerware categories, including our plastic houseware is about almost 7x asset turn. So these are 5 to 7x asset turn kind of product lines.

Karan Bhatelia: And just to continue on this, can we achieve peak utilization in the very first year given the fact that BIS is in place?

Gaurav Rathod: Yes. So I think 100%, we should be able to achieve full utilization. But only -- of course, only one factor is how fast we produce good quality because it is not something that happens on day

1. It takes a few months to get a hang of it because it's not a very easy product line to just start and start selling. But initially, of course, maybe our wastage and other things because it's a steel product would be higher. But eventually, of course, we will achieve pretty good utilization in this new facility.

Karan Bhatelia: Right. And margin profile could be in line with other Consumerware category or could be in line to our opalware?

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Gaurav Rathod: No, I think margin would be pretty as per the other Consumerware category, not opalware, but other houseware and plastic category.

Moderator: We have our next question from the line of Ashok Shah from Eklavya Invesco Family Office.

Ashok Shah: Very best wishes for future. Sir, my question relates to the -- our another business, furniture business, which is in subsidiary and also listed. There, we have shown very good results with other income, but other income is not elaborated in the notes. So can you explain? It's a 100% increase.

Gaurav Rathod: Sorry, I didn't get your question.

Ashok Shah: No. My question is regarding Wim Plast Limited, which is our other business in the 55% subsidiary where our profit has increased and everything has increased, but this is due to the other income. But other income, there is no footnote is given. What is the other income, which has been arrived?

Gaurav Rathod: Other income is invested income, which is basically investments in financial instruments. So other income is only derived from that. And that's it. There is no other reason for the other income.

Ashok Shah: So it's a 100% increase. So if the footnote is given, it will be much better in next -- from next quarter?

Gaurav Rathod: You will have the balance sheet next quarter anyways. So you will be able to see that.

Ashok Shah: Okay. And sir, secondly, are there any plan to merge it? And what's the plan because there was some news that merger is going to happen with our subsidiary in the parent company?

Gaurav Rathod: Yes, it is already out there. We are merging it, and we are almost through with it. So another couple of months, and we are -- the merger will happen.

Ashok Shah: So what would be the ratio? It is a complicated merger?

Gaurav Rathod: It's not a complicated merger. It is just -- we needed some permissions from SEBI. And I think that's already come and now we are in the phase of merging.

Ashok Shah: So how many shares of the Cello World would be allotted?

Gaurav Rathod: I think already the swap ratio.

Atul Parolia: It's there already in the exchange. It's 0.86.

Gaurav Rathod: 0.86 is the swap ratio.

Ashok Shah: But is it right that in a market, it's not favorable to the small shareholder of the 40% of the Wim Plast Limited compared to the financials of the Cello World?

Atul Parolia: So it will be beneficial to all

actually.

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Moderator: We have our next question from the line of Sucrit Patil from Eyesight Fintrade.

Sucrit Patil: Just a follow-up on the previous quarter. So in last quarter, you had spoken about expanding your product range and deepening your consumer network. As you look ahead, what is the boldest move that you are planning to grow Cello, especially if consumer habits or retail channels are changing fast? And how are you preparing for things that may not go ahead as planned? I mean talking with -- in you with the previous campaign, Har Ghar Cello.

Gaurav Rathod: So I think basically, as we see channel changes and see different channels growing and some channels not growing so fast, we are launching product as per the channel. So as I mentioned that in the e-commerce world, now things are looked at differently on each platform, say, an

Amazon or a Flipkart.

There are different kind of customers for each platform. So we look at it from that lens, and we launch products from that lens. And some of our products are basically just e-commerce first and then they go offline. So I think that entire bit has changed within the company. And that's how we have started approaching our product lines as well as per channel.

Sucrit Patil: Okay. Also, just to close the loop, is Cello thinking of going for any smart partnerships in the coming years to boost business growth?

Gaurav Rathod: What do you mean by smart partnerships?

Sucrit Patil: Would you be tying up with any other e-commerce platforms other than Amazon or Flipkart or going for any local brands?

Gaurav Rathod: So I think we are already -- the quick commerce also we have started. And I think whatever new comes in, we'll, of course, partner with all of those platforms. So we'll not leave any stone unturned there. So we'll be on all platforms.

Moderator: We have our next question from the line of Kansam Joshi from SKSM Retail. Kansam, are you there?

Kansam Joshi: Yes. Gaurav, first of all, congratulations to the whole team because all of us are aware about how the current market conditions are. I'm here to ask you more from a long-term trajectory, how I see the Cello will be growing in India. So how excited are you looking from a 5- to 10-year story?

Because I understand glassware is definitely one of the area where we have a big thing to achieve in the market. Is there any other segment which you are discovering based on the changes in the consumer habit, which you feel that could be a growth engine and it could be a synergy for us also?

Gaurav Rathod: So I think, of course, we are always very excited about all the categories we are in, plus we are always looking at synergetic categories. Four years back, we would have never thought about glassware. We thought about it because it had synergies. It made sense to make it in India because no one was doing it.

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So I think going forward, you should always look at Cello as a company that will keep getting into different things as well because there are a lot of things in India, a lot of things become very commoditized very soon. So you have to get out of things and you have to get into newer things. So I think that perspective we have always carried. And of course, some of our core businesses will always remain where the brand is extremely strong.

But we'll keep venturing into newer horizontal categories as the years pass by and as the opportunities come. Currently, there is not much. I think there is a lot on our plate at this point of time with the glassware plant, with newer channels of sales, which are becoming very disruptive. So I think there is a lot of stuff that we can still do with what we have.

And eventually, yes, we will keep entering different, different segments because in India, after a certain point, every vertical becomes very saturated very quickl

y because either there are too

many players or there is saturation in terms of consumer demand. So I think as a company, we are always looking at growing into different verticals.

Kansam Joshi: No, that is completely true. And I hope that brings value to the shareholder also because it has almost been 1 and 2 years, and I understand like we are currently in the expansion mode, and that's why we are feeling the heat and hoping and wish you all the best for the turnaround happening in the upcoming time.

Gaurav Rathod: Great. Thank you so much.

Moderator: Thank you. Ladies and gentlemen, that would be the last question for today. And I now hand the conference over to the management for closing comments.

Gaurav Rathod: Thank you very much, everyone. Great questions this time. And hopefully, we'll have great quarters coming up. So thank you so much, and thanks for all the support that you guys have always extended. Thank you.

Moderator: Thank you, sir. On behalf of ICICI Securities and Cello World, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

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November 18, 2025

BSE Limited

Phiroze Jeejeebhoy Towers, Dalal Street,

Mumbai - 400 001

Scrip Code: 544012 National Stock Exchange of India Limited

Exchange Plaza, C-1, Block - G, Bandra Kurla

Complex, Bandra (East), Mumbai - 400 051

Symbol: CELLO

Sub: Transcript of Investor Call

Dear Sir(s)/ Madam(s),

Pursuant to Regulation 30 of the Listing Regulations, copy of transcript of the Investor call held on November 12, 2025 at 09:30 a.m. (Indian Standard Time) on the unaudited financial results for the second quarter ended September 30, 2025, is enclosed.

The said transcript is also available on the Company's website.

This is for your information and records.

Thanking you.

Yours faithfully,

For Cello World Limited

Hemangi Trivedi

Company Secretary & Compliance Officer

M.no. A27603

Encl: A/a

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"Cello World Limited

Q2 FY '26 Results Conference Call"

November 12, 2025

"E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on November 12, 2025, will prevail."

MANAGEMENT : MR. GAURAV RATHOD – JOINT MANAGING DIRECTOR

– CELLO WORLD LIMITED

M R. ATUL PAROLIA – CHIEF FINANCIAL OFFICER –

CELLO WORLD LIMITED

MODERATOR : MR. RAHUL DANI – MONARCH NETWORTH CAPITAL LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Cello World Limited Q2 FY '26 Earnings Call hosted by Monarch Network Capital Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

Before we begin, please note that this conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not a guarantee of future performance and involve risks and uncertainties that are difficult to predict.

I now hand the conference over to Mr. Rahul Dani. Thank you, and over to you, sir.

Rahul Dani: Yes. Thank you, Saisha. Good morning, everyone. On behalf of Monarch Network Capital, we are pleased to welcome the management of Cello for the Q2 FY '26 earnings call. We have with us today Mr. Gaurav Rathod, Joint Managing Director; and Mr. Atul Parolia, CFO; and we also have SGA, IR Advisors.

And now I hand the call to Mr. Gaurav for his initial comments, and then we'll move to Q&A.

Thank you, and over to you, sir.

Gaurav Rathod: Thank you, Rahul. Good morning, everyone, and a very warm welcome to our company's earnings call. Joining me is our CFO, Mr. Atul Parolia and our Investor Relations Advisor, SGA.

The results and presentations are available on the stock exchange and on our website. I hope you had a chance to look at the same.

During Q2 financial year '26, we recorded a healthy 20% top line growth to reach revenues of INR587 crores. With this, we crossed the INR1,000 crores revenue mark on a half yearly basis for the first time and achieved revenues of INR1,165 crores [Wrongly said, please read it as 1,116 crores].

We saw a healthy uptake across key categories ahead of festive season. The GST rate has been reduced from 12% to 5% for approximately 10% of our product portfolio, primarily within the hydration category. GST rates for all of the other products remain unchanged.

Before we delve into our category-wise performance, we are very excited to update you about our agreement with respect to Cello brand for writing instruments and stationery. We are very excited to bring this back into our company soon.

Many years back, we had divested this brand to a global company. Recently, they exited this business in India and the promoter group of Cello World Limited found an opportunity to get the brand back into our hold.

CPIW, a member of the Promoter Group of Cello World Limited, the umbrella entity holding the Cello brand in other classes as well will acquire the trademark for stationery and writing instruments. That is Cello brand from the big group.

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One of the subsidiaries of Cello World Limited has entered into an agreement to lease the trademark for Cello brand for stationery and writing instruments from CPIW. Upon execution of this agreement with CPIW, Cello World Limited will operate stationery and writing instruments portfolio among two brands, namely Cello and Unomax.

The Cello brand continues to enjoy a strong consumer recall and trust in the writing instruments segment, and our focus will be on enhancing operational efficiency, optimizing costs, and leveraging our established manufacturing and distribution infrastructure to unlock the full potential of the business.

Now coming to category-based performance. During our quarter, our Consumerware segment maintained a healthy year-on-year growth of 23%, supported by good festive demand. The festive season particularly benefited the Consumerware segment the most, driving strong sales across our

key product lines.

Year-to-date, our glassware plant had a utilization close to 55%, whereas we saw about 60% utilization levels in Q2 of this financial year. I'm pleased to share that our glassware plant has achieved breakeven during this current quarter.

Despite active dumping pressure from Chinese suppliers, we have successfully scaled up production and gained market share. Our focus now is on continuing expanding our market share in the coming quarters. Currently, we have around 110 SKUs in this vertical, and we plan to expand the portfolio to about 150 SKUs going forward.

We are also undertaking solar-based cost optimization initiatives at the plant, which will further enhance operational efficiency and reduce energy costs. Strategically, our focus remains on import substitution in categories such as tumblers and storage. We have witnessed strong consumer acceptance in these segments with our products now being priced at par with imported

alternatives, underscoring the quality and competitiveness of our offerings.

Our steel category experienced a decline during the current quarter due to supply constraints. We had to source steel wares from other OEM manufacturers at a slightly higher cost, which affected profit margins during this quarter.

Our steel plant will commence production from December of 2025. Once operational, it will significantly strengthen our supply chain. We expect this expansion to enhance our cost competitiveness, support margin improvement and contribute to the overall growth of our steel business in the coming years.

With a top line of INR81 crores, the writing instrument segment recorded a year-on-year growth of 16%. This growth is supported by encouraging signs of revival driven by new product launches in mechanical pencils, arts stationery and internationally licensed kids' products. With the addition of the Cello brand under this portfolio, we are highly optimistic about the growth prospects of this business. Upon completion of the transaction, the company will issue a separate communication, outlining the subsequent course of action, strategic initiatives and other relevant details.

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The furniture business also had a decent quarter with an 8% year-on-year growth in revenue, which reached INR84 crores. The growth is primarily driven by product addition into this category. These efficiencies across segments were also reflected in the working capital position. The inventory is on a reducing trend with channel stock easing out. E-com and quick com both saw a major shift in terms of channel mix, which is also helping us in this respect.

Overall, we remain on track to achieve double-digit revenue growth for the year, with EBITDA margins around 22% to 23%, underpinned by strong execution, disciplined cost control and the benefits of our capacity expansion. With the ramp-up of our glassware plant and the steel plant, we look ahead to a stronger financial year '27.

I will now hand over to our CFO, Mr. Atul Parolia, for the financial highlights. Thank you very much.

Atul Parolia: Thank you, Gaurav, and good morning to everyone. I will be sharing the financial detail for the quarter gone by. In Q2 FY '26, we achieved a revenue of INR587.4 crores, that is 20% year-on-year growth. EBITDA stood at INR141.3 crores with a healthy EBITDA margin of 24%. Our PAT stood at INR85.7 crores with a margin of 14.6%.

Speaking of the revenue mix, over 71.9% of revenue came from the consumer ware, 13.8% from the writing instrument and the remaining 14.3% from moulded furniture & allied products. Sales contribution of both the general trade and exports are on the downturn at 73.3% and 6.7%, respectively.

Contribution of online sales was about 11.6% and modern trade at 8.4%. In terms of segment-wise margin, writing instrument led by a 55% gross profit margin followed by consumer ware at 50.2% and moulded furniture at

40.9%.

Now coming to H1 financial year '26 performance, revenue was in INR1,116.5 crores with a year-on-year growth of 13%. EBITDA stood at INR267.6 crores with a margin of 24%. PAT was at INR158.7 crores with a margin of 14.2%. Our cash flow from operations stood at INR261.7 crores. Wrongly said, please read it as 130.8 crores. On the balance sheet side, we continue to maintain a healthy net cash position.

With this, I would like to open the session for question and answers.

Moderator: The first question is from the line of Aniruddha Joshi from ICICI Securities. Please go ahead.

Aniruddha Joshi: Congrats to the entire team for acquisition of Cello Pens brand. So just certain clarifications here. Authum Group has also purchased the business from BIC Cello as per the BIC announcements.

So, if you can elaborate a bit more on the transaction of the deal, how it will be done, whether the brand only will be purchased by Cello and the rest of the business by Authum? Or how is it working out? If you can throw more clarity on this?

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Secondly, what will be the revenue addition, like the softer assets, for example, distributors, retailers, all other designs in a way, all other corporates, etcetera. Everything is purchased by Cello or anything is gone to Authum? If you can clarify a bit more on that.

And eventually, how do we build the acquisition in terms of numbers? Like where do you see the acquisition panning out in, let's say, FY '27? How many months will be required for the

transaction completion. So how do we see the revenues building up for Pens business in FY '27? And then last question, what will be strategy on Unomax brand because anyway, we have an established brand in pens?

Gaurav Rathod: Thank you, Aniruddha. So basically, for us, we are basically entering into an agreement with BIC for the pen brand itself. So it is basically the trademark, copyrights and the brand itself will be acquired by CPIW, which will be then leased to Cello World in a separate subsidiary.

On all the other numbers, I think it is a little premature for me to give you out revenue numbers and things because once we close everything, we will issue a note on what will be the revenue potential? What is the kind of capex that will be required? And overall, that's how we will be issuing a separate note on this a little later.

I think on the third piece, we will be running both the brands simultaneously, Unomax and Cello. And even today, they continue to exist, though, we were not managing the brand, Cello, they continue to exist in the market. And I think both have established themselves. Of course, Cello has a much higher brand equity.

We'll, of course, do justice to both by having separate teams working on this, although there will be shared infrastructure and other efficiencies that are to be gained from this transaction. So of course, we will be issuing a separate note out clarifying everything. For now, it is a little premature for me to comment on that. Thank you.

Aniruddha Joshi: Okay. Surely. Any -- just one question, still hoping on that. But any royalty to be paid to BIC Cello for the brand or to even Authum Group, anything of that or nothing as such, one -- that question. And lastly, with the glass plant now stabilizing, should we see that probably the initial costs are over and we should build in a steady margin expansion, starting with FY '27? That's it from my side.

Gaurav Rathod: So basically, in terms of the brand, CPIW, which is the entity that holds the Cello brand as well. We'll be acquiring it. So it's -- there is no royalty post that and it will be leasing it out to Cello World at no additional cost as with other -- and no royalties as well. So there will be no royalty in this case to Cello World at all.

Secondly, in terms of the glass utilization levels, as I mentioned that it has come to about 60%. We will be most likely maintain

aining it as we grow our sales over the next 2 quarters, this utilization levels will grow slightly, but not by much because I think currently now we have reached a good utilization levels.

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And now as our revenue will increase, then the utilization will keep increasing. But for now, the good part is that they are no longer losing money. It is now broken even. So now it will start generating some amount of profit, though not very significant for at least the next couple of quarters, but it has started generating a very nominal profit for now.

Moderator: The next question is from the line of Rahul Dani from Monarch Network Capital Limited. Please go ahead.

Rahul Dani: Congratulations on a good set of numbers. Just a couple of questions from my end. Just wanted to get some sense as to what kind of utilization have we reached for the Opalware division right now. And incrementally, would we be kind of looking to increase capacity here?

Gaurav Rathod: Right. So, in the Opalware, we're about close to about 85% utilization levels. And I think post this, we will now be a little circumspect trying to basically -- because currently putting up a new plant is basically adding a significant amount of capacity. So Opalware, because it's a furnace, we need to add a significant capacity to make it viable.

So I think for now, we will try to first utilize 100%. That will be our first priority. And post that, if the market is also aligned and we think that this category can grow at that pace. And of course, we are open to expanding this capacity going forward.

Rahul Dani: So, what kind of growth would we have seen in the Opalware division for the quarter, if you could just quantify the percentage?

Gaurav Rathod: So, we do not give out separate contributions for each category. Maybe if there's a question on that, I can answer it offline later.

Rahul Dani: Would that be double-digit kind of growth with the Opalware division?

Gaurav Rathod: Yes, yes.

Rahul Dani: Okay. Sure. And just wanted to get some sense on the moulded furniture business. Just wanted to get some outlook here because margins have contracted quite a bit. So, just how are we looking at this division in the future?

Gaurav Rathod: So moulded division, as we have already maintained that it's going to be up and down kind of a path because we don't see too much growth potential in this business in terms of revenue. So the only thing is to keep premiumizing, adding outdoor furniture, which is a little premium and slowly increase that to increase our EBIT margins.

We do not see very high revenue potential here. But having said that, we are always looking out here to add newer categories apart from moulded furniture and which we are still thinking on and eventually, there'll be something else that will also come up here. I think in future, there will be some expansion here into different foray, into different categories.

Moderator: The next question is from the line of Praveen Sahay from P L Capital. Please go ahead.

Praveen Sahay: Many congratulations for a good set of numbers.

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Gaurav Rathod: Thank you.

Praveen Sahay: The first question, sir, related to the -- your commentary, you had mentioned that the new capacity coming on stream across plasticware and the steel bottle. So if you can give some color on that, how much is the potential increase in the capacity and the impact on the revenue because of that?

Gaurav Rathod: Right. So in this quarter also, I think our major pain point was steel category because we saw a little contraction there because -- mainly due to the demand was there, but the contraction was due to shortage -- supply shortages because as you all know that there is no more imports that are possible.

And we have to rely on some of the OEM manufacturers that have already started capacities in India. But even after that, they are not able to fulfill all the demands or all the SKUs. So I think with the expansion that we have done already in this category, we are starting that facility in next month, and that should basically stabilize in the next 4 to 5 months.

And I think then that will fulfill that well. So this is more substitution of the imports rather than expansion of capacity that will happen. In terms of plastic houseware, we are starting a very small amount currently.

We are just adding some amount of capacity with the steel ware, not very significant, but for the potential is to add more in that particular area, whereas glass plant also is at -- in Rajasthan. So as revenues grow there, we will keep adding the capacity further.

Praveen Sahay: Okay. And secondly, that you also highlighted related to the steel prices which has actually impacted your margin. So with the opening of -- or with the opening of this such kind of capacities, you are hopeful the margin to come back?

Gaurav Rathod: Yes. See, basically, currently, we are trading, right? And so trading margins, whatever the OEM suppliers also have, with manufacturing, we'll be able to bring it down a little bit. So, I think that's where the margin growth will happen because currently, we've lost a little margin there because previously, when the imports were on, everyone -- the pricing was much better. In India, the pricing is a little higher for every manufacturer. So I think whatever the trading margins are that we'll be able to gain through manufacturing. I think that's why the margin profile should improve.

Praveen Sahay: Okay. And also on the guidance, 12% to 15% of our growth with the 23% to 23.5% of a margin for this year. Where is it now?

Gaurav Rathod: So currently, in H1, we are at 13.5% for the first 6 months of growth, and we are at about -- 12.7%, my bad. And in terms of EBITDA margins, we are at about 24%, which is with the other income as well. If I remove that, we are about 22%.

So I think we want to be in the 22%, 23% range is without the other income portion of it, I think operational income is what I'm talking about. So I think we are on track to achieve this 12% to

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15% and for the year. If this kind of momentum continues, which we have seen in the last quarter, we should reach there pretty easily. Yes.

Praveen Sahay: Got it, sir. So, also on the brand acquisition, that's a BIC Cello Group brand. And so with these brand acquisition, do you see the, whatever the revenue in the BIC Cello must be do you can able to garner such numbers?

Gaurav Rathod: See, I think BIC already has a certain amount of revenue that is there. And I think we understand this category very well and with the Cello brand, if Unomax is garnering these kind of margins, with Cello having a stronger brand equity, I think we can turn this around in the next -- of course, it will take some time, but in the next 1- 1.5 years, we should be looking at similar numbers like Unomax.

Praveen Sahay: Okay. Do you have a capacity for the, you know, this kind of revenue?

Gaurav Rathod: Yes. So already, we had about 30%- 35% capacities that were empty in our Unomax facility. And these -- this is not very difficult to expand. It's more expansion of machines. If you have a

little bit of face also in your facility, by just expanding some machines and production lines, you are able to -- because these are all 7x- 8x asset turn kind of product lines. So you are able to increase capacity pretty swiftly.

So I think we will -- the idea would be to use our current infrastructure and as we grow, we will add infrastructure. So with that, we will come up with a separate note on what will be needed, at least for the next year or so to achieve the growth or at least have the number that currently they are doing.

Praveen Sahay: Right. And the major focus would be on the domestic market?

Gaurav Rathod

: Yes. So, Cello, of course, has a much higher base when it comes to the domestic demand, more than Unomax also currently and traditionally, also, it has been a leader in this category. So I think by doing some tweaks, getting some good products and in the market, I think we will be able to gain a little bit of market share in this particular category.

Praveen Sahay: Right, sir, right. And coming to your export business because this quarter, we had seen a good 12% of a growth you had given for a quarter in the export. So is that export, especially in the writing and -- segment has revived come back or such kind of momentum to continue?

Gaurav Rathod: I think export has actually come back to its previous levels where it was. It had declined a little bit. But having said that, I think we will continue at this level. It should -- it will not dip, I feel, for the year, it doesn't seem like unless the US kind of -- because we have not been hit by the tariffs as yet. The orders have not slowed down. But we have a decent amount that we sell to the US as well. So if nothing gets hurt there, I think we should continue to do these numbers.

Moderator: The next question is from the line of Jay Doshi from Kotak. Please go ahead.

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Jay Doshi: Congratulations on acquiring back the Cello brand. My first question is on demand. You know, if we sort of -- you've seen a good uptick in demand this quarter and partly probably attributable to early festive or strong festive.

So how do you see the demand environment continuing post festive? And is there an improvement in the underlying sort of demand across your categories across markets? Or what we've seen in September quarter? Was it a function of early festive? Or is there improvement per se?

Gaurav Rathod: Jay, so basically, yes, there was an uptick for sure. You know, though this actually could have been slightly better if the GST announcement had not come in because we have not really benefited a whole lot from the GST side of things. But of course, from the sentiment we have, of course, benefited, I feel.

But other than that, it seemed like this thing is back, as we have seen in the last -- because this has been by far the best quarter in terms of demand. It seems -- still we don't -- the festive demand, I feel, we got a bit of October also. Early festive had a certain role to play. But even the most part of October was pretty good. The traction seems good.

But we have to wait and watch how things will pan out in terms of the overall demand. Across categories, across geographies, we've seen a growth. That's definitely there, in the consumer ware side for sure. But what we need to see is the demand stay where it is.

Of course, it has also helped that a lot of channel stock has been clear. So we are hopeful that this demand will continue to see growth or at least this demand will be steady for the next few quarters.

Jay Doshi: Sure. That's helpful. Second is on a sequential basis, the gross margins have come off sharply even in consumer ware segment. And I think with scale-up of glassware business, we thought that gross margins would be stable if not better. So what's driving that? And how should we think about the trends there?

Gaurav Rathod: So, I think because we -- in the glassware side of things, the costs are still high, right? Because utilization levels are still low. And utilizations are low also because of sales catching up. So as revenue -- because we are not making money in the glassware business.

So if glassware would have contributed to the overall margin, then you would have seen a 1.5% extra margin growth. So though it has contributed to revenue, it has not contributed to the overall margin profile. Second of all, I think the product mix also in our kind of categories just play a role. So sometimes 1% or 2% here and there could be there in terms of what kind of products have be

en sold.

And also, as we have -- in the last quarter also, I have mentioned that we have still not been able to raise prices as the costs have gone up. Because every year, of course, the costs are going to go up, and we were able to pass it on.

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This year, though, hopefully, from now onwards, if the demand stays good, we will be able to see an improvement there in terms of lesser discounts that we would have to pass on. So I think this is a function of two to three things. It is not that it is going to be like this. It should improve only from here.

Also, this steel ware, as I said, also had something to do with it because the margins there have also contracted because of supply shortages, because of OEM manufacturers that are selling to us at a slightly higher cost today.

So with manufacturing coming in there, those efficiencies should also kick in and lead to slightly higher gross margins there. So I think all these factors, once they are back on track, we should see a good number there again coming back.

Jay Doshi: Sure. And the final one, I know you cannot disclose everything or all details on Cello writing instruments yet. But first is, when do you expect to close this transaction following which you indicated that you'll come out with a detailed press release? So, is it expected very soon in a week or 2? Or could it take more time?

Gaurav Rathod: So they're very close. I think this should close within this month itself. And we should ideally start seeing revenues in Cello World by January, so by the last quarter, we should see revenues in Cello World. So that is what we are currently looking at. Of course, there are some details to be closed, post that we'll have a better idea of things.

Jay Doshi: Sure. And you did mention that in 1.5 years' time, Cello World should be at a similar level as Unomax. Were you referring to profitability? Or were you referring to top line?

Gaurav Rathod: Profitability.

Jay Doshi: Top line, I feel, that Cello World should be ahead of it, right? Cello World is already clocking better top line than Unomax as of today?

Gaurav Rathod: No, it is actually not clocking currently because that also includes their exports which will be kind of dual exports. So they do exports in a BIC name as well. So that is why it also includes export. They have significantly gone down, but of course, still doing better than Unomax.

But I think what we are going to be more concerned about is to bring back revenues with profitable growth. So that is why, you know, of course, we are still thinking about how we are going to be going about it.

And that is why once we are fully aligned and fully know the numbers, we'll be in a better -- I'll be in a better position to tell you what exactly we are looking at for the next year and post that also, what we are thinking of -- what numbers are achievable with the same kind of margin prospect as Unomax.

Jay Doshi: One final question. You started Cello writing instruments business in 1995 and then exited in 2015. So it's practically a 30-year-old brand. And if I remember correctly, in 2015, that scale was INR600 crores plus top line and 25% margin. Is that correct understanding?

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Gaurav Rathod: Correct. Absolutely. Yes.

Jay Doshi: Is there any structural change in the market or brand equity in the last 5, 10 years after you sort of -- that we should be aware about? Or you think that the brand equity is still as strong and structurally from a distribution standpoint, it's still a very solid brand or trademark that you acquired?

Gaurav Rathod: So I think the equity is very strong. I think there were managerial inefficiencies that were the leading cause of the contraction in revenue. Even if you go 2, 3 years back, the revenue was still pretty good. Their last 2, 3 years has been very bad, right? I think. So 2, 3 y

ears of, you know,

does not underscore the entire brand equity. And I think the brand equity still remains very strong.

We have spoken to a lot of the channel partners of Cello as well. And we feel that operationally, how things were done and whatever the product mix and the product innovation was not there, which was -- which has really caused the contraction. So I think just doing some things right will lead to good numbers here.

And I think we understand this category extremely, extremely well. So turning it around should not be very difficult. Of course, but we'll, of course, we will look at the details of how we are going to get around it. But we are pretty confident.

Moderator: The next question is from the line of Mr. Achal Lohade from Nuvama Institutional Equities. Please go ahead.

Achal Lohade: Two questions. One, I couldn't follow the explanation what you gave with respect to the gross

margins. You know, the gross margin on a Q-o-Q basis, I'm talking from first quarter to second quarter, like consumer ware is down from 56% to 50%, and writing is down 58.8% to 55%. So, I was just curious to figure out what has driven this? And how do we see it going forward? You did indicate your guidance on the EBITDA margin, but I'm just trying to figure out first on the gross margin level, please.

Gaurav Rathod: So gross margin, when I spoke about the contraction, there are two to three factors, as I said. One is that the glass plant -- the glass sales are higher, which is from the new plant, which currently has higher costs. So that basically is captured here.

Second is also the steel ware, which are -- which is basically -- which there is a contraction of gross margin there for the moment, which will come back. And the third is discounts. So the discounting has still been there basically and the costs have gone up, right? The costs have gone up from June itself, but now -- and the product has also changed.

So a lot of our products actually -- so 2% to 3%, I would attribute basically to glassware and steel ware. The rest 1% to 2% will always be varying because of what sells, because we have such a wide portfolio of products, sometimes the more -- sometimes the premium sells a little more.

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Sometimes the more cost -- products that are more priced more sensitively sells more. So 1, 2 percentage variation will always be there. But this 6%, as I said, is a temporary effect, which we'll, of course, see coming back in the next few quarters.

Achal Lohade: Fair point. So, is it fair to say that on an annual basis, if I look at across these three segments, they should be maintained or we should see some contraction at each of these segment level gross margin on an annualized basis?

Gaurav Rathod: For this year, we still maintain that it will, you know, the overall margin profile will be at about 22% to 23% EBITDA, mainly because that we still need a couple of quarters for the glass to scale up because we cannot increase utilization levels until our revenue catches up because if we start increasing that, we'll only increase stock levels, and this is a continuous plant. And you cannot afford, in a continuous plant, to keep stocking up.

So I think that is one thing that will -- that is going to play a part. Having said that, the trend is, of course, upwards, right? In the steel ware plant, it will take about 5 to 6 months, as I said, to stabilize and give those efficiencies. So I think post that, you will be able to see things improve a lot more. In the next -- in the first quarter itself, I think, of financial year '27, you should see a lot of improvement.

Achal Lohade: Just to clarify this 22%, 23% EBITDA margin, is it including or excluding other income?

Gaurav Rathod: It's excluding other income.

Achal Lohade: Okay. Understood. And if you were to club September plus October, what that growth would be at the company level? Would th

at still be 20%? Or would that be more of 10%, 12%. I'm just trying to get to a sense about the early festival impact and the GST impact that will put together, everything?

Gaurav Rathod: So early festival, of course, has played a little bit of a part. Having said that, yes, of course, it cannot be in the same lines as what it was last year. It has come down from there a little bit. But having said that, the secondary sales has improved a lot on the ground. So channel stock is very low. So that itself should hopefully lead to a good November, December.

Achal Lohade: Understood. Any quantification you could do? How much was earlier and how much is now, secondary channel stocking?

Gaurav Rathod: I don't have a specific number for it, but the overall sense is that it has improved a lot more because overall, the cash flow has also improved. The payment profiles, our outstandings have also been cleared very quickly. So I think these are all indicators of a much better thing.

And plus, we have been talking to a lot of our channel partners. And we see that the stock levels have been quite low on their side as well. And their secondaries have been much higher than their primaries.

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Achal Lohade: Understood. Understood. Yes, I think those were my questions. Just a clarification on the Cello brand acquisition. Is it right that you have not acquired the plant and machinery, you've just bought back the brand. Have I understood right?

Gaurav Rathod: Absolutely. You're right.

Achal Lohade: And CPIW has actually bought the brand, and it is leased to us just the way for other categories?

Gaurav Rathod: We're in the process still. We haven't closed, but in the process very, very close to closing.
Achal Lohade: The mechanism is the same, right? The timing, I understand maybe a month away or something. But if I understood right that it is with CPIW and they will lease it to Cello World?

Gaurav Rathod: Correct. That is exactly how the other brands are leased, the same way, yes.

Moderator: The next question is from the line of Sumant Kumar from Motilal Oswal. Please go ahead.

Sumant Kumar: Can you talk on Opalware? How the Opalware is performing? How is the competitive intensity in the segment?

Gaurav Rathod: So, I think Opalware for us has performed decently well. Of course, we are no longer in Opalware looking at 30% plus growth. But having said that, it's a good growth for the quarter.

And I think we haven't still -- there has been new entrants in this particular category. Currently, of course, it's been very premature. They have not really made any dent in the market as of now. But going forward, competitive intensity in this segment will increase a little bit.

But having said that, we are already at about 85% utilization levels. So we are not very concerned. We are, of course, more concerned on when we can expand, which, of course, we know very soon in the next 5, 6 months, if there is any scope of expansion in this category.

But we sit pretty good at the numbers that we are at today. And maybe by end of this year, we'll know that if we are able to add any more capacity or we'll continue for the time being with the capacity that we have.

Sumant Kumar: And can we expect the Q3 and Q4, we have a higher auspicious marriage day. So we can expect a better demand in across segment and Opalware will be higher growth trajectory in Q3?

Gaurav Rathod: I think the marriage season plays a part in Opalware, and it seems like a good marriage season. So hopefully, things will be good in the next couple of quarters.

Moderator: The next question is from the line of Praveen Sahay from PL Capital. Please go ahead.

Praveen Sahay: Thank you for the follow-up question. This Cello brand is largely for the pen?

Gaurav Rathod: Yes, it's pen and stationery. So it includes a lot of other things like pencil, crayon. It can be for use for anything, basically, anything

ing in the stationery segment.

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Praveen Sahay: So no, just a clarification. It's like of 80% is of pen and the rest 20% is the stationery. Is it like that or different?

Gaurav Rathod: The brand revenues, we don't know that, how the split is. We will know that soon. But what I'm saying is this brand is for everything. It doesn't exclude any product.

Praveen Sahay: Right, sir. Second clarification on the glass plant, so which, impacting your margin. So at what level of utilization of the glass plant, do you see the impact of the higher cost will nullify?

Gaurav Rathod: So, I think at about 70%, 75%, we will start looking at good margins coming in. Before that, we might not have very good margins, though we are not going to lose any more money, we are going to make a little money. But having said that, 75% is what we are looking at. And that will -- that utilization will grow -- hopefully grow quickly.

We are putting all our efforts to grow that quickly. But having said that, it does take a little time because we are building this demand from the scratch up. And this is a 10-year horizon because these plants don't require much capex after this now. And once we build that demand, we'll keep increasing our profitability margins also by, of course, also the product mix.

Praveen Sahay: Right, sir. Second, on the receivable days, which has increased and it's the nature of business. I understand that first half usually higher. So also, you had mentioned that you are getting a good payment profile improvement and all. So is that easing out very fast in the month of October?

Gaurav Rathod: So, October, we had a very good collection. So basically, that is why I was saying that September will, of course, show higher because the sale was higher. But in October, our collections were good. And based on that, we are seeing that the improvement in stock positions at our channel partner end as well.

Because otherwise, you know, payments will always come in slightly slower after the festive season because even the other partners like the dealers pay a little later. But if the dealer profile improves, then our distributor channel payments also improve and which we have seen in October.

Praveen Sahay: Okay. Good to hear that. And last question, sir, related to the capex. Can you give '26 and '27 capex for the year?

Gaurav Rathod: Yes. So, I think this year would be a capex of about 150 crores around. That includes, of course, the steel plant expansion, which is close to about INR75-odd crores with land and building. And the rest is, of course, maintenance capex.

Praveen Sahay: Okay. And '27, sir?

Gaurav Rathod: Going forward, this will be -- I think next year, it should be around INR75-odd maintenance.

Moderator: The next question is from the line of Deepesh J. Sancheti from Maanya Finance. Please go ahead.

Deepesh J. Sancheti: Gaurav, congratulations on a great set of numbers and for the acquisition of Cello brand. Now

my question was regarding BIC Cello. It has done -- on an average last 3 years, it has done a
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sales of around INR400 crores. Do you think with this acquisition we'll be able to achieve that kind of sales in the next -- maybe by FY '27? And do we have the bandwidth in terms of our capacity utilization on our existing Unomax plant?

Gaurav Rathod: So, basically, this -- a lot of their sales also covers exports that they were doing to their own clients. So, I think we'll have to look at that number very differently. We'll, of course, come up with all the details about it once the acquisition is done. Because the thing is that we want to grow this category. And hopefully, we are able to grow it very quickly, but we will grow it profitability.

We will not like to compromise on certain things and the quality, of course, because from what we hear, there was some things that w

ere not the best, which we would like to improve and grow it sustainably for the future. So I'll come up with more details soon on that once the acquisition is done, and we'll also have a better insight.

Deepesh J. Sancheti: So, what you mentioned about -- in the previous question about your capex, will that capex also increase in terms of the writing instruments also?

Gaurav Rathod: So I think currently, we do have the capacities. Of course, some capex will be needed for the writing instruments, but will be very limited and within our own facilities. So, we'll be adding machines, we'll be adding, say, molds. we'll be adding, you know, some tip machines, some molding machines. So that could be the only thing that will be added. And with that, we'll come up with a capex that will be needed for at least a year in the writing instrument type.

Moderator: As there are no further questions, I would now like to hand the conference over to management for closing comments.

Gaurav Rathod: Right. Thank you very much for all your participation. If there are any further questions, you can please reach out to our IR advisors, SGA. And we're very excited to bring the Cello brand back. And I think it's a great journey, and I think we'll do our best to achieve the numbers that our shareholders wish. And hopefully, we'll be able to do a good job. Thank you so much.

Moderator: Thank you very much. On behalf of Cello World Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Feb 2026

Cello World Limited

(formerly known as 'Cello World Private Limited')

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February 20, 2026

BSE Limited

Phiroze Jeejeebhoy Towers, Dalal Street,

Mumbai - 400 001

Scrip Code: 544012 National Stock Exchange of India Limited

Exchange Plaza, C-1, Block - G, Bandra Kurla

Complex, Bandra (East), Mumbai - 400 051

Symbol: CELLO

Sub: Transcript of Investor Call

Dear Sir(s)/ Madam(s),

Pursuant to Regulation 30 of the Listing Regulations, copy of transcript of the Investor call held on February 16, 2026 at 09:00 a.m. (Indian Standard Time) on the unaudited financial results for the third quarter ended December 31, 2025, is enclosed.

The said transcript is also available on the Company's website.

This is for your information and records.

Thanking you.

Yours faithfully,

For Cello World Limited

Hemangi Trivedi

Company Secretary & Compliance Officer

M.no. A27603

Encl: A/a

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"Cello World Limited

Q3 FY26 Results Conference Call"

February 16, 2026

"E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on February 16, 2026, will prevail."

MANAGEMENT : MR. GAURAV RATHOD – JOINT MANAGING DIRECTOR

– CELLO WORLD LIMITED

M R. ATUL PAROLIA– CHIEF FINANCIAL OFFICER –

CELLO WORLD LIMITED

MODERATOR : MR. MANAN – ICICI SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Cello World Q3 FY '26 Concall hosted by ICICI Securities Limited. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode and there will be an

opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Manan from ICICI Securities Limited. Thank you, and over to you, sir.

Manan: Thank you. Good morning, ladies and gentlemen. On behalf of ICICI Securities, we welcome you all to Q3 and 9 Months FY '26 Results Conference Call of Cello World Limited. Today, we have with us senior management represented by Mr. Gaurav Rathod, Joint Managing Director; and Mr. Atul Parolia, CFO. Now I hand over the call to the management for their initial comments on the quarterly performance. Then we will open the floor for Q&A session. Thank you, and over to you, Gaurav, sir.

Gaurav Rathod: Thank you, Manan. Good morning, everyone and a very warm welcome to our company's earnings call. Joining me is our CFO, Mr. Atul Parolia; and our Investor Relations Advisor SGA. The results and presentations are available on the stock exchange and on our website. I hope you had a chance to review them.

During quarter 3 financial year '26, the demand environment remained mixed. While we saw a healthy momentum in October, demand softened meaningfully in December, making it a relatively weaker December in recent years. Against this backdrop, we reported revenues of INR553.7 crores with an EBITDA margin of 22.1%.

Additionally, during the quarter, we incurred a onetime exceptional impact of INR7.4 crores on account of gratuity provisioning, pursuant to the implementation of the new labour codes. This was a nonrecurring adjustment and has impacted profitability for the quarter. In quarter 3 financial year '26, our Consumerware segment recorded a marginal decline in sales, primarily due to availability constraints in our insulated steel portfolio.

During the quarter, we faced stockouts in insulated steel products, which led to an approximate 40% quarter-on-quarter decline in steel revenues. This decline was supply-driven and significantly impacted overall consumer revenues. Had the steelware products delivered the same growth as last year, last quarter, we would have seen a significant growth in revenues for the Consumerware segment in this quarter.

Due to lower production volumes and suboptimal absorption of fixed cost in steel, we witnessed a higher sales to revenue cost ratio during the quarter, temporarily impacting margins.

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Importantly, had revenues remained at the last year's level, the growth would have been approximately 12% year-on-year in quarter 3 of financial year '26.

We have commissioned a state-of-the-art fully integrated insulated steel bottle manufacturing plant in Rajasthan. Two production lines are currently operational with the remaining lines to be commissioned in phases through H1 of financial year '27. We expect the steel business to progressively ramp up and return to normal revenue levels over the next couple of quarters. I would invite a lot of investors to see this plant because it's very well done.

And I think you can gain a lot of confidence from the fact that we'll be one of the best producers of steel in India. On the glassware side, our glassware business is c

urrently operating at

approximately 60% utilization. It continues at this utilization levels because sales is catching up.

We are seeing a ramp-up in revenues in this segment.

But as we had built some stocks, this -- we are currently utilizing those stocks for revenue generation. We expect the utilization levels of glassware to be at this level for at least the next couple of quarters. While the category continues to face some pressure due to increased dumping from China, the business has reached breakeven and is contributing meaningfully to revenue. Profitability from glass will take some time to scale as operating leverage kicks in.

On the Writing Instruments segment, the segment reported a top line of INR86 crores, delivering an 11% year-on-year growth. Contributions from the Cello brand will start from this quarter and should meaningfully help in increasing revenue. In financial year '27, we expect combined revenues north of INR500 crores with the Unomax and Cello brand combined.

And the scalability of this -- both brands put together in the next few years is immense, and we are looking at a top line of about INR1,000 crores over the next 2 years. The molded furniture category witnessed a 10.6% decline compared to quarter 3 of financial year '25. This was primarily because of two reasons.

One is because of weak polymer prices, which impact this category directly, and some orders that we had -- some government orders that we had last quarter, which were not reflected in this quarter. On our strategic priorities, our priorities remain portfolio rationalization. So we are continuously evaluating our product portfolio using the 80-20 principle, and continue to basically make sure that we kind of are working towards always kind of rationalizing this product

portfolio.

Also, premiumization is another aspect that we are continuously working on. We have kind of increased the mix to about 7% to 8%. Over time, this, we want to take it to about 20%. The channel mix is also evolving digitally. Our revenues now are about 15.7% of the total revenues, which is meaningfully gaining a lot of traction.

On the profitability side, the softness in profitability, as mentioned earlier, was driven by lower steel volumes and a onetime gratuity impact. This blip is very temporary. As steel volumes normalize, we expect margins to revert to our normalized 22% EBIT over the next two quarters.

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On the working capital side, we will tread cautiously over the next two quarters with sharper emphasis on working capital optimization and inventory discipline. This may temporarily moderate revenues, but will strengthen our long-term stability and return ratios. We remain confident of delivering about 8% to 10% overall growth, supported by the steelware ramp-up and glassware scaling in the next couple of quarters.

Post which, of course, the growth will be a lot higher once the steel completely kicks in and the glassware completely scales up. Also, the operating leverage should also kick in by then, and we should start returning back to a normalized EBIT levels. With that, I would like to hand over to our CFO, Mr. Atul Parolia, for the financial highlights.

Atul Parolia: Thank you, Gaurav, and good morning to everyone. I will be sharing the financial details for the quarter gone by. In quarter 3 financial year '26, the company reported revenue of INR553.7 crores. EBITDA for the quarter stood at INR122.3 crores, translating into an EBITDA margin of 22.1%.

During the period, the company incurred a onetime impact of INR7.4 crores due to the implementation of the new labour codes. Profit after tax for the quarter was INR63.6 crores with a PAT margin of 11.5%. Coming to the revenue mix, Consumerware contributed 69.5% of the total revenue, followed by the writing segment at 15.5%, while the molded furniture and allied products accounted for the remaining

15%.

In terms of channel mix, general trade and export contributed to 75.2% and 9.1% of the sales, respectively. Online sales contributed 10.6%, while modern trade accounted for 5.1% of the total sales. From a segment-wise margin perspective, writing segment led with a gross profit margin of 56.7%, followed by the Consumerware at 50.2% and molded furniture at 39.6%.

Now coming to the 9-month financial year 2026 performance. Revenue for the period was INR1,670.1 crores with a year-on-year growth of 8%. Gross margin level remained healthy at 51%. EBITDA came at INR389.8 crores with an EBITDA margin of 23.3%. The company reported a profit after tax of INR222.3 crores, resulting in a PAT margin of 13.3%.

With this, I would like to open the session for the question and answers.

Moderator: The first question is from the line of Vaidik Bafna from Monarch Network Capital Limited.

Vaidik Bafna: Congratulations. So sir, I have two questions. Firstly, on the Consumerware side. Can you quantify the growth delivered in the opalware and the glassware segment on a quarterly basis and for 9 months as well? What kind of growth in terms of percentage has the company delivered?

Gaurav Rathod: So basically, we do not report our revenue separately. We can get on a call after to understand this better. But as I mentioned that in the Consumerware segment, we saw growth across all our segments, except for the steelware, which led to the decline of revenues. Otherwise, it would have been a decent growth, given the fact that we had a very good growth last quarter. So a lot of the Diwali sales had come in the September quarter, having -- so it would have been a very good quarter had steel flask not given us a stock-out situation.

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Moderator: The next question is from the line of Praveen Sahay from PL Capital.

Praveen Sahay: Thank you for the opportunity Sir, my first question is related to your guidance of last quarter, double-digit of revenue growth with a margin of 22% to 23%. So where we are about that?

Because if I look at the Q4, with this guidance, it looks very high growth in the top line as well as in the EBITDA margin as well. So if you can?

Gaurav Rathod: So basically, as per the -- this thing -- as I mentioned that if steelware would have contributed meaningfully in this quarter, this quarter would have been in a double-digit kind of a growth overall because our Writing Instruments segment also saw good growth. And of course, molded furniture, because of the polymer prices has a direct impact because as the polymer prices go

weaker -- because 62% of the cost of molded furniture is actually polymer. So that is why there we had a slight decline.

So overall, as I said, in the next few quarters -- the glassware plant also, of course, has given us revenue but no profit. So that, of course, affects margins temporarily. So as I mentioned that over the next couple of quarters, months, we regain our entire revenue from steel. And also, of course, as glassware starts contributing to margins, this margin will return to its normalized level at about 22%.

Praveen Sahay: Is there any guidance number -- would you like to give?

Gaurav Rathod: So over the next two quarters -- as I mentioned that over the next two quarters, profitability will be a little subdued. Of course, it will keep getting better as the steelware plant ramps up. And -- but after H1, I think things should improve drastically, and we should return to our normal ratios.

Praveen Sahay: Okay. Second question, sir, related to the Cello brand for writing and stationery. Last time, you indicated, by '28 or so, INR350-odd crores of revenue you can generate. So how much of the revenue you are expecting for '27 because you guided for somewhere around INR500 crores -- north of INR500 crores that you are expecting from this segment?

Gaurav Rathod: So I think, put together, we will be clockin

g in good numbers. So upwards of -- north of INR500

crores is a given for next year in the stationery segment, both brands put together. It could be, of course, a lot more. We have been evaluating -- of course, we've just bought the brand about 2 months back. And that is why you'll start seeing revenues from this quarter.

Having said that, you are right that the revenues were about INR300 crores -- upward of INR300 crores for Cello, but there were a lot of loss-making products in that particular portfolio. So we have rationalized or we will be continuing to rationalize some of those products. which might reduce the overall revenue. But of course, even after that, the revenues will be amazing in terms of the writing instruments and we should be upwards of INR500 crores.

Praveen Sahay: Okay. Second question -- third question, sir, related to the GT because, this quarter, we have seen the general trade has been down. Is it only because of steel product?

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Gaurav Rathod: So yes, GT has been down majorly due to steel products. That is the main reason. And also, if you see, the Diwali impact also was there because, last quarter, it was a very good growth in the Consumerware segment in GT also. And GT seems to have softened a little bit in this quarter. So both impacts, steel, of course, is a big impact and also marginally due to the Diwali being preponed.

Praveen Sahay: Okay. And also, just to clarify, this steel has also impacted our in-house manufacturing because that number is significantly down to 63% compared to 77%, 75% we used to give, in this quarter?

Gaurav Rathod: No. Sorry, I didn't get your question.

Praveen Sahay: So the in-house manufacturing contribution has gone down for this quarter to nearly 63% odd. So is that because of steel availability is low and that's impacted our revenue?

Gaurav Rathod: No. It has not gone down. I don't know where you're getting that number from because it's about 72% is in-house manufacturing, and it will only go up as we ramp -- as we start producing more of the steelware.

Praveen Sahay: No. So actually, I calculated from your 9-month number is 73% and first half is 78%. So if I calculate for the Q3, that is a lower number. So that's why I asked?

Gaurav Rathod: No, actually, that doesn't match with my number, but of course, we'll discuss this later. We can get on a call and discuss it.

Moderator: The next question is from the line of Bhavin Rupani from Investec.

Bhavin Rupani: So first on opalware, sir. Can you spell out what is the utilization levels for our opalware plant right now?

Gaurav Rathod: So opalware is almost -- we are at about 85% of utilization at this point of time.

Bhavin Rupani: And any incremental expansion plans over here, given that we are running at almost peak utilizations?

Gaurav Rathod: No. Currently, at this point of time, we are not -- we need to first exhaust capacity to about 100%. Also, there is new competition in the market. So we are trending cautiously on that side. But yes, of course, as we near complete exhaustion of capacity, we will start thinking about it in the next few months.

Bhavin Rupani: And sir, do we have any brownfield optionality at our existing plant in case we look to expand the facility?

Gaurav Rathod: Brownfield -- no, we are in glass, and opal -- it's a little difficult to expand in terms of Brownfield. So it will have to be a complete Greenfield project when it comes to opal.

Bhavin Rupani: All right. And one more question on opalware, sir. Any -- so what is our realigning time lines over here and capex for realigning for a couple of years from now?

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Gaurav Rathod: For opalware?

Bhavin Rupani: Yes, sir.

Gaurav Rathod: Opalware, we haven't thought about any more capex at this point of time because as I mentioned that because there is new capacity that have been added in the

market. So we'll have to wait and

watch a little bit. But if we do, there is going to be a capex of about INR100 crores, INR110 crores is what we look at if we are going to be ever doing it this year.

Bhavin Rupani: Right. Sir -- and I was asking about the realigning capex. So what I'm assuming is post 2 or 3 years, we need realigning of our lines or furnaces, right?

Gaurav Rathod: No, no, no. So that is the maintenance capex you're talking about. It's not realigning. It is just -- maintenance capex is always considered. And basically, that is not much. That is about INR10 crores, INR15 crores a year, which is also maintenance for most of our lines.

Bhavin Rupani: All right. And one more question on opalware, sir. So basis our channel checks, what we understand is imports in this category has increased over the past few years and despite regulatory covers being present, right? So how is the industry working on it? And any measures industry has taken to curb these imports?

Gaurav Rathod: I think -- see, there is an active antidumping duty that still exists on opalware. And overall, the rise in imports is not very significant. It is very, very limited. And it is an inferior product that is being imported. So I don't think we have had any real reasons to worry there as an industry as well.

Bhavin Rupani: Got it. Sir, one more question -- sorry, one more question on opalware, sir. Just wanted your thought on this, given competitive intensity is increasing in the space, what would be our preference, volume or margins?

Gaurav Rathod: See, since we are already at about 85% capacity utilization, I think we should be -- ideally, anyone should be focusing on profitability at this point of time until the new capacity gets completely penetrated in the market. So I think that is our priority now. Cost reduction and optimization will be our priority going forward so that our margins are maintained because revenue potential growth is only going to be the 15% capacity that we have left.

Bhavin Rupani: All right. Sir, a couple of questions on glassware. So first, glassware -- on glassware, you mentioned that utilizations will remain at 60% over the next 2 quarters. So just trying to understand, is it demand is softer or any technical issues at our plant?

Gaurav Rathod: No. So it's not that anything technical. The idea is that the revenues are ramping up. But of course, it takes a little time for revenues to keep going up. Every -- of course, month-on-month, we are seeing a growth in revenue of glassware. But since it will take a little time -- of course, the potential can be a lot more, as I said, from this plant.

But until that happens, we will have to keep the utilization levels at about 60%. And also there is stock that has built up, which we will also be selling in the next couple of quarters. Post that,

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we will increase the utilization. So there is no technical challenge. It is -- the product side is completely set.

Moderator: The next question is from the line of Naitik from NV Alpha Fund.

Naitik: My first question is you mentioned that there were some supply challenges in steelware. So this was primarily because of the BIS standards coming in and our facility yet to be -- yet to come online? Is that the sole reason for the same?

Gaurav Rathod: Yes. So BIS had come in about last January. We had built a lot of stocks. So we had about 6, 8 months of stocks. And post that, we had also procured some products locally through some OEMs. But the kind of product line that we had before when we were importing was pretty large. And we, of course, are unable to have all of those products today. But yes, as we are going to ramp up our production, these are all products that are going to come back. And that was basically the reason -- the main reason. The BIS is, of course, the main reason that we had this situation.

Naitik: Right. And sir,

if this was not the case, we didn't have supply issues and the steelware revenue would have been flat, what was the growth we would have seen?

Gaurav Rathod: In the Consumerware segment, we would have seen a 12% growth year-on-year. If it is -- even the same as last year, if revenues of steel would have stayed the same.

Naitik: Right. And sir, what about the capacity that we have put in? In steelware, what is this capacity that we are bringing in?

Gaurav Rathod: So we are bringing in about -- currently, we have about 8 to 10 lines. We have 2 lines operational. This has revenue potential of up to -- upwards of about INR300-odd crores for the moment. And we can just keep adding lines. We have the facilities. So it will just be a Brownfield expansion, post that.

Naitik: Got it. And just one clarification I needed on the deal structure of the Cello pens brand that we have bought back. We would be booking, say, INR200 crores to INR300 crores of revenue in CY26 from the Cello brands itself. We will be getting the profitability also of the same, but we won't be paying anything. So I'm just not able to wrap my head around the deal structure. So if you could just throw some light on the same?

Gaurav Rathod: So basically, the brand was bought by CPIW, which is a promoter group entity and all the brand is housed there. And even the Cello brand has been housed there. So CPIW paid for the brand.

So it was -- there were 2 deals that had happened. One was the brand deal and one was the asset deal. So we were only involved in the brand deal. The assets were bought by a separate company altogether.

So that is why there is no impact because we already had -- our current facilities had enough capacities to produce the goods that Cello was selling. So we -- what -- we basically only
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procured and we will be procuring. There will be some capex on that as we go along is the molds.
Right

And we will need some more machines in the next couple of quarters, which I had already guided last time that there would be a capex of about INR50 crores to INR60 crores in this category in the next 1 year -- 1 full year. So I think that's how the brand deal was structured, and that's why you're not seeing any payment out for this particular thing.

Naitik: Sir, but what's in it for the asset owners for this? I mean, I believe we would be producing and running the assets and selling and booking the revenue, right, for the brand. So what's in it for the asset owners, why would they buy?

Gaurav Rathod: No, the asset owners bought the asset. They bought the land, building, everything. They will sell at a better price maybe. That is why they invested.

Naitik: Okay, they will sell at a markup. That's what you mean.

Gaurav Rathod: Yes, they will sell. See, they don't want to hold. They bought assets and they want to sell assets. So it's an asset sale kind of a deal for them.

Naitik: Got it, sir. Sir, also you mentioned the margins in Consumerware were sort of flattish or down due to steelware revenues not coming in. So I don't understand, the plant just came in, so how did that affect our profitability in Consumerware?

Gaurav Rathod: So two things. Steelware did not give the revenue. So there was a decline in revenue, which was a big revenue decline. So that is why the profitability was not reflected. Secondly, though we grew, a lot of the revenue growth came from glassware, which is not profitable at this point of time, right? It is only breaking even. So that is the reason why there was a temporary decline in profitability.

And with steel coming back -- because steel has just started, the production has just started, so -
- and also there were a lot of expenses that were done for the plant basically without any revenue generation, right? And also, the sales team is also in place, but the sales did not happen as much. So basically, that is why the expenses incre

ased overall quarter -- for this quarter, and that is
why you are seeing a slight decline there.

Moderator: The next question is from the line of Sucrit Patil from Eyesight Fintrade Private Limited.

Sucrit Patil: My name is Sucrit Patil. I have two questions. My first question to Mr. Rathod is, beyond the growth outlook, how will Cello World manage risk and uncertainty across its core categories, mainly writing instruments, stationery, furniture and kitchenware? What strategic choices will help the company stay in strength if the demand or input costs keep on fluctuating? That's my first question. I'll ask my second question after this?

Gaurav Rathod: So when it comes to input cost, they don't rise and fall very drastically unless we have situations like COVID, where it changes for everyone. And because we are a consumer-facing brand, some

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of those input costs are passable to the consumer. And I think overall, we've not had such situations. The risk is very limited when it comes to input costs.

And if it happens, it happens for everyone. And I think that is the reason that -- other than that, there are not many other risks that would completely have a very major impact. I don't know if you're kind of referring to any other risks that -- so if there is anything specific, I could answer it in that fashion.

Sucrit Patil: No, in general, I'm just asking, not anything particularly oriented. Just in general, any risks that you foresee in the coming days? Just wanted to understand that?

Gaurav Rathod: I don't see any major risks in the coming quarters. Of course, this is something I can't foresee. If there is something that happens like a BIS kind of a situation where there is a regulatory problem, then no one can foresee that. So I think whatever we can foresee, of course, we can plan for.

Sucrit Patil: My second question to Mr. Parolia is along the similar lines. Beyond the margin guidance, how will you manage any financial risk or uncertainty in areas like raw material costs, working capital and capital allocation? What guardrails will ensure earning quality stay stable even in these volatile conditions? I want to understand the plan of action and point of view on this?

Atul Parolia: See in the past, which you have seen, actually, our profit margin has more or less remained in the range bound actually. And the reason being, as Gaurav said, we have the product mix actually. And with the product mix, we get the advantage of higher with our peers. And in the future, even we don't see any such risk, actually, which we are saying -- and our best thing is actually our new products. As you see, our new products goes on coming actually. And that gives us the major advantage.

Moderator: The next question is from the line of Aniruddha from ICICI Securities Limited.

Aniruddha: So sir, generally, whenever the commodity prices move up and down a bit, INR depreciation is also there, and the rules related to BIS are also there, so historically, it has been observed that in such cases, the larger players like Cello end up gaining good amount of market share. So if you can share what has been the market share journey for the steel products? And how do you see the market share, let's say, changing over the next 1, 2 years? That is question number one? And then question number two, in terms of -- while there has been a relatively softer growth in the market itself, have you seen any impact on the trade spends, especially in the molded furniture segment, etcetera? So how should we read in terms of the trade spends, inventory levels in the trade, etcetera? Any material changes happened to that due to slowdown in the market growth?

Gaurav Rathod: You are right that, overall, as we ramp up our production -- and before there were a lot of importers, people could import different items. But -- and that will help overall in the long term as we scale

up our production to gain some market share. But also one thing we should understand is that when we were importing, we were importing from 20- 30 different companies in the world.

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And the point was that the kind of diversified range that we could have, we cannot have that anymore and no one can have that anymore. So I think that is one reason that we still remain -- of course, we remain confident that market share gains will happen because no one now can go and import, say, a container. But having said that, the range has reduced. And to build that range will, of course, take some time.

And over the years, we will be able to do that as we scale up our revenues. But yes, possible, 100%, this should come in and kick in, in the next year. In terms of your second question, I think there is no meaningful change in the channel stock. I think it remains relatively at the same levels. The primary growth, of course, has softened for everyone. But at the same time, the secondaries have been at par. So I wouldn't say that there is a meaningful increase in channel stock.

Aniruddha: Okay. Sure, sir. Second, just from a strategy perspective, Cello operates the business through multiple subsidiaries. Will it be easier in terms of operations as well as from the trade perspective also, if all subsidiaries get merged because then there can be seamless flow of capital from one segment to other?

And even from a trade perspective, there will be single billing and single accounting, overall audit. All the expenses can also slightly come down. So is there any thought process on that or the current system of multiple subsidiaries is actually -- will continue and is more beneficial? Yes, that's it from my side?

Gaurav Rathod: So Aniruddha I think for us, multiple subsidiaries have been the way we have been working. That's how we are structured because we don't want to put the expenses or burden of one company onto the other. And every unit is basically a P&L for us and is basically -- one person basically handles it.

So overall, while things can get easier, it also kind of dilutes the P&L of each and every unit and focus on unit economics kind of goes away. And that is the reason why we have been structured

in the fashion we have structured. From a billing point of view, at least Cello World is -- has most of the billing, and it is kind of one point for most of our customers, except for the glassware side, which is the second billing point. So I think that is not really a major concern or it will not really reduce any further cost. Yes, it can just make it easier. That's the only thing. But other than that, I think we are happy with the current structure and would like to operate it this way.

Moderator: The next question is from the line of Karan Bhatelia from AMSEC.

Karan Bhatelia: Gaurav, I wanted to understand any pricing actions taken across the portfolio? Or how do you see pricing strategies in the medium term?

Gaurav Rathod: So I think nothing -- so no pricing strategy as such. In an environment like this, we are not -- as I had guided even in the first quarter that some of the expenses had increased, but we were unable to pass on. So there is no -- and -- but now there is no such pressures also that -- no new pressures, I would suggest, that will lead to any pricing corrections. Rather, we are actually working more on the manufacturing side where we can cut cost and optimize. I think that is the strategy going forward, at least at least for a few quarters.

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Karan Bhatelia: Right, right. And on the glassware side, I think we're slightly behind our targets. Fourth quarter earlier, we were estimating 80% capacity utilization. And I think profitability from this vertical will only start once we cross 75%. So how do we see glassware as a portfolio?

Gaurav Rathod: Glasswa

re is a -- for the company is a very long-term bet. Once we establish ourselves in this particular product line, we have -- it's a very -- it's a tough product line, right, for anyone else to come into the -- entry barrier is extremely high. The kind of glass we are producing is, I would say, today, much better than a lot of countries have been able to do.

So it's a very long-term bet for us. We are not worried about current profitability. We are more wanting to first gain the market. As I mentioned, there has been a lot of Chinese dumping and this category is going to evolve in the next few months. Already, we are seeing imports getting majorly impacted because of our entry.

And as the channel stock also goes down of imports, we'll see our revenue keep going up. And we are actually seeing that. So it's just that glassware is a continuous plant. We cannot stop it for 10 years. So that is why we have to tread a little cautiously on the inventory side. And that is why we are not intentionally utilizing more than this for the time being. Once profitability kicks in, once we cross 75%, 80%, the upside is very huge. And I think we'll have to be a little patient here. And the long term is outstanding for this category.

Karan Bhatelia: Noted. And on the writing instruments side, one last question from my end, how is the product portfolio for BIC Cello? Because I believe, for us, we are more on the writing side and slightly lower on the other stationery part. And we were ideally wanting to expand that portfolio as well. So in BIC Cello, how is the split between writing and stationery?

Gaurav Rathod: So BIC Cello is actually structured exactly like us. So stationery is a very small part for them as well, which actually is a fantastic and a very big opportunity for us now going forward by adding these products into Cello, which has a much better brand equity when it comes to stationery. So I think, yes, that way, it's a fantastic opportunity, and it opens up a lot of doors.

Karan Bhatelia: Because we did launch a few steelware products like markers, crayons, geometry boxes, mechanical pencils. So how is the ramp-up there? How is the market reacting to our stationary product portfolio?

Gaurav Rathod: I think, while we have introduced all of these, it has been not a very big ramp-up there with the Unomax brand. What we are now going to start doing is have those similar kind of products in the Cello brand. And I think, with the Cello brand, the scale-up will be a lot faster.

Karan Bhatelia: And on capex front, INR150 crores for this year and INR75 crores for next year or anything incremental could be seen...

Gaurav Rathod: So maintenance capex is going to be at about INR75-odd crores -- INR75 crores to INR100 crores. Apart from that, there will be slight capex in the writing instruments.

Karan Bhatelia: Right. So correct to assume INR150 crores for both the years, '26, '27?

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Gaurav Rathod: Maximum, yes, maximum. That is the upper limit.

Moderator: The next question is from the line of Deepesh J. Sancheti from Maanya Finance.

Deepesh J. Sancheti: Gaurav, congratulations on the acquisition of Cello brand. I wanted a question -- I wanted an answer about what do you think will be the growth driver? And will it be fair to assume that writing instruments will be the growth driver for the next 2 years?

Gaurav Rathod: So I think, for us, growth drivers are 2: glassware and writing instruments. Both are -- glassware, of course, the potential is very huge, and we will try to reach about 80%-odd capacity by the end of the next year. And in writing instruments, of course, with the acquisition of Cello, we are now looking at fantastic numbers for this year. And of course, as I mentioned before, it opens up a lot of doors for a lot of other stationery items. So yes, these 2 pillars are going to be very important for us in the next year.

Deepesh J.

Sancheti: Right. And since we are already planning capex -- you mentioned that we are already planning capex in the writing instruments, wouldn't it have been better that if we would have acquired the assets of also BIC Cello at that time and instead of having additional capex? I mean, if you can just give a comparison that what was the advantage of doing a fresh capex rather than not -- acquiring the assets?

Gaurav Rathod: A lot of this capex is actually acquiring some of those assets of BIC Cello, which is some of the molds and machines. What we did not require is the land and building, which was the bigger asset, right? The others are smaller assets. And a lot of their machinery was very, very old. So I think we did not see any advantage in kind of acquiring them because they would run very inefficiently. So that is why some of that capex is going to be in the newer machines and newer molds.

Deepesh J. Sancheti: Right. Great. Just the last question about the Wim Plast merger. Since all the regulatory approvals are almost done, when do you see that this merger will finally happen, if you can give a time line or date to it?

Atul Parolia: See, in the month of Feb only final hearing is there -- is around last week of Feb. And thereafter, once we get the approval, then everything is set, then we will be in the process of merging the thing. I mean already, as you know, appointed date is 1st April 2025. So definitely, it will be from that date itself. But maybe around 2, 3 months' time, we will see all that get through.

Deepesh J. Sancheti: So by first quarter -- in the first quarter of FY '27, we should be done with this?

Gaurav Rathod: Yes for sure.

Moderator: The next question is from the line of Vaishnavi Gurung from Craving Alpha Wealth Fund.

Vaishnavi Gurung: Sir, my first question is on the steelware segment. If you can help us with what is the total contribution of steelware to the consolidated revenue. And I wanted to understand, will the ramp-up of the new steel plant still impact the revenue and margins or will the third-party sourcing will continue having an impact? Just wanted to have a future outlook?

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Gaurav Rathod: So I think we do not give out numbers separately for the steelware. Basically, of course, the steelware, as I mentioned, is a significant component of our revenues in the Consumerware segment, and has taken an impact in this quarter. Having -- going forward, I think, of course, as we ramp up our production and reduce our OEM supplies, we should see a meaningful growth in revenue and margins. So I think at least we should return back or actually better the margin that we had before while we were trading.

Vaishnavi Gurung: So we expect this impact to happen in the next two, three quarters or we expect?

Gaurav Rathod: The impact will be in phases. The impact as we scale up over the next two quarters, the impact will -- of course, the full impact will be only in H2 of next year, but you will start seeing some impact over the next two quarters.

Vaishnavi Gurung: So we may see some subdued growth in the next two quarters too from this segment?

Gaurav Rathod: We might not see growth because a lot of the product lines we are out of stock. So we will be just fulfilling those -- in terms of our revenue, we will only be fulfilling. We might not reach complete revenue potential until the end of the first half of next year.

Vaishnavi Gurung: Okay, sir. And I just wanted to have an outlook on the molded furniture segment. Will this current scenario of lower prices have an impact in the coming quarters too?

Gaurav Rathod: So I think if the polymer prices continue to be weak, there will be a slight impact because, as you know, it is completely -- directly proportional to polymer prices. And any decrease kind of decreases revenue, any increase increases revenue. So I think this will continue to be a trend in Wim Plas

t, and that is why we have always guided for a low single-digit number growth in the Wim Plast side.

Vaishnavi Gurung: So sir, do we not have any hedge in place to mitigate this risk?

Gaurav Rathod: No, there is no mitigation that is possible here because that -- polymer prices is not something that I can control.

Moderator: The next question is from the line of Akhil Parekh from B&K Securities.

Akhil Parekh: My first question is based on the commentaries now we have given across the product categories and, given the softer base we have in FY '26, would it be fair to assume that our growth rate in

FY '27 can be between 15% to 18% and the margin profile going back to 23% plus? That's my first question?

Gaurav Rathod: So I think, basically, because of a couple of more quarters we will take to come back in terms of our steelware, but overall, the first half could be a little more muted at about 8% to 10%. But post that, you will see significant growth in terms of revenue and margin coming back to about 22%.

Our first priority is to have margins back, which will happen in -- over the next couple of quarters. And post that, you'll see more growth. So as the quarters go by, I will keep guiding.

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Currently, what I'm guiding is for the next couple of quarters is what I can foresee is about 8% to 10% growth, given the fact that steelware will still be under pressure a little bit.

Akhil Parekh: Sure. This is helpful. And just a second question on the opalware and the steel, right? And the peak utilization rate, what kind of sales turnover would these categories can be?

Gaurav Rathod: So opalware at its peak can do about INR400 crores to INR410 crores of revenue at its peak.

Akhil Parekh: Okay. And about steel?

Gaurav Rathod: Steel current capacity will go up to about INR300 crores with additional capex, which is not a lot. We can keep adding machines because the facility is completely built. The capex post that, will not be much, even if we want to add capacity.

Akhil Parekh: Okay. And sir, if I understand the margin profile of the steel category, is it in line to the opalware or it is below opalware category?

Gaurav Rathod: So it is in line -- slightly lower always, it has been, since we were trading. As we scale up our production, this could improve. But currently, it will stay a little lower as it has always been than opal.

Moderator: Ladies and gentlemen, we will take that as the last question for today. I now hand the conference over to the management for closing comments.

Gaurav Rathod: Great. Thank you, everyone, for being on the call. I think exciting times for us ahead with 2 fantastic categories: stationery and glassware, which is going to ramp up in the next few quarters.

And we look forward to the next few quarters, and hopefully, we'll have a much better year this coming year, right Thank you so much. Thanks again.

Moderator: Thank you very much. On behalf of ICICI Securities Limited, that concludes this conference.

Thank you all for joining us today, and you may now disconnect your lines.

Call: Jun 2026

Cello World Limited

(formerly known as 'Cello World Private Limited')

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June 04, 2026

BSE Limited National Stock Exchange of India Limited

Phiroze Jeejeebhoy Towers, Dalal Street, Exchange Plaza, C-1, Block - G, Bandra Kurla

Mumbai - 400 001 Complex, Bandra (East), Mumbai - 400 051

Scrip Code: 544012 Symbol: CELLO

Sub: Transcript of Investor Call

Dear Sir(s)/ Madam(s),

Pursuant to Regulation 30 of the Listing Regulations, copy of transcript of the Investor call held on May 29, 2026 at 09:00 a.m. (Indian Standard Time) on the audited financial results for the fourth quarter and year ended March 31, 2026, is enclosed.

The said transcript is also available on the Company's website.

This is for your information and records.

Thanking you.

Yours faithfully,

For Cello World Limited

Hemangi Trivedi

Company Secretary & Compliance Officer

Encl: A/a

"Cello World Limited

Q4 FY26 Results Conference Call"

May 29, 2026

"E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on May 29, 2026, will prevail."

■ 1ICICI Securities

MANAGEMENT: MR. GAURAV RATHOD — JOINT MANAGING DIRECTOR

— CELLO WORLD LIMITED

MR. ATUL PAROLIA — CHIEF FINANCIAL OFFICER —

CELLO WORLD LIMITED

MODERATOR: MR. MANAN GOYAL — ICICI SECURITIES

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Moderator:

Manan Goy:

Gaurav Rathod: Cello World Limited

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Ladies and gentlemen, good day, and welcome to Cello World Limited Q4 FY26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Before we begin, a brief disclaimer. This conference call may contain forward-looking statements about the company which are based on the beliefs, opinions and expectations of the company as on the date of this call.

These statements are not the guarantees of future performance, and it may involve risks and uncertainties that are difficult to predict. Should you need assistance during this conference call, please signal an operator by pressing star then zero on a touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Manan Goyal. Thank you, and over to you, sir.

Thank you. On behalf of ICICI Securities, we welcome you all to Q4 FY26 and FY26 Results Conference Call of Cello World Limited. Today, we have with us senior management represented by Mr. Gaurav Rathod, Joint Managing Director; and Mr Atul Parolia, CFO.

Now I hand over the call to the management for their initial comments on the quarterly and annual performance. Then, we will open the floor for a Q&A session. Thank you, and over to you, sir.

Thank you, and good morning everyone, and a very warm welcome to our company's earnings call. Joining me is our CFO, M. Atul Parolia; and our Investor Relations Advisor, SGA. The results and presentations are available on the stock exchange and on our website. I hope you had a chance to look at it. Financial year 26 was marked by multiple headwinds and evolving market conditions across industries and segments.

The demand environment remained dynamic throughout the year while the first half witnessed relatively better momentum supported by a healthy festive season, demand did not sustain at their level and moderated in the second half. In our view, financial year 26 represented a phase

of temporary consolidation during which we focused on strengthening the structural operations of the business and implementing several corrective initiatives, which include ra

tionalization of

our product portfolio, realignment of our distribution strategy in line with evolving market dynamics, particularly the growing relevance of e-commerce and quick commerce channels, enhancement of our operational efficiencies aimed at optimizing costs and improving productivity, and commissioning of new manufacturing lines for steel bottle production and select consumer categories at our Rajasthan facility.

We believe that these initiatives have strengthened the long-term foundation of the business and expect their benefits to progress -- progressively reflect in our performance over financial year 27. Coming to financial year '26 performance, revenue grew by 9% with a gross margin of 49.8%. The performance was primarily driven by categories like writing instruments, Opalware, glassware and some select consumer ware products.

However, some of our key products witnessed near-term challenges. The Hydration segment remains subdued due to stock-outs in insulated steel products while categories such as storage,

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houseware and cleanware had a moderate growth due to a slow consumer demand during the year. Operating profits remain under pressure owing to higher costs associated with new glassware plant and steel bottle manufacturing unit. As these categories start scaling up, we should see an improvement in our profitability. For financial year 26, EBITDA stood at INR526 crores with a margin of 22.7%, and a PAT margin for the year stood at 14.3%.

Coming to the Q4 performance, we delivered the highest-ever quarterly revenue of INR654 crores, recording a year-on-year growth of 11%. We did not witness any material impact due to the Middle East situation during the quarter. There was an increase in plastic raw material costs, but we had adequate inventory to mitigate the impact in Q4. Additionally, rising energy costs had some impact on glassware production, which remained manageable during the quarter.

On the consumerware side of things, revenue stood at INR434 crores with year-on-year growth of 7%. During the quarter, we operationalized 2 additional manufacturing lines for steel bottle production. Another 4 lines have been commissioned during quarter 1 of financial year 27.

However, these capacities were commissioned towards the latter part of the quarter and therefore, did not materially contribute to Q4 financial year 26 revenues. We expect 2 more lines to commission shortly and a gradual ramp-up in overall steel bottle production is anticipated over Q1 and Q2 of financial year

Utilization levels at the glassware segment still remain at about 60%, primarily impacted due to dumping of imported glass products from China. As a result, the category remains at the breakeven levels and did not contribute meaningfully to the overall profitability for the quarter.

We are actively engaging with relevant authorities to seek some protection against these dumping -- against this dumping happening from -- mainly from China.

For us, glassware remains a long-term strategic growth business rather than a near-term profit maximization opportunity. We continue to remain confident about the long-term potential of this segment and are focused on scaling the business while improving it profitably. During the month of March, we witnessed a sharp increase in demand for electric kitchenware products driven by the LPG gas supply chain. This resulted in complete liquidation of inventory of these product lines. If we had a little more of this, we could have probably done better, but I think we couldn't have anticipated this kind of a demand.

Demand for the rest of consumerware products remain subdued during this quarter. On the writing instruments front, revenues delivered a solid growth of 64% and stood at INR128 crores. As we anticipated, Cello stationery brand started contributing to this business from Q4 onwards. Even excluding revenues from Cello bra

nd, the writing instruments delivered a healthy double-

digit year-on-year growth, largely driven by strong pickup in export business as well as revenues from newly launched products, particularly in the premium pens category. Writing instruments is emerging structurally stronger and more scalable business for Cello, and we remain confident of achieving our target of revenue of INR500 crores plus in financial year 27.

During the quarter, the moulded furniture business recorded a year-on-year decline of 13.5%, largely in line with prevailing industry trends and subdued demand conditions. We have

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completed the merger of Wimplast Limited with Cello World. With this integration, the synergies between consumerware and moulded furniture can be explored further.

During the quarter, we also witnessed a continued increase in revenue contribution from e-commerce and quick commerce channels. These channels now account for nearly 17% of our

overall revenue with profitability broadly in line with other business segments. While general trade continues to remain a critical pillar of our distribution network, strengthening our presence across modern digital channels is equally important to address evolving consumer preferences and enhance our reach in markets where physical distribution remains limited. Looking ahead, supported by the various initiatives undertaken towards strengthening the business, we expect financial year to be a significantly better year, though challenges do seem looming in the first quarter.

But I will now hand over to our CFO, Mr. Atul Parolia, for the financial year highlights. Thank you very much.

Thank you, Gaurav, and good morning to everyone. Now I will be sharing the financial details for the quarter gone by. In Q4 FY25

registering a growth of 11% year-on-year compared to the INR588.8 crores in the Q4 FY24. The company reported revenue of INR653.6 crores, company reported EBITDA of INR136.6 crores in the quarter, translating into EBITDA margin of 20.9%.

Profit after tax for the quarter stood at INR90.1 crores, while PAT margin stood at 13.8%. In terms of revenue mix, consumerware contributed 66.4% of the total revenue during the quarter, writing instrument accounting for 19.6% and moulded furniture along with the Allied Products contributing for the remaining 14%.

During the period, general trade contributed 75.4% of the total sales, followed by online sales channel at 9.5%, export at 7.6% and modern trade at 7.5%. From the segment-wise margin perspective, writing instruments and consumerware both reported gross profit margin of 47.8%, while moulded furniture reported a margin of 39.5%.

Now coming to FY26 performance. Revenue for the period stood at INR2,323.7 crores, registering a year-on-year growth of 8.8%. EBITDA came in at INR526.4 crores, translating into EBITDA margin of 22.7%. Profit after tax stood at INR331.5 crores, resulting into a PAT margin of 14.3%. For FY26, our cash flow from operations stood at INR255.1 crores. Debt-to-equity ratio stands at 0.01%.

Capex incurred during the year stood at around INR219 crores, which mainly includes investment for the setting of manufacturing line for steel bottle as well as other select consumerware product, writing instrument and some portion spent for the maintenance capex. Going ahead for financial year FY27, we expect to do a capex of around INR100 crores. Lastly, I would like to inform that composite scheme of arrangement among Wimplast, Cello Consumer Products Limited and the company has become effective from 27th May 2026, with an appointed date of 1st April 2025 as defined under the scheme. Accordingly, our financial comparative has

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Moderator:

Manan Goyal:

Gaurav Rathod:

Manan Goyal:

Gaurav Rathod:

Moderator:

Sucrit Patil:

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been restated to give effect to the scheme from the be

ginning of the previous year. This also includes the consequential impact on earnings per share pending issuance pursuant to the scheme.

'With this, I would like to open the session for question and answers.

The first question is from the line of Manan Goyal from ICICI Securities.

So, my first question is regarding the steel manufacturing capacity. So earlier the manufacturing capacity was expected to commence on Q4 FY26, but now it has been delayed to Q2 of FY27. If you can specify what are the reasons for this delay? And what will be the revenue impact because of this delay?

So basically, the steel has not been delayed. It's always, as mentioned that it is starting in phases. So it has already begun in Q4 of '26, but the ramp-up is happening. So there were 2 lines that started in the last quarter. And now in this quarter, there will be another 4 lines and then another 2 lines.

So that's how the phase wise it is going to start. So marginally revenue will start coming from these lines. So by July we should be in complete -- full scale mode. So right now, we are in partial - partially we have scaled up. So it's more scaling up. It's not that we haven't started on time. It was already - it is already running.

Okay. And sir, what will be the revenue impact in FY26 because of the capacity constraints, which you have seen in Hydra and in steel?

Yes. So in steelware it actually was pretty significant. I recall in the last quarter itself it

was about 40% and that impact came down a little bit in the last quarter, which was about - still about 30% from last year, quarter-on-quarter. So I think going forward, it was a pretty significant drop because overall, for the year also, we saw a 25% drop in sales for this category, which we So I think that's aim to get it back to at least the number that we clocked in financial year where we are headed.

The next question is from the line of Sucrit Patil: from Eyesight Fintrade Private limited.

I have 2 questions. My first question to Mr. Rathod is just want to understand the forward guidance on what type of strategic levers are you placing in 2027 to expand Cello's consumer product portfolio across kitchenware, furniture and writing instruments while managing risk from raw material price volatility and sustaining brand leadership in domestic and export markets. That's my first question. I'll ask my second question after this.

So basically, we are quite diversified. If you look at our portfolio, it - anyway, we are across materials of glass, plastic, steel, but the current crisis or the overall situation has affected everything. So it's not just a particular raw material that has been affected, every segment has been affected by these crisis that is going on currently. So I think while we try to shield ourselves by a diversified portfolio, we always try to launch newer products within our category. Though there's no current thought process on expanding into other categories. We were — as I said, we

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Krupa Padya:

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were able to take advantage of the LPG crisis that happened in March by selling a lot more of our appliances.

So by being in that category, though it's a smaller category for us. By being in that category -- that helped us for that particular time - that crisis was there. So I think having - we are pretty much across -- diversified across all segments and that is why sometimes the risk is also mitigated from that perspective.

My second question to Mr. Atul is, again to understand what type of capital allocation and risk management frameworks have been applied in 2026-27 to balance dividend payouts with funding for capacity expansion? Any hedge against forex and polymer price volatility? And any buffers put into place to sustain the liquidity for the demand cycle, peak season

all demand, yes?

See, with regards to raw material prices actually it always, as we have said in the past, we increase our selling price in accordance -- I mean whatever raw material prices, we pass on the burden to the end consumer. So as far as raw material price is concerned, we are confident that whenever the price comes down, we reduce the prices; when it goes up, we increase the prices. With regard to your question for capex, actually, during this year, I think, INR100 crores is the total capex, which we have said, mostly will be for the maintenance capex and hardly early around INR30 crores, we have allocated for our steel ware and that building.

The next question is from the line of Krupa Padya from PN Capital
Aml audible?

Yes, yes. You are audible. Please go ahead.

Sir my question would be what is the utilization level across Opalware business currently? And what is your strategy on that?

So, on the Opalware side, I think they are about at 85% utilization today. So, we hardly have about 15% that is left. And I think our strategy is to exhaust this capacity over this year. Also, there has been increased competition in this space.

So we are trading a little cautiously here, while - so maybe in some time, we would look at expanding our capacity. But at this point of time, because of heightened competition and more capacity that have come in the market, we first want to exhaust our current capacity and then move ahead.

The second question will be on from a pricing quality point of view, are we at par with Chinese glassware product or we are at premium?

No, I think in terms of quality, we are at par or better than most of the Chinese manufacturers. So I think it has been very well accepted in the market, all the products. So from that perspective, there's no challenge.

The next question is from the line of Vaidik Bafna from Monarch Network Capital Limited.

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'Vaidik Bafna:

Gaurav Rathod:

'Vaidik Bafna:

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Congratulations, Gaurav, on these numbers. So my first question would be on - do you believe that due to this Middle East crisis, we had some impact on our revenues and now how are things shaping? What do you expect now going forward from you?

I think Q4 did not see that much of impact because the war had just started in March, and there was not much impact on prices also, it started happening in the latter half of March. But I think, yes, Q1 looks a little challenging. So we are trading very cautiously because we have been impacted. I think most companies have been impacted by all sides, whether it's rising raw material prices, labor issues, basically rising production costs, overall demand being also a little subdued. So I think, yes, there are a lot of headwinds at this point of time.

But we are hoping that it passes and overall - because there has been a lot of escalation in prices, about 12% to 20% MRP rises that we have taken across all our product lines, which we had to because of these rising costs. So I think it takes time for the market to kind of understand these new prices and be okay with.

And I think it's a phase that we'll all have to go through. And post that, hopefully, we -- but we are in a strong - we have a good foundation to take all these shocks or take any impact at this point of time. We are well positioned. So I think when the opportunity comes, we'll be there to grab that as well.

Okay. And second question is on the writing instruments front. Can you quantify that how much revenue would be from our -- the acquisition, which we did out of the INR128 crores?

So we do not give out these numbers separately. This is basically together. This is more for our confidentiality within the company. At a later stage if you - I can have it answered on a one-on-one session. But I think overall, what we expect from the writing instrument category is a INR500 crores plus

next year kind of revenue, which currently stood at about INR368 crores for this year.

So it will ramp up very quickly with the new acquisition, of course, it opens up a lot of other spaces for us because Cello being Cello as a brand is very, very strong in the stationery market, though the revenues have not - don't look like at this point of time. But eventually, the brand equity is still extremely strong and we are trying to cash on that for the next year.

The next question is from the line of Anu Parakh from Anand Rathi.

So my first question is what would be our guidance for revenue growth and EBITDA margin for FY27?

Right. So I think for us, revenue, we are looking at about 10% to 12% revenue growth going ahead. Yes, but there are, of course, having said that, there are current challenges that we are facing currently because of this crisis. So that number could change a little bit as the year progresses. Also, in terms of our margins, we are trying to scale up to about 2% to 2.5% more EBITDA margins than we currently have. That is by far because of the steel ware and the glassware units because glassware still hasn't started giving any margin, though it is breaking even.

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And on the steel side as we ramp up, we should see better margins. Having said all of this, it all depends on also how things evolve over this quarter and the next quarter because pricing pressures are of course there. As I said, because demand has been subdued plus there has been a very high sharp increase in cost.

So partly, most of it is -- we are trying to pass it on, but we could take short-term shocks, maybe a little bit to maintain demand or make sure that at least we are selling in line with what we were doing last year. So I think that pressure will remain, but I think overall we still look a 10% to 12% over the year.

Okay. And sir, what was the reason for sharp gross margin compression in consumerware and writing instruments in Q4 And what is the guidance for FY27 for both the segments?

So consumerware, as I said, mainly glassware. So the revenues of glassware grew, but it grew without any profits. So that was reason number one. Reason number 2 is the steel ware, which

we were buying from China before and then we had to switch to OEMs, which was — it was more expensive to buy from them, but we couldn't increase our selling prices. So our margin compressed in both - in steel ware as well up to the tune of about 5% to 6%.

So that was the major impact of consumerware. Also, our overall ~ in the Appliances segment, we started doing very well, and we grew pretty well the last year, but appliances is a slightly lower-margin product line. So again, the product mix also kind of got the margins down a little bit. Plus, there was little selling pressure.

There were some discounts that were being passed last year to maintain demand. But I think coming to this year, I think it should be a lot better. Steel ware as it ramps up and glassware as it starts becoming more profitable, we should see improvement about 2.5%, 3% EBITDA 'margins in the consumerware category. In the writing instruments category, we had just bought Cello pens. So it was actually a loss-making business prior to this.

And now that we have taken it over, it is not a very profitable business at this point of time because of the product mix. And as we are changing the product mix, the profits will be in line with what we were - we used to do Unomax. So that will take a couple of quarters to come back, but we are very confident that we'll get it back to the numbers as what we achieve in 'Unomax.

And sir what should be the peak revenue from all the stainless steel bottle lines put together?

And by when are we expecting it to be achieved?

So the peak revenue of our current capacity is about INR300-odd crores, though we'll continue

to do some OEMs. And also this is now -- this was a greenfield project. But going forward, we can keep adding lines as and how our revenues increase. So I think going forward, increasing revenue will not be a challenge because it only takes a couple of months process to set up a new line. So I think peak capacity as of today's capacity is about INR300 crores.

And sir, by when can we expect it to be achieved?

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Gaurav Rathod:

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This will start being fully achieved from July onwards. So from July onwards, you will see full production.

Okay. And sir, what kind of reduction in debtor days are we looking at in FY27 and over the medium-term period?

I think it's always been our - we have always tried to work on this side of things, though the market has not always helped. But we are wishing to have about 10 to 15 days lesser than what we are at today, which we are confident that we'll be able to achieve over this financial year.

And so that is a sweet spot for us. That has been our historical debtor days as well and we are quite okay with that because that kind of helps us in multiple ways when it comes to margins or being more present and more accessible in the market. So I think for us, that's the sweet spot. And sir, 1 last question. Our return ratio profile is getting depressed because of the excess cash in book. So how are we planning to utilize the surplus cash?

So currently, there is - we've always also looked at inorganic ways to grow. One example was Cello pen. So we were always open to newer acquisition possibilities if they are available at a good value. So I think that is why we are preserving some cash in the company, though it might be temporarily kind of affecting our return ratios.

The next question is from the line of Umang Mehta from Kotak Securities.

My first question was on your guidance of 10% to 12%. Given that you've taken MRP hikes of 12% to 20%, and steel ware is looking to scale up to F 25 levels, which was around INR300 crores and I'm assuming glassware also will scale up, right, the plant is at 60% utilization right now. So is the top line guidance a bit conservative? [I understand on margin front, it might be difficult to call at this point, but just wanted to check on top line growth.

So I think top line with the current situation, the volume growth might be lower for this month.

The value growth you're completely absolutely right that in value terms, we will get growth, but in terms of volumes could be subdued for this year. As we look forward, things could improve.

I hope they do, but currently, they don't look very good because of these entire prices and the subdued demand. So I think taking - factoring that in, that is my guidance for this year. If it improves, it is fantastic. That's what we're looking at.

Secondly, also, currently, the prices have been elevated, but as we go throughout the year, there

could be some correction in raw material prices and crude oil prices also, which would - which, again, we'll have to pass on. So this might not be a full year phenomenon. It could be 5 months, 6 months kind of a phenomenon with higher prices and then more to fresh prices. So I don't know exactly -- I cannot anticipate that today. And that is why just taking a complete value increase of, say, 12% to 20% might not be for the full year.

Understood. Makes sense. And the second question was on writing instruments. You mentioned that the mix was driver behind the gross margin contraction. Is it that the salience of INR10 in Cello branded sales is much higher than what it is in Unomax? And if that mix remains how it is, then how would the gross margins improve in F 272 Any thoughts would be really helpful.

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I think with Cello pen, it's not - that's not the concern. The concern is the cost. Basically, because today, it's pretty much we have started back. We were left with a very bad P&L to begin with. But basically, a lot of costs have been there are higher costs that we are trying to cut down -- and that has what has impacted GP margins and our net margins in the Cello category that doesn't mean that the salience of the INR10 will stay. Cello pens have been selling INR15, INR20 pens also. So I think that's not the challenge. The challenge will be as we grow this business and as we achieve volume over the years, the margins will improve in this category.

The next question is from the line of Bhavin Rupani from Investec.

So actually, I joined in late, so pardon me if I repeat the question. So first question is related to Opalware and glassware utilization. So what was our utilization in Q4? And what are we running at -- operating at right now?

So Opalware we are at 85%. Glassware, we are still at about 60%. So we operate at the same range that we were in the last quarter result.

Okay. The second question on Opalware. So how are we looking at market growth? Also, if you can speak more on competition and incremental capex plans that we have over here.

So I think for us, we have limited capacities now left, and our target is to basically just exhaust that currently. There has been new competition which has come in about 6-odd months back. So we are seeing how that shapes up as well and in the future, of course, we will look at expansion post everything settles, and there is no crazy price wars. And then we can take a call of expansion.

Do we have any place at our existing facility to expand brownfield expansion or we will need a greenfield expansion altogether?

Now we need a greenfield. Our current capacity - after this, we will not have space at our current location. So we will have space, of course, at a new hub in Rajasthan. So that's where we look at expanding.

Okay. And just extending this question further. So given there is intense competition going on in this Opalware category, also margins are higher in this category, right? So in case of increasing competition going ahead, so what would be our preference would be. We will be focusing more on margins? We will be focusing more on volume growth or market share? So what is our thought process over here?

I think a little bit of both. The good part is that we have very limited capacity left. So we are not in a hurry to sell out today. So that doesn't put a lot of pressure on us when it comes to sales volume, but we still have to be cautious and not let lose market share, which we will, of course, try and maintain.

Fair enough, sir. Sir, next is on glassware. So what steps do we need to take to make it more profitable from here on. I understand you need more utilizations. But is it that we need more SKUs or we have to pick our pricing in the market? So how should one understand this category?

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I think this is a very utilization-focused category. And a lot of dumping from China has not all in the last 1, 1.5 years. But I think overall, it has a very bright future because we are the first ones to do this in India. And in terms of SKUs, we have a very good mix. Of helped us of course, we keep introducing newer products and some products become like hero products. And we have a few today, and we'll create more as well and I think as we increase utilization, everything will just generate into profit. So the profitability potential of this plant is very, very huge.

Trust that it is a little painful to start with. That's how glass plants are. But it's a 10-year furnace.

'We have not even completed 2 years. It's just been a year. So I think we have a lot of good things to look forward to. It's just that it is taking a little time for the utilization levels to go up. But I think with the rising dollar, that should help us a little bit.

Okay. And sir, what would be our peak revenue and peak EBITDA margins from this category once we reach optimal utilization?

I think we're looking at about INR300 crores of peak revenue from glassware and our peak 'would be about 28% to 30% EBITDA margins.

Fair enough. I have more questions if we can go ahead or if that is okay.

Yes, sure.

Sir, on stationery, so we entered into an agreement with Cello -- for Cello brand of writing instrument in Q3. So just trying to understand, as per the agreement, what was the last date of an earlier owner of Cello brand was allowed to sell or manufacture the product? Did they stop selling or manufacturing the product right from the date we entered the agreement? Or was there any sort of deadline that beyond this date they would be able to manufacture?

This deal happened in November of 2025. And I think by December, we were pretty much -- we had full control. So it is December, that's what I'm trying to say.

Fair enough, okay. And last question on working capital. So we had mentioned about reducing our receivable days going ahead. But can you please specify what steps are we taking incrementally to reduce it and at what level are we comfortable?

Sure. So I think most of -- some of our receivable days have - is looking a little bad because of a couple of institutional government orders, government tenders that we have taken, though - and this is a typical city with the government order, it was anticipated already. That is why it looks a little stretched. Second, in terms of what measures is that we are trying to make sure that the channel inventory checks are done better. We're also trying to help our distributor liquidate stock, if there is anything that some of them carry or excess inventory if they are carrying and also rationalization of products.

So I think the lesser products they carry, the lesser inventory they have to carry overall. So all 3 put together, I think it really helps us. It's slowly helping us. It is a little slow process. It doesn't happen overnight. But our target is about 15-odd days less - less than 100 days is what we are

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targeting. And I think that is a sweet spot that is where we have always been okay with because historically also that has been a number, which has gone up in the last 1, 1.5 years.

Right. Sir when you say we're trying to help distributors help liquidate. So does it mean that we will be providing them incremental incentive schemes or any support?

So one is, of course, kind of push it more aggressively in the market. And second is if there is any very, very difficult material that is not moving at all, then maybe help them with a little bit of a discount, but that is very, very limited. ICS - the amount is extremely small.

The next question is from the line of Sushant Kumar from Motilal Oswal.

Yes. Sumant here not Sushant. So my question is for the inventory, how is the inventory in the channel currently?

I think channel inventory currently, it should be better already because you had a very high price

rise. So a lot of the older inventory started getting sold up faster. So I think today, it looks better than I think March as well and it should be - I think this quarter should be much better in terms of the channel inventory I'm talking about.

Okay. So on anticipation of, say, in the recent month, the price has increased, so channel has bought more inventory currently? Or now they are buying cautiously?

Channel has been cautious. As I mentioned that right now

because of this whole situation and

price rises are pretty steep. So the channel is buying it cautiously as and when needed, they are buying inventory. Of course, and that is why I said it a little subdued at this point of time, But as we are seeing that amount is picking up every day. So that means that the channel inventory is also getting lower and lower.

The next question is from the line of Lakshminarayanan from Tunga Investments.

I just want to understand your stationery business. With all the restructuring going on, what kind of revenue contribution you actually would envisage the year-end? And second on the stationery business I want to understand the seasonality of the business. And the third, what is the mix of the INR10 price point in your stationery? And what do you — how do you intend to expand the range in terms of new products as well as exports in Stage 3?

I think for us as I mentioned earlier that our target for the next financial year 27 is about INR500-crores plus revenue potential for the entire segment. The INR10 segment, we have already expanded our range into the INR12 and the INR15 and the INR20 price points. So we are not heavily dependent on the INR10 segment.

And also export-wise, exports, of course, have been helpful in the sense that they've given better margins, and that will continue to happen for the - over the next - course of the next year as well. And that should also help offset some of the steep price increases. Other than that, I think what we are also focusing on is expanding some of the other categories like markers and sketch pens and crayons.

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Lakshminarayanan:

Gaurav Rathod:

Lakshminarayanan:

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Moderator:

Rajakumar Vaidyanathan:

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And I think some of the other stationery items. So I think as we expand into these things, the revenue potential from them will keep coming in. And with the brand Cello I think we are more confident of scaling this up a little faster than we were in Unomax.

And how seasonal is the business for us?

Seasonal, your back-to-school is your biggest quarter, basically, which is the first quarter and the last quarter does better. So your Jan, Feb, March till June ends very, very good, and then it takes a slight dip. So the next 2 quarters are a little less - it's almost like a 1.5% happens in the last quarter and the first quarter. And then the others, yes, then the rest of the year is slightly lesser.

And since the RM prices are increasing or have already increased, how are you looking at it?

Because this industry is slightly more price driven or price point driven. How are you looking at it in terms of ROCE and sustainable margins and working capital?

Right. So I think in terms of raw material increase, we have been able to pass it on to most of the - to the customer. Also, what happens during these times is a lot of unorganized players kind of are unable to produce because they are — prices are - price also goes up and they are unable to pass on most of those price increases. So that kind of helps us somewhere. So that is why branded players have a better say during these times, and I think that is what has happened. And most of the price increases we have been able to pass on in most of our categories.

The next question is from the line of Rajakumar Vaidyanathan: from RK Invests.

Can you hear me?

Yes. I can.

Sir, just 2 questions. So the first one is you kind of mentioned that the Q1 will be soft. So is it more due to seasonality you're seeing? Or it is also due to whatever the headwinds you're currently seeing?

Can you repeat?

In your outlook, you said the current Q1 will be soft. So is it more due to the seasonality factor or the combination of seasonality and the headwinds that you are currently seeing?

No, no, it's

not seasonality. It's mostly the current crisis that we're going through.

Okay. And what makes you to feel that the things will look after Q2 onwards?

I don't really know if things will look up. I hope things will be better. I don't know what the political leaders of the world will do. But I'm hoping that because I believe that we have hit the peak in terms of raw material prices and other costs. So I believe that it should go down from here rather than go up.

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Rajakumar Vaidyanathan:

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Got it. And when do you ~ I mean we used to make 25% margins about a couple of years back.

So what needs to happen for those margins Cello to see again?

So I think 2 factors which have been majorly -- which have majorly been the cause of the decline is because of the glassware because we have scaled up revenues, but there is no profit currently there. And steel ware because we lost about 5% to 6% margin due to unavailability and also due to higher trading prices that we were buying from other OEM manufacturers in India. So as we scale up both the production facilities, about 2%, 2.5% of margins will return from them. Plus as we scale up Cello pens in the stationery category, another percentage point will be added from there. So I believe this is what needs to happen for us to get back to those 26% kind of numbers.

Okay. So it's not -- no longer -- if it's not an aspiration number. So it's something that is kind of achievable. Is that what you say?

It is definitely achievable, of course, and if the demand environment also stays good, then I don't see any reason why it's not achievable.

Okay. Got it, sir. Last question is you have got enough - a lot of cash on the balance sheet. So given that you have a lot of capacity already built up. So any plans for this cash?

I think a lot of this cash we are preserving also because we also look at inorganic opportunities like what we did with Cello pens. So we are always looking out for such opportunities, and we want to -- though currently, it shows our ROCEs or other return ratios as a little low. But I think in the long term, it's good for us to hold this cash for any such opportunities that are coming up.

So I think we look at it from that perspective.

Okay. So sorry to labor on this. So it seems you said you already have enough capacity. So these inorganic opportunities, we'll be looking at -- clients completely different from what you're currently doing? Is that what you're saying?

It will be adjacent segment. So it will be something that has synergies with our current businesses or there's, say, distribution synergy or there is a manufacturing synergy. So we're always looking at that kind of an opportunity.

Okay. And do plans to use this cash for doing any buyback given your depressed share prices?

Buyback, nothing. No buyback at this point of time, no.

Thank you. Ladies and gentlemen, that was the last question of the day. And I would now like to hand the conference over to the management for closing comments.

Everyone, thank you so much for joining in for today's call, and I hope things get better in the world, and we'll have good quarters in the future. Thank you so much.

Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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